

What's News

Business & Finance

◆ **A judge rejected** the Justice Department's request to dismantle Google's online advertising business, the second time a court has denied government efforts to break up the company after it was found liable for engaging in illegal monopoly tactics. **A1**

◆ **Chevron, ENI and** other energy companies signed deals in Caracas to plow billions of dollars into Venezuela's oil fields following months of tense negotiations. **B1**

◆ **As clouds over** the bond market continued to stress investors, U.S. stocks rose, with the S&P 500 and Nasdaq both gaining 0.5% and the Dow adding 0.6%. **B10**

◆ **Ford aims to sell** more than 100,000 new electric trucks in their first year of production, vehicles designed to compete with Tesla and Chinese makers. **B3**

◆ **More victims of** the Tumbler Ridge massacre sued OpenAI over its failure to alert police about ChatGPT interactions with the suspect months before the February mass shooting in Canada. **B1**

◆ **Wonderful, a startup** that helps large enterprises deploy artificial intelligence, raised \$550 million at a \$5 billion valuation to fund a worldwide hiring spree. **B4**

◆ **Blackstone led a** \$27 million investment in Huskeys, a cybersecurity startup building a gatekeeper to protect clients from unwanted artificial-intelligence traffic. **B4**

◆ **Southwest Airlines** will open airport lounges in four American cities, hoping to lure fliers to a new high-end credit card it plans to launch next year. **B3**

Worldwide

◆ **Steve Bannon, Trump's** former chief strategist, joined Democrats in warning about the dangers of artificial intelligence and the need to fight data centers powering AI deployment. **A1**

◆ **Tech executives** and government officials urged policymakers from other leading economies to minimize AI regulations, arguing that strict rules could strangle an industry capable of supercharging global growth and curing diseases. **A4**

◆ **The U.S. government** filed a statement supporting OpenAI in its legal battle with publishers, arguing that training on news content falls under fair use in U.S. copyright law. **A4**

◆ **Defense Secretary** Pete Hegseth is extending troop deployments that signal the war with Iran could be prolonged into the new year. **A7**

◆ **A plane carrying** Homeland Security Secretary Markwayne Mullin made an emergency landing at Washington's Reagan National Airport. **A3**

◆ **Special forces from** Israel's Shin Bet security service seized a senior Hamas official near his home in Gaza and spirited him across the border into Israel for interrogation. **A9**

◆ **Tiger Woods pleaded** no contest to a reckless driving charge and his driver's license was suspended for five years following a March SUV crash in Florida. **A6**

◆ **Chinese leader** Xi Jinping began a state visit to Egypt that aims to reinforce Beijing's ties with an important ally of the U.S. in the Middle East. **A7**

◆ **Died: Cassandra Wilson**, 70, Grammy-winning jazz singer. **A6**

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This edition of THE WALL STREET JOURNAL was originally published in the United States and reprinted locally for regional distribution.

After 286 Days at Sea, Lincoln Sailors Get a Break

ON THE TOWN: Sailors pose with a python Wednesday in Pattaya, Thailand, after the USS Abraham Lincoln, which spent months supporting U.S. operations against Iran, docked. Defense Secretary Pete Hegseth is extending deployments to the Middle East. **A7**

Volkswagen Survival Plan Pits CEO Against His Own Board

By Stephen Wilmot

When Volkswagen Chief Executive Oliver Blume took a cost-cutting plan to his board this summer that envisioned a doubling of job losses to 100,000, he was fully aware it would be rejected. Such is the predicament of running Germany's premier industrial company, where half the supervisory-board directors are worker representatives and swing votes are held by the local government. Now Blume is considering an audacious workaround, ac-

cording to people familiar with his plans. If the board factions can't come to an agreement at a meeting set to take place on Friday, he could go hostile—by-passing the board like an activist investor or corporate raider by taking the plan directly to shareholders. It's a nuclear option, a move without precedent at Volkswagen or the broader German corporate scene, where for years stakeholder capitalism has meant that decisions are driven by consensus among workers, regulators and shareholders.

The stakes are enormous. Chinese automakers are moving headlong onto German car-makers' home turf after de-throning them in China, previously their strongest overseas market. Higher U.S. tariffs under President Trump and a bumpy transition to electric vehicles and hybrids have cost automakers billions of dollars. "Tariffs, new competitors and geopolitical risks: The entire automotive industry is under enormous pressure," Blume told employees last week. Germany for decades has staved off the kind of deindus-

trialization that has wiped out millions of U.S. manufacturing jobs, maintaining a generation of well paid, skilled workers, particularly in the auto industry. Now "Detroit-ization" is a buzzword in the German media. No German automaker is more affected by the industry turmoil than Volkswagen, which competes head-on with mass-market Chinese brands such as BYD and doesn't have *Please turn to page A9*

◆ **Ford sets lofty EV truck goal**..... **B3**

INSIDE

SPORTS
NBA gives Clippers stiff penalty over payments to Kawhi Leonard. **A16**

BUSINESS & FINANCE
Labels can be confusing: Your nonalcoholic beer may have some alcohol. **B1**

He Was a Washed-Up Pop Star. Now He Sells Out Baby Raves.

Former boy-bander turned techno remixes of nursery rhymes into a global phenomenon

By Rachel Wolfe

MORRISON, Colo.—The scene at Red Rocks Amphitheatre had all the hallmarks of an electronic dance music festival. Attendees wore holographic bodysuits, went wild when the beat dropped and occasionally spilled their drinks down their shirts. But getting dressed required parental assistance, the bass pulsing off the sandstone was a techno remix of "The Wheels

on the Bus," and the drinks were apple juice and formula. This rave was for toddlers. At the center of the diapered frenzy, bouncing around on stage alongside a giant stack of inflatable rings, was Lenny Pearce. Covered in tattoos, with his hair in a long white braid, the 35-year-old Australian DJ and former boy-band member looks more like an all-night raver than a children's host. But he has turned his remixes of clas- *Please turn to page A11*

Top billing

Ire Over AI Build-Out Makes Strange Political Bedfellows

WASHINGTON—Steve Bannon has made a career out of clashing with far-left politicians. But these days, President Trump's former chief strategist has found a common cause with them: opposition to the AI boom. *By Amrith Ramkumar, Eliza Collins and Anthony DeBarros*

The far-right podcast host has joined Democrats in warning about the dangers of artificial intelligence and the need to fight data centers that power AI deployment. Bannon backs a proposal from Sen. Bernie Sanders (I,

Vt.) and Rep. Alexandria Ocasio-Cortez (D, N.Y.) to ban the construction of new data centers. He has rallied grassroots support to fight the Trump administration's efforts to deploy an industry-friendly AI strategy that bans states from passing their own regulations and backs Sanders's recent call for AI companies to pause development. The positions put him squarely at odds with his former boss. "The only reason that communities throughout the U.S.A. should not want Data Centers is if they want to end up being backwards and poor," the president said on social media Monday.

Bannon said he was looking past his disagreements with progressives on issues such as immigration because AI will be the defining issue of the future. "If we don't get this right, none of that other stuff is going to matter," Bannon, who previously received a pardon from Trump, said in an interview. "I have not seen any issue in modern American life at *Please turn to page A4*

◆ **Tech CEOs, U.S. urge G-20 to ease AI rules**..... **A4**
◆ **New building techniques speed up data centers**.... **B1**
◆ **Heard on the Street: Cash—not outrage—to slow AI**... **B11**

As Bond Market Bemoans Debt, Worries Also Mount Over Growth

Real GDP growth, forecast

Country	2026	2027
U.S.	~1.8%	~2.2%
Canada	~1.2%	~1.8%
U.K.	~1.0%	~1.5%
Germany	~0.8%	~1.2%
France	~0.7%	~1.1%
Japan	~0.6%	~1.0%
Italy	~0.5%	~0.9%

Source: International Monetary Fund

By Jason Douglas

Here's a surprise about the countries at the center of the bond-market selloff: They're all borrowing far less than Uncle Sam. This year, the International Monetary Fund expects Japan to have the smallest budget deficit in the Group of Seven advanced economies for the third year running, at around 2% of gross domestic product. Excluding interest payments, Italy is headed for a small surplus. The U.K. and France are borrowing more, but the U.S. is in a league of *Please turn to page A2*

◆ **Greg Ip: Bond market gives world leaders an 'F'**..... **A2**

U.S. NEWS



CAPITAL ACCOUNT | By Greg Ip

Bond Market Gives World Leaders an ‘F’

If you're a global bond investor, you've had a lot to fret about lately. Government deficits are out of control, inflation is stubborn, and geopolitics, from trade wars to actual wars, threaten to make both worse.

You probably noticed that the government officials who can presumably do something about these things got together this week for a G-20 summit. You may have hoped they'd do something, anything, to put your mind at rest.

Judging by the rise in bond yields this week, you've been disappointed.

The preponderance of attention has been on U.S. Treasury yields, with the 10-year hitting 4.8%, the highest of Donald Trump's presidency, this week. But this is not only—or even mostly—a U.S. story. Yields have risen more in Japan, where the 10-year yield hit 3% for the first time in 30 years, and just as

much in Europe. France's 10-year yield, at 4.25%, is up 0.69 percentage point this year. Britain's, at 5.16%, is up 0.68 point.

All, like the U.S., are struggling with energy-induced inflation and gargantuan debts, without the benefit of American tech-led growth. France's minority government is barely capable of passing a budget. Japan's prime minister is using her massive majority to spend more, not less.

Nonetheless, all eyes turn to the U.S. for leadership at moments like these. It has the largest and most important bond market, the most influential central bank and the reserve currency. It started the war with Iran, and can presumably end it. It also hosted this year's G-20.

Treasury Secretary Scott Bessent and his fellow central bankers and finance ministers in Asheville, N.C., aren't

personally responsible for rising bond yields. But their proceedings displayed a lack of seriousness about tackling the ultimate cause.

"The world is awash in debt...and the only way for us to get out of this is to grow our way out of this," Bessent said.

This doesn't seem like a credible solution. First, growth hasn't come to the rescue yet. U.S. gross domestic product is up 2.1% in the past 12 months, in line with Joe Biden's last year in office. The federal deficit is likely to top 6% of GDP this fiscal year, in line with or higher than in Biden's last full fiscal year.

Second, an AI boom isn't enough. In a recent paper, economists Doug Elmendorf, Karen Dynan and Louise

Sheiner examined scenarios in which AI sustainably boosted annual productivity growth by a half to a full percentage point, with differing impacts on employment. In all scenarios, the debt keeps rising as a share of GDP, albeit more slowly.

Third, better growth naturally leads to higher rates, which raises the interest bill on the debt. Indeed, that may be a factor now. Heady visions of AI's potential have uncorked a tidal wave of AI-linked borrowing.

Many on Wall Street applauded Bessent's early advocacy of a 3% of GDP deficit target, but neither Trump nor Congress signed on. Unable to change the fundamentals, Bessent is tinkering with the symptoms: a surprise boost

to bond buybacks, which he characterized as an effort to influence the speed of yields' movement rather than their destination, or intervening to support the yen, whose drop he feared would roil the bond market. At a meeting with the Bank of Japan's governor, he reiterated support for a stronger yen.

Bessent offered little prospect of relief on those sources of inflation for which the administration is at least partly responsible. As the U.S. resumed bombing Iran, driving up the price of oil, he predicted the Strait of Hormuz would be a "worthless piece of water" in two years. He may be right, but consumers want lower gas prices today. Asked about a trade war with Canada, he ridiculed the idea that Canada was even big enough to wage such a war.

In fairness, headlines about yields hitting new highs were not something that should panic global lead-

ers. The actual level of U.S. yields is in the range that prevailed from 2002 to 2006, before the global financial crisis ushered in years of abnormally low inflation and interest rates.

But as Ajay Rajadhyaksha of Barclays explains, there are several reasons to worry. He said a key driver of the yield run-up is that investors think short-term interest rates will be higher sustainably in the future. If so, the Fed's current interest rate setting of 3.6% isn't particularly high; it might be the new normal.

Also contributing: a relentless rise in government debt. This has made a relatively modest contribution to yields so far. "The market has not yet demanded a meaningful fiscal risk premium," Rajadhyaksha wrote. "We suspect it eventually will."

At future summits, G-20 leaders may not be able to ignore the bond market as easily as they did this year.

How Treasury Selloff Will Affect Consumers

By NICHOLAS G. MILLER AND JUSTIN LAHART

Worries about a protracted conflict with Iran, swelling fiscal deficits and rate hikes are rattling global bond markets. The potential effects on the U.S. economy stretch far beyond the Treasury market.

Treasury yields—the interest rates investors receive for holding U.S. debt—influence how much consumers and businesses pay to borrow money. Lenders use those yields as a benchmark for setting rates on mortgages and auto loans. They also undergird yields on the corporate bonds that companies use for funding.

That means the Treasury selloff risks pushing borrowing costs higher, making it even harder for Americans to afford homes and cars. If the selloff persists, that could start to affect a stock-market rally that has helped support consumer spending and the artificial-intelligence spending boom.

This comes as persistent inflation puts the Federal Reserve under pressure to raise rates for the first time since 2023—a move that would ripple through the economy by raising short-term borrowing costs.

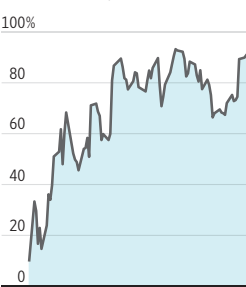
Here's a look at how rising borrowing costs can affect the U.S. economy:

Average rate on a 30-year fixed-rate mortgage

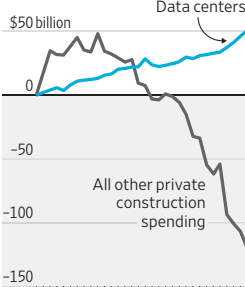


*Seasonally adjusted, annual rate
Sources: Freddie Mac via St. Louis Fed (30-year mortgage); CME Group (interest-rate futures); Commerce Department (private construction)

Interest-rate futures implied odds of at least one Fed rate increase this year



Private construction relative to Dec. 2023*



ments, and many car owners now owe more on auto loans than their car is worth.

Stock-market risk

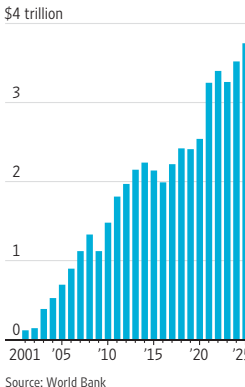
The S&P 500 has risen nearly 20% in the past year, fueled in large part by enthusiasm for artificial intelligence. That has in turn boosted the net worth of people who own stocks and made them more willing to spend.

But lofty stock prices are harder to maintain in the face of rising rates. That is partly because higher Treasury yields offer investors the opportunity to generate returns with much lower risk. Also, rising rates increase companies' borrowing costs, making it harder for them to fund operations and investment. Corporate-bond yields have risen sharply this year.

The rally in stocks is also helping fuel the AI investment boom, which has been a major source of support for the overall economy. Tuesday, the Commerce Department said private construction spending on data centers came to an annualized \$75 billion in July, up \$51 billion from the end of 2023. Private construction spending on everything else fell by \$120 billion.

◆ The main forces that are pressuring bonds..... B10

China's goods exports



Source: World Bank

U.S., G-20 See Common Ground Over China Exports

By JON EMONT

American concerns about China's manufacturing and export juggernaut have gone global.

A Group of 20 statement implicitly criticizing Beijing for its overreliance on exports for growth marks a new stage in international pressure. The statement, issued Tuesday at the G-20 meeting of finance ministers and central-bank chiefs in Asheville, N.C., was a striking example of agreement in an otherwise-fractious affair that featured disputes over Russia and President Trump's policy toward Canada.

Countries across Europe and Asia worry domestic industries in areas such as autos, electronics and heavy machinery won't survive China's push to export its way out of domestic economic troubles.

"The G-20 has rarely spoken with this degree of consensus on nonmarket distortions and overcapacity," said Han Lin, China managing director for the Asia Group, a U.S. consulting firm. "It signals growing convergence among major economies that Chinese industrial policy is creating spillovers they increasingly feel compelled to address."

Countries agreed that "pushing out a never-ending stream of cheap exports is not sustainable," said Treasury Secretary Scott Bessent.

When it comes to China, "everyone's feelings have crossed a threshold," said Japanese Finance Minister Satsuki Katayama, observing that even Russia didn't oppose the statement.

CORRECTIONS & AMPLIFICATIONS

The Federal Reserve will meet this month. In some editions Wednesday, a U.S. News article about the Fed incorrectly referred to next month's meeting.

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-762-5450.

Worries Over Growth Mounting

Continued from Page One

its own, with a budget deficit forecast by the IMF to reach 7.5% of GDP this year and stay there through 2030.

Yet the bond market isn't rewarding what would look like

fiscal prudence. Yields are rising across advanced economies, as investors wrestle with resurgent inflation, the possibilities of artificial intelligence, and the debt loads and evolving spending plans of governments facing geopolitical upheaval.

Growth is a key distinction. The U.S. is forecast to grow faster than other major economies in the years ahead, propelled by the AI boom emanating from Silicon Valley and robust consumer spending.

Europe, the U.K. and Japan look stuck in lower gears, with forecasts suggesting they will struggle to eke out growth of as little as 1% this year and next, less than half the rate anticipated for the U.S.

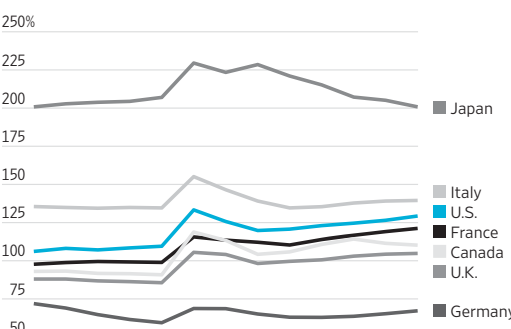
Governments are pledging fiscal restraint, but with growth subdued some investors are skeptical they will be able to finance outlays on pensions and new priorities such as defense without more borrowing. For others, rising yields reflect optimism that AI might, in fact, give economies new pep.

Either way, over the long term, economies in Europe and Asia are facing more severe demographic pressures than the U.S. as their workforces age and shrink, further pinching their capacity for growth without some technology-fueled productivity boost.

That raises questions about how their economies will generate the income needed to repay hefty debts. "It comes back to fiscal sustainability," said Mansoor Mohi-uddin, chief macro strategist at the Bank of Singapore, a private bank.

Bond yields have been creeping up all year as investors digest incoming news

Gross government debt, percent of GDP



Source: International Monetary Fund

about inflation and growth.

The U.S. conflict with Iran has throttled tanker traffic through the Strait of Hormuz, a key conduit for Middle East oil to reach global markets, pushing up prices for oil and gas.

Yields, which move inversely to bond prices, took another lurch higher Tuesday just as finance ministers and central bankers from the world's 20 leading economies were concluding two days of meetings in the U.S.

Many analysts said the spark was renewed hostilities between Washington and Tehran, reinforcing those inflation fears and the related worry that central banks will need to raise interest rates more aggressively to keep price growth on target.

The bond selloff extended into Wednesday, pushing yields on Japan's 10-year bond above 3%, a 30-year high, and the U.S. 10-year note to 4.8%. Benchmark 10-year yields also rose for the U.K., France, Germany, Italy, Australia and Canada.

Higher bond yields lift borrowing costs for governments, households and businesses, hitting economic growth.

Some advanced economies' growth prospects look subdued anyway, amplifying investor unease about lending to governments when inflation is quickening. Many are carrying debts that piled up during crises including the pandemic, and most are making new spending commitments rather than tightening their belts.

Consider Japan. Though it has a small deficit, Prime Minister Sanae Takaichi has pledged more borrowing and spending to finance investment in Japanese industries and set a temporary sales-tax cut for consumers. The Japanese economy is forecast by the International Monetary Fund to expand just 0.6% this year, compared with 2.3% for the U.S. Overall public debt is the equivalent of around 200% of GDP, the highest among major economies after de-

THE WALL STREET JOURNAL

(USPS 664-880)

(Eastern Edition ISSN 0099-9660)

(Central Edition ISSN 1092-0935)

(Western Edition ISSN 0193-2241)

Editorial and publication headquarters:

1211 Avenue of the Americas,

New York, NY, 10036

Published daily except Sundays and general

legal holidays. Periodicals postage paid at New

York, NY, and other mailing offices.

Postmaster: Send address changes to

The Wall Street Journal, 200 Burnett Rd.,

Chicago, MA 01020.

All Advertising published in The Wall Street

Journal is subject to the applicable rate card,

copies of which are available from the

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U.S. NEWS

D.C., Seattle Draw Families With Kids, Bucking Trend

Good jobs, schools keep kids in the city, but falling birthrates now pose a threat

By Rachel Louise Ensign
And Paul Overberg

Most big, expensive cities are losing kids as families struggle to cover the cost of living. The opposite is happening in Seattle and Washington, D.C., two pricey coastal cities diverging from the broader demographic trajectory.

The population of children under 18 in both cities grew 10% between 2015 and 2024, a bigger increase than in many family-friendly Sunbelt locales. Both places had an influx of affluent young professionals in the 2000s and 2010s who stayed once they had kids.

The cities possess a few common ingredients that seem to have spurred their growing population of children: high-paying jobs and decent local schools.

In Seattle, tech workers said relocating to the pricier San Francisco area would be a lifestyle downgrade. In D.C., home prices are up markedly in the nearby suburbs, which often come with crushing commutes.

Falling birthrates mean both could start to see their child populations decline again soon.

For now, though, there aren't just more kids in these two cities—the makeup of the child population is different than it was a decade ago. In both places, the number of children in families with in-

comes below \$100,000 fell while the number from families with higher incomes rose sharply, even after adjusting for inflation.

Washington, D.C.

Young college-educated professionals began flocking to the nation's capital in larger numbers in the mid-2000s. D.C. experienced the most intense gentrification of any place in the U.S. between 2000 and 2016, according to an analysis from the University of Minnesota Law School.

Many of these young professionals stayed in the city once they started having children, said Yesim Sayin, executive director of the D.C. Policy Center. Universal Pre-K for 3- and 4-year-olds, which became law in 2008, was a draw. Families can also choose from schools across the city, including charter schools, she said.

The number of kids in the city living in households earning under \$100,000 fell by 9% in the past decade, while those living in families earning six figures rose 37%, The Wall Street Journal's analysis found.

The number of children attending private school rose 37%, though the total number is much smaller than the number attending public school, according to the Journal analysis, which used census data, including some retrieved from IPUMS/University of Minnesota to compare 2014-2015 with 2023-2024.

"It used to be people moved to D.C., had children, and the moment the kids turned 5

they moved out," Sayin said. "The district became much better at retaining families after they had kids."

Caitlin Bergo fell in love with D.C. when she attended law school there in the late 2000s. In 2019, Bergo and her husband, Jeffrey Kiemen, got job offers in the city. The prospect of free early childhood education gave them the financial breathing room to make the move with their 1-year-old daughter from New Orleans to a rented home in the Mount Pleasant neighborhood.

Their daughter is now 8 and attends a bilingual Spanish and English neighborhood elementary school. She is getting opportunities Bergo didn't have growing up in a suburb of Chicago, such as school trips to the National Gallery of Art. The 41-year-old government lawyer and her husband also have a 2-year-old son.

But the D.C. economy that drove the influx of young professionals has faltered since the pandemic. The number of births peaked in 2016 and has fallen steeply since. The number of kids under 5 in the city is down 9% in the past decade, even as the number of children overall is up.

Seattle

Seattle saw an influx of highly educated young professionals in the 2000s and 2010s, many of them tech workers, said professor Sara Curran, director of the University of Washington's Center for Studies in Demography

and Ecology. In the decade ended in 2024, the adult population in Seattle grew 15%, the Journal's analysis found. The number of kids jumped 10%, from about 100,000 to about 110,000.

"There are a ton of parks, lots of activities, it's very outdoorsy," Curran said. There is no state income tax, and housing is cheaper than in places like San Francisco that have similar job opportunities.

Even after the recent increase in kids, Seattle still has the second-smallest share of children among the 38 cities with more than 500,000 residents in the Journal's analysis.

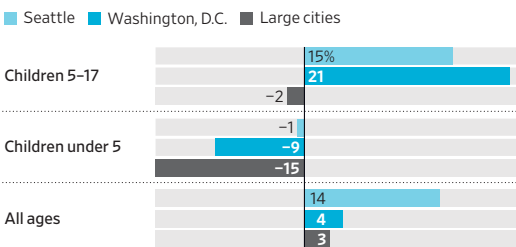
The kids who do live there are increasingly affluent ones. The number of Seattle kids living in households earning less than \$100,000 fell 31%, while the number living in households earning more than \$100,000 is up 34%, even after adjusting for inflation.

Mari Pierce-Quinonez and Austin Morton moved to the city in 2015, eventually landing tech jobs. The couple bought a home in the Beacon Hill neighborhood in 2020 and now live there with their three children, ages 6, 4 and 1.

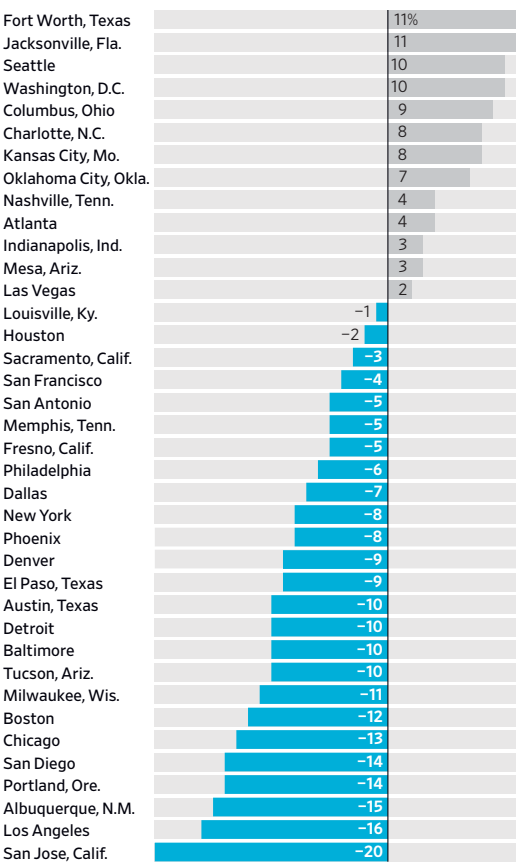
Pierce-Quinonez grew up in Berkeley, Calif., and Morton grew up in rural New Jersey, where his dad commuted two hours each way to his job in New York. "Neither one of those options sounded great, Pierce-Quinonez said.

They are staying put. "Why move? We have a good mortgage rate. We have some good public schools nearby," Morton said.

Change in population from 2015 to 2024



Change in child population from 2015 to 2024, in large cities



*For children under 18
Note: For 38 cities with more than 500,000 residents in 2024
Source: WSJ analysis of Census Bureau data

Kennedy Center's 'Blue' Sculpture Is Removed



GONE: The Kennedy Center on Wednesday took down a sculpture known as 'Blue,' the latest change to the cultural center as President Trump seeks to reshape Washington. The work, a tall, blue stick figure poised in mid-kick, was created by Joel Shapiro.

Judge Questions NYC Landlords' Rent Claim

By Rebecca Picciotto

A state judge pressed lawyers for New York City landlords on Wednesday about whether they could support their claim that the city's rent board engaged in a "sham process" to push through Mayor Zohran Mamdani's campaign promise to freeze rents.

Landlords are seeking to overturn a decision by the Rent Guidelines Board to ban increases on rents on stabilized apartments. They say Mamdani illegally influenced the voting process of the board, which is tasked with acting independently to weigh data about tenant affordability and landlord costs such as insurance, fuel and taxes.

The plaintiffs allege the board, heavily stacked with Mamdani's appointees, instead cherry-picked data to deliver the mayor's desired outcome.

"They left landlords to drown," Randy Mastro, the

lawyer who brought the lawsuit, said in court.

Justice Brendan Lantry pressed Mastro to substantiate his allegations against the city. Mastro, a former deputy mayor under Eric Adams, said Mamdani appointed a handpicked majority to the rent board upon taking office and held a private meeting with board members about the "true cost of living" in the city.

Lantry questioned the city's lawyers about the independence of the rent board and how it ultimately came to its rent freeze decision. "Like when we were kids in math class, explain their work," he asked.

The city's lawyers pointed to months of records outlining the data and testimony that the Rent Guidelines Board considered ahead of its vote. The city said the board followed the law by weighing that data and using its discretion to arrive at its decision.

Plane Carrying DHS Chief Makes Emergency Landing

By Michelle Hackman
And Drew FitzGerald

WASHINGTON—A Coast Guard plane carrying Homeland Security Secretary Markwayne Mullin made an emergency landing at Washington's Reagan National Airport Wednesday afternoon after one of the plane's engines failed and caught fire, according to a spokesman for the agency.

"The United States Coast Guard pilots made the single engine landing feel routine," Mullin wrote in a post on X. "No panic, just straight professionalism. After we landed, the pilots told me that was a first for them!"

The plane, a Gulfstream C-37A jet, diverted to the Washington, D.C.-area airport after its right engine failed.

The Coast Guard has used the jet in question to shuttle high-level officials since 2002, according to its website.

"We just lost our right engine and would like to declare an emergency," a Coast Guard pilot radioed controllers on the ground, according to audio from the incident. The aircraft had 14 people on board, the pilot said.

Mullin and several other senior DHS officials who were on the plane were unharmed.

Last year, Mullin's predecessor, Kristi Noem, purchased two new Gulfstream 700 luxury jets for the secretary's use after the department said the planes being used to ferry the secretary around the country were dangerously outdated. It isn't clear why Mullin wasn't flying on one of the new jets.

The jet diverted to Reagan National Airport after its right engine failed.

Taking Mug Shots Offline Stirs Debate

By Scott Calvert

Some scowl or stare blankly at the camera. Others look confused, resigned or scared. Each person had just been arrested in Wake County, N.C., and their mug shots glowed on a computer screen in grids of eight.

Soon those booking photos, and about 400,000 others spanning two decades, are set to vanish from a county website, the latest move across America to rein in the visibility of a mainstay of policing.

Wake County's plan to shutter its online portal follows the passage of laws in both red and blue states since 2020 curbing the release of mug shots. Backers say the limits avoid saddling arrestees with a digital scarlet letter that can cause lasting harm in employment and housing even after an acquittal or dismissal.

Transparency advocates counter that sharing mug shots can help solve crimes, vet claims of police abuse and avoid confusion when a person has a common name.

Rules and policies vary state to state and sometimes by police department, legal experts say.

"Depending on the jurisdiction in which you're arrested, that dictates whether or not this photo is going to follow you around for the rest of your life," said Sarah Lageson, an associate professor at Northeastern University's School of Criminology and Criminal Justice and School of Law.

In Wake County, home to the state capital of Raleigh, officials said unplugging the portal is a practical step: While North Carolina's Second Chance Act automatically expunges many charges that don't lead to a conviction, those erasures aren't reaching the county. So mug shots of many people who benefited from the law remain on its site.

"We don't want to be putting inaccurate information out there," said Sam Pennica, director of the county's Bureau of Forensic Services. The quandary is how to satisfy public-records requirements without mug shots spreading online "for anybody and everybody to see," he said.

The county's answer: Limit public access to a pair of in-person kiosks in Raleigh once the website goes dark, likely

this month. A statewide database also can be used for court-record searches.

Preventing anyone with an internet connection from perusing mug shots is a welcome step, said Dennis Gaddy, who lobbied for the Second Chance Act before its passage in 2020. "There's no more casualness to it," he said. "You have to work a little bit harder to get to the records."

Laura Webb, a project director at the nonprofit North Carolina Justice Center, applauds the county's plan, whatever its reason. It undermines the intent of the law if, after an expungement, someone can still see a mug shot in a Google search, she said.

But Mike Tadych, general counsel for the North Carolina Press Association, said the government needs to figure out how Wake County can keep its mug shots and associated arrest records current—and online. "I don't think the solution is to make others' access to them more difficult," he said.

North Carolina's Administrative Office of the Courts said it sends a daily extract of expunged cases to a data analytics center for use by the

State Bureau of Investigation and other agencies. But the center lacks authority to share updates with Wake County, a state agency spokesman said.

Statewide, 1.38 million cases were automatically expunged during the 2024-25 fiscal year, the most recent data available. Wake County is North Carolina's most populous county, with about 1.3 million residents.

Wake County's mug shots start on its website but soon fly across the internet to myriad third-party websites and social media platforms. A common destination is a Facebook page that catalogs local mug shots with names, ages, arrest dates and charges.

Commenters regularly mock arrestees. One recent post, which showed a 40-year-old man accused of providing armed security without proper registration, drew more than 100 comments, most making fun of his wandering right eye. The page, whose administrator didn't respond to requests for comment, sometimes links photos to a website that lets people rank mug shots and tag them as "funny," "spooky" and "hot."

U.S. NEWS



Nvidia CEO Jensen Huang was among the executives who spoke Wednesday at a Group of 20 summit in North Carolina.

Tech CEOs, White House Urge G-20 to Ease AI Rules

U.S. argues strict regulations would curb economies and scientific advances

By Amrith Ramkumar

CHAPEL HILL, N.C.—Tech executives and Trump administration officials urged policymakers from other leading economies to minimize artificial-intelligence regulations, arguing that strict rules could strangle an industry capable of supercharging global growth and curing diseases.

Nvidia Chief Executive Jensen Huang, OpenAI’s Sam Altman, Meta Platforms CEO Mark Zuckerberg and Elon Musk of Tesla and SpaceX were among the speakers at a Group of 20 summit focused on innovation and technology, and they cautioned that aggressive regulations could limit the benefits of AI.

Their message was echoed by Commerce Secretary Howard Lutnick, White House AI adviser David Sacks and Michael Kratsios, director of the

White House Office of Science and Technology Policy, who said the administration’s light-touch strategy is boosting the economy.

“Don’t regulate hypothetical, theoretical harm. Regulate actual and pragmatic harm,” Huang told officials from the G-20 countries, adding that tech advancements such as advanced model training to make models more accurate are making AI safer than regulations proposed by the Biden administration and others.

“President Trump is committed to ensuring that the United States leads in AI and brings the American AI stack across the world to our G-20 partners,” Lutnick said at a press conference.

The talks on the Chapel Hill campus of the University of North Carolina followed hacks of other organizations by AI models from OpenAI and Anthropic that underscored the rapid advancements in the sector and mounting security concerns.

Sen. Bernie Sanders (I, Vt.) called this week for a global pause in AI development.

Dozens of students and local activists briefly protested outside the event, adding to a wave of pushback against the build-out of data centers powering AI across the country. The county hosting the event recently passed a one-year moratorium on new data centers, one of dozens of localities to do so in recent months due to fears about excessive power and water usage.

“It’s misinformation, and by setting a moratorium on data centers, that means the next set of opportunities just won’t go to you,” Lutnick said.

The power of recent AI models has forced the Trump administration to increase oversight of the industry in what it says is the least restrictive way possible and fueled concerns among leaders in other countries that they could be shut out of a transformative technology. The administration has started reviewing the most powerful tools before they are released and briefly shut down two Anthropic models in June due to security concerns.

OpenAI and other compa-

nies have added layers of security to prevent safety incidents and are releasing models in phases following the incidents. The White House has stopped short of instituting mandatory regulations, instead calling prerelease testing voluntary.

The U.S. is also urging countries not to use cheaper models from China, which hopes to get nations hooked on its more cost-effective tools.

Kratsios and Lutnick met with Chinese officials, and China signed a set of broad innovation principles alongside other G-20 countries.

Chinese companies have released powerful open-weight models in recent weeks which let users download the numerical parameters that determine their behavior, prompting administration officials to consider restricting access to those tools due to security concerns. Zuckerberg, Huang and other executives have pushed back on such restrictions, arguing that increasing access to all AI tools is the best way to bolster security systems.

U.S. Government Supports OpenAI In Copyright Fight

By Alexandra Bruell

The U.S. government has filed a statement in support of OpenAI in its legal battle with the New York Times and other publishers, arguing that training on news content is within the bounds of “fair use” under U.S. copyright law.

Making it more difficult for large language models to train on copyrighted content would be “inconsistent with basic copyright law principles” and thwart creative and scientific progress, according to a letter submitted by Associate Attorney General Stanley E. Woodward Jr. and Assistant Attorney General Brett Shumate from the Justice Department.

Fair use is a doctrine that allows for copyrighted material to be used without permission in certain circumstances.

“The Administration is siding with a handful of trillion-dollar AI companies at the expense of the countless American creators whose work they stole,” a New York Times spokesman said. The administration’s stance, the spokesman said, would “undermine the sustainability of the human-created content that a healthy society depends on, and which AI needs to function.”

The Times sued Microsoft and OpenAI in December 2023 for copyright infringement, alleging that ChatGPT and Microsoft’s Copilot trained on millions of pieces of Times content and had drawn on that material to serve up answers to users’ prompts.

The suit primed a wave of legal battles over artificial-intelligence technologies that reflected an existential shift in the news-publishing business. Publishers have taken varied approaches to the rise of generative AI, in some cases making licensing deals with tech companies, and in other cases suing to protect intellectual property.

News Corp., owner of The Wall Street Journal, has a con-

tent-licensing partnership with OpenAI.

The Justice Department’s letter spells out the government’s position that the use of copyrighted materials to train AI models doesn’t violate copyright law. The government argued that training AI on written works is “exceedingly transformative” and doesn’t hamper the market or the value of the copyrighted work. It is also the latest show of support by the Trump administration for big technology and AI companies.

The administration has taken a light-touch approach to regulating the AI industry, saying it is paramount that the U.S. beat China in the race for technological supremacy.

“Rules of law that make it significantly more difficult to develop a robust AI industry in the United States therefore threaten national security and give a competitive advantage to foreign adversaries who are not so encumbered,” the government wrote in the court filing this week.

The letter comes days before the parties are expected to submit new motions asking the judge to rule in their favor on at least some of their core arguments, after completing discovery.

The government said in its filing that narrowing fair-use could hurt competition for large language models because only “the largest technology companies might have the capital necessary to pay licensing fees.” It would also “disproportionately benefit legacy media outlets” because they have more content than smaller independents, the government said.

The Trump administration has taken an aggressive approach to interactions with the media, and President Trump has filed lawsuits against both the New York Times and The Wall Street Journal over their coverage.

Training AI models on news content falls under fair-use law, U.S. says.

New York City Schools Ban Use of AI Through 8th Grade

By Joseph De Avila

New York City is banning the use of artificial intelligence in public-school classrooms through middle school for one year while officials study the impact of the technology.

“The tech industry wants us to believe that AI-powered

early education is not only inevitable, but necessary,” Mayor Zohran Mamdani said on Wednesday. “We do not see it that way.”

The new policy bans student-facing AI use from preschool through eighth grade, covering about 600,000 students in the nation’s largest

public-school system. Chatbots will be prohibited across all grades. New York City schools will also introduce new screen-time limits.

City officials will study the impact of using AI in the classroom and will release a study with recommendations for coming school years.

New York’s ban on AI follows demand for more tech guardrails in schools from parents looking to cut screen time at home.

The city is also developing AI literacy classes for high-school students to teach them how the technology works and educate them on its risks, eth-

ical considerations and how it could affect their careers.

Teachers will be allowed to use AI for instructional planning and other tasks. Exceptions to the moratorium could be made for assistive technology use for students with disabilities and for career-readiness programs like computer

science.

“We’re standing firmly in our belief that innovation does not mean more technology,” Schools Chancellor Kamar Samuels said. “Over the next year, we will lead with evidence to make sure technology serves learning—not the other way around.”

Data Center Opposition Unites Foes

Continued from Page One

the populist level that unites disparate elements of our country more than this.”

Bannon’s experience shows how AI is the latest “horseshoe issue” that unites the left and right populist flanks of each party. The bipartisan opposition to the data centers, which is growing even as little has been done to address the issue in Washington, is driven by concerns about the centers’ power and water consumption, potential AI-caused job losses and broad distrust of Big Tech.

“Politics is always a situation where you make strange coalitions and different coalitions every day,” Sanders said in an interview. “But on this issue, I think many of the right-wing people have the same concerns that I have.”

In seeking Republicans’ support, Sanders said he had pitched the AI backlash as a religious issue because the

technology advances highlight deeper questions about what it is like to be human. Bannon has taken a similar approach, hiring a transhumanism editor years ago who comments about AI risks on Bannon’s “War Room” podcast. Sanders said he hadn’t spoken about AI with Bannon or Tucker Carlson, the former Fox News host who recently debated television personality Kevin O’Leary about O’Leary’s plans for a data center in Utah.

Bannon said he now spends 75% of his time fighting AI’s expansion when he isn’t working on his podcast and can’t tell whether data-center foes who attend town-hall events he watches are Trump supporters or Sanders fans. Bannon said he talks to several progressives about AI and has criticized his Republican former boss for having close ties to tech executives.

“Just so you know we’re not friends, you can’t sit with us, but we can agree on this one,” Megan Romer, the national co-chair of the Democratic Socialists of America, said about being on the same side of an issue as Bannon.

The AI backlash is fueling a wave of campaign ads in mid-term races across the country



Steve Bannon, left, agrees with Sen. Bernie Sanders and Rep. Alexandria Ocasio-Cortez on AI.



FROM LEFT: AARON SCHWARTZ/BLOOMBERG NEWS; WILL OLIVER/EPIC/SHUTTERSTOCK

moratorium on the construction of data centers has no Senate co-sponsors. While Ocasio-Cortez, the bill’s sponsor in the House, has 14 co-sponsors, all of them are Democrats. The same is true for Casar’s tax proposal.

Bills sponsored by Democrats and Republicans such as measures addressing the power consumption of data centers, chatbot usage and chip-export restrictions have made some progress in Congress but haven’t become law, and plenty of opposition remains from allies of Trump and the tech industry.

“First they killed our timber mills, then our mines, then our factories—now data centers. Every good-paying, middle-class employment powerhouse has been systematically murdered by globalist and communist lobbying in America,” Sen. Tim Sheehy of Montana, a Republican, said recently on X.

Joe Lonsdale, a venture capitalist and co-founder of data-mining firm Palantir, who donated to Trump, recently said that the administration and tech industry needed to stand up to “crazy populists.” He labeled them the “BBC”: Bernie, Bannon and the Chinese Communist Party.

“All those people want to ban data centers and they want America to lose,” Lonsdale, who backs an industry super PAC, said on Fox Business. “We have to make sure the BBC radicals lose.”

along with legislative proposals. The resistance is forcing congressional candidates and governors such as Republican Greg Abbott of Texas and Democrat Josh Shapiro of Pennsylvania—who both praised data centers last year—to backpedal and pause or restrict development.

Ads that cast data centers or AI in a negative light have been run by candidates or outside groups in more than 70 U.S. House, Senate and gubernatorial races since 2025, according to a Wall Street Journal review of transcripts collected by AdImpact.

Ads with anti-AI content, or that promise action around halting or mitigating the impacts of data centers, have also run in at least 50 state

legislative races and further down the ballot, including an Arizona mayoral contest and a county-commissioner primary in Colorado. In some races, including the contest to succeed Republican Ron DeSantis as Florida governor, both leading candidates have targeted some aspects of AI data centers in advertisements.

“I’m not sure if there’s a more bipartisan issue today than the backlash against unregulated AI data centers,” said Gene Sperling, who directed the National Economic Council in the Clinton and Obama administrations and advised former President Joe Biden’s administration.

He recently advised on a bill sponsored by Rep. Greg Casar (D, Texas) that would create a

new tax on AI companies. Sperling said he thought the economic fears were helping to make AI a mainstream, “apple pie” kitchen-table topic.

The issue has touched license-plate reader Flock Safety, whose AI-enabled cameras used to deter and solve crimes have fed fears across the U.S. about surveillance. Progressive U.S. Senate candidate Abdul El-Sayed of Michigan and conservatives such as DeSantis and Sen. Josh Hawley (R., Mo.) are among those calling for increased oversight of the company, and the volume of ads focused on the issue has surged.

While the backlash is fervent on the ground, Washington remains stuck. Sanders’s legislation that would put a

PAID ADVERTISEMENT



“

Our oneness and diversity has to be celebrated, has to be respected, has to be accepted. India has a civilizational ethos built on Vasudhaiva Kutumbakam - the world is one family. India is a living example of this diversity.”

Dr Mohan Bhagwat

Head of the World's Largest Voluntary Organization
Rashtriya Swayamsevak Sangh (RSS), India

39 states , 853 cities, 5000 delegates, 250 organizations from USA came together to celebrate #UniversalOneness at MSG NYC. Aug 29, 2026

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U.S. NEWS

How a Quest to Save Galliano’s Legacy Failed

A few New Yorkers halted designer’s bid for redemption after his antisemitic past

Anna Wintour was on a yearslong quest to reclaim John Galliano’s legacy.

By *Chavie Lieber, Anna Silman and Kelly Crow*

The British designer’s career fell apart in 2011, after antisemitic and racist comments cost him top jobs in fashion and led to a criminal conviction in France. Wintour had worked to rehabilitate his image, and finally the moment had arrived: a multimillion-dollar party in his honor and a legacy-enshrining exhibit, both held at the Metropolitan Museum of Art.

Then Julie Menin stepped in.

Menin, the New York City Council speaker, whose mother and grandmother were Holocaust survivors, told the most influential woman in fashion that she was making a “grave mistake.”

“In a time of rising antisemitism, this absolutely sends the wrong message and sets a very dangerous precedent,” Menin recalled telling Wintour, the global editorial director of Vogue and the chair of the Met Gala, during a Zoom call in mid-August.

Though Menin said Wintour tried to assure her that the curator of the Met’s Costume Institute, Andrew Bolton, had plans to contextualize the designer’s antisemitic comments, Menin wasn’t persuaded.

“I don’t think antisemitic remarks need to be contextualized,” Menin said in an interview with The Wall Street Journal. “Of course, people can repent and have a second chance. But they should not be lauded.” She said that the City Council had allocated more than \$3 million to the museum next year but that if the exhibit went forward, “certainly this would be a factor in upcoming decisions.”

Wrote to museum

Menin wrote a letter to the museum, reiterating her concerns. Galliano might be an influential artist, one worthy of critical exploration in an exhibit and perhaps even forgiveness, she wrote, but to celebrate him would cross a line.

Wintour had offered to introduce Menin to Galliano, and the speaker agreed to a mid-



Designer John Galliano posed with models at the Christian Dior Haute Couture show as part of Paris Fashion Week in 2010.

September meeting, a spokeswoman for Wintour said. Meanwhile, Menin took her grievances public, posting her letter to X.

A few days later, the exhibit was off.

Menin’s outcry helped thrust into the public eye the private effort to get the Met to revise its plans to fete Galliano at a time when antisemitism is rising globally. Politicians condemned the celebratory exhibit and attendant gala as tasteless and insensitive. Donors threatened to pull funds and works earmarked for the museum.

“I couldn’t hold my head up if I didn’t say anything,” said Arne Glimcher, founder of Pace Gallery, who, with his wife, Milly, has donated more than 50 works to the museum including pieces by Agnes Martin, Mark Rothko and Jean Dubuffet. He said he had written a letter to the museum last week saying that he and his wife were thinking about changing their will: Artworks they intended to bequeath to the museum might no longer be donated after their deaths unless the Galliano show was canceled.

Glimcher, whose late brother-in-law Morris Dach was a survivor of Auschwitz, said he had spent the weekend trying to get others to write similar letters, but said everyone was “afraid to give their names. But what is there to be afraid of?”

People close to the museum were reluctant to speak about the exhibit, its organizers or Galliano himself. Some said

high-profile donors were worried about attaching their names to the controversy amid a climate where stereotypes about influence are weaponized against Jews.

Artist and the art

The cancellation has reanimated a longstanding debate about creative genius: Can the artist be separated from the art?

Galliano, who is revered in the fashion world for his creative direction at Dior and Maison Margiela, has long been one of the industry’s most polarizing figures. In 2011, the designer lost his job at Dior after a British tabloid published a video of him drunkenly proclaiming “I love Hitler” and telling cafe patrons their “forefathers would all be f—ing gassed.” Later that year, he was found guilty of a hate crime over additional incidents where he made racist and antisemitic remarks. He has said that he was drunk and struggling with substance abuse at the time, and has since gone to rehab, gotten sober and sought counsel from Jewish leaders.

“We give politicians second chances all the time, why won’t we give that to a creative person?” Abe Foxman, the former national director of the Anti-Defamation League, an advocacy group that works to fight antisemitism, said in 2013 in an interview about Galliano. “Forgiveness is at the heart of Judaism.”

But critics say there is a dif-

ference between forgiving Galliano’s words and throwing a glamorous party in his honor—which also happened to fall on Holocaust Remembrance Day.

“We open the door to *teshuva*,” said David Wolpe, a rabbi in Los Angeles, using the Hebrew word for repentance. “But we don’t necessarily carry them on our shoulders if they have repeatedly said some truly awful things.” Wolpe published a punishing Substack essay in which he called the Met’s Galliano exhibit a “moral travesty.”



John Galliano and Anna Wintour in 2010 in New York.

On Monday, the Met announced that the exhibit and gala would no longer proceed as planned. “I understand that meaningful atonement is not achieved through an exhibition, institutional recognition or a single public gesture,” Galliano said in a statement. “It is a continuing responsibility, demonstrated through listening, learning and one’s conduct

over time.”

“John’s decision to ask the Museum to postpone the exhibition devoted to his work is very courageous and a measure of the man he is,” Wintour said in her own statement. “I believe this is the right decision, and both he and the museum have my full support.”

In an emergency board meeting held after the cancellation was announced, museum CEO Max Hollein and board co-chair Tony James said that the way the exhibit came together was a mistake, according to a person on the call.

Some knew about the Galliano exhibit, but the full board, which has around 100 members, hadn’t been notified before it was announced publicly at the end of July, the person on the call said. A spokeswoman for the museum said the Met planned to inform the entire board at a later date and that the museum announced the exhibit early because the New York Times reported it.

The planned exhibit, titled “John Galliano: Horizons,” was to span the designer’s four decades in fashion. It would also “directly address the rupture caused by his antisemitic, racist, and anti-Asian conduct,” according to the Met’s exhibit announcement.

“There is no one more deserving of an exhibition of this scale than John Galliano,” Wintour told Vogue in July.

Leading up to the announcement of the exhibit, Wintour, Galliano and Bolton, the Costume Institute curator, met

with some leaders of the Jewish community, including Rabbi Rick Jacobs, president of the Union for Reform Judaism in North America. Jacobs told the Journal in early August that he lent his support to the exhibit.

A spokesman for the Anti-Defamation League said the organization was consulted only after the exhibit was already announced. In a statement to the Journal in early August, CEO and national director Jonathan Greenblatt said the ADL had accepted Galliano’s apology but was concerned about the exhibit’s timing. “It’s on the Met and partners to meet the moment, not with token gestures around one exhibit,” he said.

After her meetings with Wintour and the Met, Menin said, she met with multiple insiders at the museum and encouraged them to speak up.

Glimcher said the museum would now stay in his and his wife’s will. “The moral standing an institution takes defines that institution,” he said.

Questions persist

As the postmortems begin, some are questioning how the exhibit’s planning came so far to begin with.

While it is widely seen as Wintour’s baby, multiple leaders at the museum, which is home to the largest collection of Galliano’s work, had publicly championed the exhibit.

“John Galliano has exerted a profound influence on fashion over the past four decades,” Hollein, the Met CEO, said in his statement announcing the event.

In his own statement, Bolton, who published a book about Galliano’s tenure at Dior, said the exhibit would consider “both how Galliano has remapped the world through fashion and how his conduct, its consequences, and changing cultural values have reshaped our understanding of his work.”

Wintour and Bolton planned to theme an exhibition around Galliano in 2024 before the idea was shot down internally, people familiar with the plans said.

“A celebration of John’s work, because it is so important and it has been so brilliant, I think is really deserved,” said Simon Ungless, an old friend of Galliano’s and longtime printmaker for his professional rival Alexander McQueen. “But I think people should read the room. It’s not the time for it. And whether it will ever be the time, who knows?”

Google Avoids Ad Breakup

Continued from Page One
off its ad exchange was the only way to curb its dominance and open the market to new competition.

Brinkema disagreed. In a two-page order, she adopted other proposals that would curb Google’s ability to control how publishers use its ad technology.

“We’re very pleased the court rejected the DOJ’s proposal to break apart tools that help small businesses reach new customers and grow,” said Lee-Anne Mulholland, Google’s vice president of regulatory affairs.

The Justice Department said it is weighing its next steps but believed the court’s order includes substantial changes to how Google operates. “We are one step closer to restoring competition and bringing relief for the American people in online advertising markets,” a department spokesman said.

The case adds to two other setbacks in which courts found that government antitrust cases against tech giants were effectively out of date by the time they went to trial.

The Justice Department brought the first big antitrust case against Google during the first Trump administration, which was then litigated in the Biden era.

In that one, U.S. District Judge Amit Mehta agreed that Google’s tactics for dominating online search were illegal, but he declined to or-

der sweeping changes to its business because he believed consumers’ habits would change as artificial intelligence disrupts traditional search engines.

Facebook owner Meta Platforms avoided the Federal Trade Commission’s breakup threat last year when a court ruled that enforcers misjudged its control over the social-media market. The FTC alleged in 2020 that Meta illegally built a monopoly in social networking, but the court said the rise of TikTok neutralized the agency’s theory.

The Justice Department filed the ad-tech lawsuit in January 2023, during then-President Biden’s term, taking aim at Google’s strategies for maintaining its dominant position in the online-ad market.

During the trial, Brinkema had questioned the practicality of a breakup, expressing uneasiness with not knowing who would buy Google’s ad exchange and operate it in the future. The judge suggested it would be more efficient to order Google to stop the anticompetitive conduct she found to be illegal.

Her full opinion on Wednesday was sealed temporarily to give the parties time to redact any confidential business information.

While the Trump administration inherited the case and carried on the attempt to break up the company, the president’s appointees have recently moved away from attempting to use antitrust law to surgically overhaul dominant businesses. The Justice

Department, for instance, recently settled a lawsuit with Live Nation that had sought to force its divestiture of Ticketmaster. The department settled instead for limits on Live Nation’s ability to control ticketing at many amphitheaters.

Google’s dominant web-advertising business functions like a stock exchange, matching advertisers’ orders to buy ad space with website inventory sold by publishers.

Google owns the tools for both sides of the market, making it impossible for publishers to exploit ad demand without paying excessively for Google’s tools for managing their online ad sales, the Justice Department

alleged.

Because of its monopoly, Google was able to charge a 20% fee that reduced how much publishers earned, Brinkema wrote in an April 2025 opinion that had found the company liable for antitrust violations.

News Corp, owner of The Wall Street Journal, has a commercial agreement to supply content on Google platforms. It has been an outspoken Google



Google owns tools for both sides of the online-ad market.

critic and was among the companies contacted by antitrust investigators.

The ruling is unlikely to change the ad industry or help web publishers in the short term, according to industry experts. Growth in open-web advertising, where digital ads appear across a wide range of independent sites, has slowed.

Advertisers have shifted the majority of ad spending to specific platforms owned by big technology players such as YouTube, Instagram, and Amazon. The migration of ad dollars away from the open web accelerated in 2021 after Apple introduced mobile privacy features that restricted user tracking.

While Google’s ad-technology stack has dominated the placement of display ads across third-party websites, the amount of money the business takes in represents a small part of the company’s overall revenue.

Last quarter, Google made \$7.3 billion from network ads out of Alphabet’s \$119.8 billion total revenue.

For some, the ruling is bittersweet. The damage is already done, said Brian O’Kelley, an ad-tech veteran. “Google killed so many competitors in the ad tech business because of its behavior,” O’Kelley said.

U.S. WATCH



FOR SALE: A vending machine began offering \$1 coins featuring President Trump at the U.S. Mint Coin Store on Wednesday.

OBITUARY

Cassandra Wilson, Jazz Vocalist, 70

Cassandra Wilson, the two-time Grammy Award-winning jazz singer, songwriter and producer, has died. She was 70.

Wilson was best known for her genre-bending voice, which expanded the boundaries of traditional blues-based jazz and worked effortlessly across folk, pop, R&B, country and beyond. At the heart of all her work was her idiosyncratic contralto, a soulful sound distinctly tied to her roots.

She died in her native Jackson, Miss., on Tuesday morning, the Hinds County Coroner Jeramiah Howard confirmed.

Her instantly recognizable voice earned her four Grammy nominations and two wins for best jazz vocal album. Those were in 1997 for “New Moon Daughter” and 2009 for “Lovely.”

—Associated Press

FLORIDA

Woods Pleads No Contest

Tiger Woods pleaded no contest to a reckless driving charge and his driver’s license was suspended for five years Wednesday following a March rollover crash in Florida, where he initially was accused of driving under the influence.

The golfer was arrested in March after his SUV clipped a truck and rolled over on its side on a beachside residential road near his home on Jupiter Island.

A sheriff’s report said deputies found two pain pills in his pocket and he showed signs of impairment. He did a Breathalyzer test, which came out negative, but refused to take a urine test.

He pleaded not guilty to the original DUI charge.

He said little as he agreed to the reduced charge and left the courthouse without addressing reporters.

—Associated Press

WORLD NEWS

U.S. Is Extending Mideast Deployments

Troops are to remain on hand into 2027 as Iran digs in amid pressure campaigns

By **SHELBY HOLLIDAY**
AND **ALEXANDER WARD**

When the U.S. launched its war against Iran six months ago, Defense Secretary Pete Hegseth promised a quick, decisive blow that would avoid a long entanglement. Now, he is extending troop deployments that signal the conflict could drag into 2027, said people familiar with the matter.

The move is part of an open-ended military strategy designed to give President Trump options, the people said. But the culmination of 19 deployed warships, air-defense units, fighter squadrons and paratroopers stretched across the region also is put-

ting a strain on servicemembers and their families, as well as creating a maintenance backlog that could take years to unwind, the people noted.

The Pentagon's all-in approach comes as Trump has sent mixed signals on what might happen next. Trump has embraced an economic-pressure campaign in recent weeks in the hopes of forcing Iran to the negotiating table. Tehran has shown no sign of backing down, however, and the U.S. and Iran continue to exchange fire.

Privately, Trump is having discussions with senior aides about whether to declare the Iran war over, U.S. officials said, noting Trump has said he favors the idea. He also tells aides that he believes sticking with economic pressure will eventually force the regime either to dismantle its nuclear program or collapse, they said.

"I like our position now much better, with almost total

control of the Hormuz Strait, and their economy totally collapsing," he wrote on social media. "They are just playing out the inevitable. When are the Iranian people going to rise up and fight?"

Aides are advising Trump that an escalation of the Iran war beyond recent strikes could endanger Republican prospects in the November midterm elections. The president has said he isn't taking electoral consequences into account when making decisions on the war.

As Trump waits to see if his strategy will work, the U.S. military is maintaining a presence of 50,000 troops in the region. Current missions include intercepting Iranian missiles, providing cover for commercial ships in the Strait of Hormuz and blockading ports and coastal areas. U.S. forces also stand ready to launch larger offensives should Trump choose to escalate.

Last month, Trump received briefings from aides on options including stepped-up airstrikes and sending in ground forces to seize Iranian islands near the Strait of Hormuz. He also has considered bombing a site called Pickaxe Mountain that could be used for covert nuclear work. Such missions require significant military assets.

As the conflict drags on, the Pentagon's deployment schedules are growing longer too, said the people familiar with the matter. Warship crews, air-defense units and paratroopers are among the forces being ordered to stay in the region longer than expected, the people said.

A Pentagon official declined to comment on troop deployments but said the department provides various options for the commander in chief. U.S. Central Command declined to comment, citing operational security. The White House

pointed to Trump's comments.

Army air defenders, who work under pressure to bat down Iran's missiles and drones, have seen their standard deployment timeline shift to 12 months from nine months, one of the people said. And some units that moved to the Middle East from their planned posts in Europe and the Pacific have been deployed for more than a year, some of the people said.

Navy ships and crews also are being stretched as they continue to enforce Trump's blockade. The U.S. has 19 warships in Middle East waters, including two aircraft carriers and 13 guided-missile destroyers, according to a Navy official.

Several of the destroyers, including the USS Delbert D. Black and the USS Spruance, were sent to the Middle East for the opening salvos of the Iran war. Now enforcing the blockade, these smaller war-

ships with 300 people aboard are sailing for several months at a time, instead of taking breaks every month or so, some of the people said.

"They're setting it up to be sustained over the long haul, meaning well into next year," said Bryan Clark, a former senior U.S. Navy official and now a senior fellow with the Hudson Institute. "But to sustain it at this level, it means you're giving up presence in other regions. So you're kind of going all in on Iran being the focus of military posture over the next year."

The Pentagon could also keep elements of the Army's 82nd Airborne Division in the Middle East well into 2027, according to a letter sent by military leaders to families, which was viewed by The Wall Street Journal. "We do not share that lightly, and we understand that a longer tour weighs heavily on every household, including our own," the letter said.

USS Lincoln Makes Port Following 286 Days at Sea

By **GABRIELE STEINHAUSER**
AND **MIKE CHERNEY**

PATTAYA, Thailand—After 286 days at sea, the USS Abraham Lincoln aircraft carrier with nearly 5,000 sailors and Marines on board docked in eastern Thailand Wednesday morning for a port call.

Carrying backpacks and duffel bags, and wearing civilian clothes, crew members smiled and waved at a small crowd of Americans and other local expats that had assembled to greet them. "Feels great," one of the men coming off the ship said to claps and cheers.

The Lincoln played a key role in the U.S. bombing against Iran and participated in President Trump's blockade of Iranian ports. It spent more than 200 days in a combat zone and launched more than 10,000 sorties, according to acting Secretary of the Navy Hung Cao.

Many of the sailors and Marines from the Lincoln are spending their first extended time on land in more than nine months in the beach town of Pattaya, which is known for its nightlife.

The carrier's long deployment, along with reports of fresh-food shortages and one sailor going overboard, have prompted questions from families and Democratic lawmakers.

The Navy has acknowledged the difficulties associated with long deployments, but said there was always adequate food and that "a small number" of mental-health cases were treated with no loss of life.

"What this strike group has accomplished is truly historic," Rear Adm. Robert E. Loughran,

commander of Carrier Strike Group 3, which includes the Lincoln, said on Wednesday.

"I've missed a lot with my family. I've missed every birthday, every anniversary," said one sailor, adding that he wasn't able to be home to comfort relatives after the deaths of his aunt and mother-in-law. But the sailor, added, "One of the biggest things I'm most proud of is not quitting."

The Lincoln left its home port of San Diego in November. Though it stopped in Guam in December and briefly in Oman in July, the Navy said the Thailand visit is its first full port stop since the start of its deployment. It arrived in eastern Thailand along with the USS Frank E. Petersen Jr., a guided-missile destroyer that had also been deployed in the Middle East, and the USS Robert Smalls, a guided-missile cruiser.

In Pattaya, screens and banners welcomed the crew for their five-day visit. "Thank you for your service," read a sign at the M's Mojito bar.

Shakeira Fairfax had flown from New Jersey to see her 25-year-old daughter, Jada, who shipped out weeks after completing basic training in October. "There's been some rough patches, but we're going to choose to see the better side of this," Fairfax, 43, said.

Working days on the carrier were long, with little rest, and there were weeks without contact with friends and family. "She's where any reasonable person would be after being at sea for more than 250 days," Fairfax said.

Todd Wende, a former com-



The USS Lincoln arrived in Pattaya's port before servicemembers disembarked on Wednesday and visited a Hard Rock Hotel.

mand master chief in the Navy who served on aircraft carriers, said sailors can usually expect a port call every 30 to 45 days. "I think the main thing these guys want is just to be off that ship, and have a decent meal and not have somebody be in charge of them for a few days," he said.

On board, he said the sailors likely had to battle the uncertainty of how long their deploy-

ment was going to last, while also avoiding complacency and maintaining sharp focus in a dangerous environment.

Plenty of things can go wrong on the ship. Aircraft being moved around the flight deck could hit something else. The wrong pressure could be dialed into the catapult system used to launch the planes. Lookouts might be tired and miss potential threats.

"It turns into Groundhog Day on there," Wende said. Of the sailors' mental state, he said, "It does make you fuzzy...There's five to six thousand people on the ship, and you just probably see the same 50 a day."

Pattaya's mayor, Poramet Ngampichet, told journalists the sailors and Marines had been told to stay away from two streets after sunset that are popular hangouts for the city's sex workers. Prostitution is illegal in Thailand, but sex workers are a common sight in Pattaya.

Sailors joined throngs of tourists on Walking Street, Pattaya's main drag packed with bars and clubs. Several paid the equivalent of \$3 to drape a yellow python over their shoulders, but, like others approached by Wall Street Journal reported, declined to

comment on their deployment.

At the Hard Rock Hotel, some enjoyed their first cold beer and cocktails in months and ordered burgers and pizza.

The U.S. personnel arrived in the middle of Pattaya's low tourist season. Local business owners said recent numbers have been far below what is normal for this time of the year, reflecting travel disruptions and high ticket prices amid the Iran conflict.

"Having U.S. troops visit benefits our local economy through their spending on food, travel and shopping," said Damri Sangtang, the owner of Coffee War, a cafe and museum with a big collection of American surplus jeeps, aircraft and equipment about a half-hour drive from town. "I hope Thai people see them as tourists stimulating our economy rather than just focusing on nightlife."

Xi Visits Egypt as China Bolsters Middle East Ties

By **BRIAN SPEGELE**

Chinese leader Xi Jinping kicked off a state visit to Egypt that aims to reinforce Beijing's ties with one of the U.S.'s most important partners in the Middle East, part of a diplomatic offensive to showcase China's global influence ahead of a visit to Washington expected this month.

Xi told Egypt President Abdel Fattah Al Sisi in Cairo on Wednesday that China supported countries in the Middle East exploring a new security architecture and that China was opposed to interference by "external forces" in the region, clear swipes at the U.S.

As energy shipments through the Strait of Hormuz remain disrupted, Xi said China was ready to help "safeguard the security of international shipping lanes," China's Foreign Ministry said.

For China, the three-day Egypt visit is part of an effort to bolster Xi's image as a global statesman. Xi since 2020 had preferred foreign

leaders to visit him in Beijing. But his recent schedule includes more international travel.

Xi is paying his first visit to Egypt in a decade and the Middle East in about four years amid the U.S. entanglements with Iran and continued trouble for Israel on its borders, suggesting China sees opportunities to make progress in reshaping the global environment in its favor.

Xi's trip to Egypt, combined with his recent visit to Kyrgyzstan, sends a message to Washington that China has friends around the world as the U.S. has alienated many of its allies, said Julian Gewirtz, a senior research scholar at Columbia University's School of International and Public Affairs.

"The timing is exceptionally pointed," said Gewirtz, who worked on China affairs in the Biden administration. Xi "is not doing this diplomatic engagement around the world in spite of his upcoming travel to Washington. He is doing it

partly because of his upcoming travel to Washington."

President Trump previously said he had invited Xi to visit the U.S. on Sept. 24, though China hasn't publicly confirmed the date.

In a sign that tensions continue behind the scenes, Chinese Foreign Minister Wang Yi told the U.S. ambassador in Beijing last week the two countries needed to "remove disruptions and overcome obstacles" for meetings, the Chinese Foreign Ministry said.

In Cairo, Xi received a lavish welcome Tuesday evening, with Egypt's president and his wife, together with an honor guard, all awaiting the Chinese delegation on the airport's red-carpeted pavement.

Sisi on Wednesday also praised China's support for the Palestinian people, the Egyptian government said.

To be sure, China has little ability, or desire, to replace the U.S.'s role in the Middle East. And for decades, as a leading Mideast oil importer, China benefited from U.S. efforts to



Xi Jinping, second right, met with his counterpart, Egyptian President Abdel Fattah Al Sisi, in Cairo on Tuesday, where China's leader took swipes at the U.S. role in the region.

keep the region's sea lanes operating smoothly.

But as the U.S.'s standing has suffered across much of the region from the war in Iran, and as shipping through the Strait of Hormuz remains disrupted, Beijing is pressing its case for developing countries to take more responsibility over security issues that once were dominated by the U.S.

The people of the Middle East should be the "masters of their own affairs," Xi told Sisi, China's Foreign Ministry said.

The Egypt visit builds on a

speech Xi delivered in Bishkek on Tuesday at a meeting of the Shanghai Cooperation Organization, a security bloc that includes Russia, Iran and Pakistan.

Without naming the U.S., he appeared to cast Washington as out of touch with other nations.

"Hegemonism, unilateralism and protectionism are resurging against historical trends," Xi said. "Nevertheless, the overwhelming majority of the world do not condone power politics, conflict and confrontation, or isolation and back-

wardness."

China has much to gain as it courts closer ties with Egypt. Faced with the threat of U.S. tariffs, Chinese exporters have increasingly turned to developing markets for business, including expanding the global sales of automobiles. China also has a major interest in ensuring the smooth passage of goods through the Suez Canal.

Deepening defense cooperation with Egypt, a major importer of weapons from the U.S. and Europe, also helps advance China's military goals.

WORLD NEWS

Ukraine Spies Shoot It Out On Kyiv Street

Three soldiers were wounded after tensions escalated between rival units

By MATTHEW LUXMOORE AND SERHII BOSAK

KYIV—A shootout in Kyiv between rival Ukrainian units has exposed a festering feud between two powerful intelligence agencies that are competing for influence and resources in the war against Russia.

A special-forces unit of Ukraine's domestic security service, known as the SBU, faced off against special forces overseen by the country's military intelligence directorate, or HUR, Ukrainian officials said.

Three of the latter group were wounded in exchanges of fire late Tuesday and early Wednesday, the officials said.

The spark, said one of the officials, was the SBU's recent detention of a Russian national fighting for Ukraine under the HUR's supervision, and the SBU's attempt to search an apartment at which the Russian and other HUR-backed fighters were staying.

The incident has embarrassed Ukrainian President Volodymyr Zelensky's administration as it is faces investigations into corruption among senior officials and malfeasance within some military units. Personal rivalries and shuffles have rattled the government.

Zelensky appealed to his intelligence chiefs to provide clear information to the public about what happened, a presidential spokesman said.

Zelensky's chief of staff, Kyrylo Budanov, said Ukraine's main investigative agency opened a probe. "No one has the right to illegally abduct servicemen or open fire on the streets of our cities," he said.

The SBU and HUR are Ukraine's premier intelligence agencies and the tips of the spear in the country's clandestine operations on Russian territory. Both have carried out operations including the assassinations of enemy military officers inside Russia and in Russian-occupied parts of Ukraine. But a contest between the two organizations for clout and resources recently deepened after leadership changes

in both agencies, people familiar with the matter said.

Budanov, who headed HUR for many years, was succeeded in January by Oleh Ivashchenko, a former foreign-intelligence chief who has shown less interest in publicly promoting daring military actions to boost the agency's stature.

As HUR chief, Ivashchenko now also oversees the agency's Timur Special Forces, an elite paramilitary organization with thousands of experienced soldiers. But most of these fighters retain loyalty to Budanov, who still exercises influence over the HUR, people familiar with the agency said.

Timur's units include the Russian Volunteer Corps, made up of Russians who fight for Ukraine. In late August, the SBU detained the Russian fighters' deputy commander, Stepan Kalpunov, holding him for a week without charges, said his lawyer, Taras Borovsky. The SBU didn't respond to a request for

comment. On Tuesday, the Russian fighters appealed publicly for information about Kalpunov's whereabouts.

Later that day, the SBU's special forces, known as Alpha Group, brought

Kalpunov to an apartment rented by Timur in Kyiv, and said they were there to search the premises as part of a criminal probe, Borovsky said.

Several Timur fighters who were living in the apartment tried to prevent the search, Borovsky said. After failing to reach agreement with the SBU officers, they called their superiors, and Timur's commander arrived with more soldiers.

By late evening, dozens of armed men filled the apartment block's courtyard, residents told The Wall Street Journal. Shots rang out at about 11 p.m. and again on Wednesday morning, said residents and Borovsky.

The SBU said a team of its agents was attacked by armed individuals who tried to obstruct an SBU probe into a Russian terrorist act. The SBU deployed its special forces to protect its agents, leading to a shootout in which several people were wounded, it said.

Kalpunov was released from SBU detention after the gunfight, officials said. His lawyer said it is still unclear what he is accused of.

‘No one has the right to...abduct servicemen or open fire’ in cities.

Russia Challenges NATO’s Ability to Fend Off Hot Conflict

BRUSSELS—Russia’s increasingly brazen string of small-scale attacks in Europe creates a dilemma for the continent’s leaders: Are they ready to respond to Moscow with more than sanctions and diplomatic wrist-slaps?

By Daniel Michaels, Bertrand Benoit and Laurence Norman

The answer is not yet. German and European officials this week said Russia crossed a line by targeting a widely used German airport with explosive drones. But Berlin's reaction didn't depart from the script it has repeated after previous Russian provocations.

To avoid stumbling into a shooting war with Russia and to keep Europe's options open, leaders are seeking ways to make Russian President Vladimir Putin feel pressure, even as he turns up the heat on them.

"Russia has grown increasingly reckless," North Atlantic Treaty Organization Secretary-General Mark Rutte said Wednesday. He accused it of "an increase in malign activities targeting our territory directly," including arson attacks on arms factories helping Ukraine and the failed Leipzig airport attack, which appeared to target at least one Ukrainian cargo plane.

Putin accused the Germans of "planting evidence" to pin the blame on Russia.

NATO is where Europeans would push for a coordinated military response to Russia's provocations, which intelligence services and armed forces say also include drone incursions and cyberattacks. The alliance's European members haven't so far shown an appetite for using NATO, which is based on a doctrine of collective defense, to do more than defend their borders and help channel military aid to Ukraine.



NATO chief Rutte and European Commission President von der Leyen speak in Brussels.

Instead, Europeans want to create dilemmas for Putin, mostly by boosting support for Kyiv.

European financial and military support is helping Ukraine launch strikes deep inside Russia, hitting facilities crucial to its revenue-generating petroleum industry and logistics bases vital to the war. Kyiv also is crippling Moscow's ability to resupply its forces on the Crimean Peninsula, which Russia seized from Ukraine in 2014. That campaign is turning what had been a Russian military success into a resource-draining burden.

Still, some Europeans say their leaders' push is too timid to deter Kremlin troublemaking.

"Putin needs to be pressured where it hurts," said Nico Lange, a former chief of staff for Germany's Defense Ministry and a senior fellow at the Munich Security Conference. Russia's "shadow fleet" of illicit fuel tankers should be blocked, and Russian diplomats

forbidden from moving freely among EU countries, while other nations' evasion of EU sanctions to help Russia should face more pressure, he said.

"For every hybrid attack, Germany should increase its assistance to Ukraine," he said.

A German official said Tuesday that Berlin would send fresh air-defense batteries and thousands of strike drones to Ukraine and intensify its intelligence cooperation with Kyiv.

Germany has limited legal options to harm its adversaries beyond diplomatic and economic sanctions—short of declaring war. Germany's intelligence service lacks the statutory mandate or capacities of the Central Intelligence Agency to carry out covert operations on foreign soil. It is purely an information-gathering outfit, but an overhaul under way would enable it to take more executive action, mainly in the cyber realm.

German officials said Berlin calibrated its response to the

Leipzig incident in part to reflect the fact that the drones malfunctioned and caused no damage or victims. German Chancellor Friedrich Merz wants to leave himself room for a sharper response should Russia continue or intensify attacks, the officials said. The most important message was, they said, a measured response signaling that nothing Russia does will shake Berlin's support for Ukraine.

European officials last month directly attributed 20 incidents of sabotage and similar activities to Russia, according to Ukraine's Sahaidachnyi Security Center, a think tank. That ranks among the highest monthly tally since Russia's 2022 Ukraine invasion.

"Europe and NATO will not just maintain our pressure on Russia—we will increase it," said European Commission President Ursula von der Leyen, standing alongside Rutte at EU headquarters on Wednesday.



Search-and-rescue efforts were carried out Wednesday at buildings damaged by deadly floods in the Nepal-Tibet border area.

Himalayan Disaster Tests China’s Clout

By AUSTIN RAMZY AND TRIPITI LAHIRI

China has spent years building a relationship with Nepal, boosting trade and gaining influence with its small Himalayan neighbor. After deadly mudslides and flooding raged through part of their shared border last week, China is now under pressure to show its growing embrace can help Nepal, too.

China's response shows an awareness that its behavior is being watched by the many other nations where Beijing has cultivated clout.

In the disaster's immediate aftermath, some in Nepal questioned whether China, a growing technological power, could have sounded the alarm sooner. While this disaster began on the Nepali side of the border, others in recent years have originated on the Chinese side.

China, which routinely responds with indignation to questions about its actions and motives, has sought to ease such doubts, saying it makes every effort to share information with Nepal. China has also sent aid and rescuers to help with

Nepal's emergency response.

Beijing has strengthened ties with developing nations and increased trade and investment through its Belt and Road Initiative, a sprawling infrastructure program that serves as a tool for China to cultivate global influence.

Nepal joined the program in 2017. For Beijing, the stronger relationship with Nepal has helped China challenge the sway of its regional rival, India, and secure the border of Tibet, a region that Beijing has long struggled to dominate.

In Nepal, China has helped develop transportation projects including ring road expansions around Kathmandu and improved north-south roads that link the country to China. Nepalis have complained that some Chinese-linked projects have languished, while others have been mired in corruption.

Gyirong Port, the border crossing that was wiped out last week, was a symbol of those growing ties. Before the disaster, the crossing was often packed with freight trucks filled with consumer goods and new electric cars bound for Nepal. Trade between the

two sides has doubled to \$2.2 billion in 2024 from \$1.1 billion in 2018, almost all in exports from China to Nepal, according to Chinese official statistics.

The value of that relationship is now under scrutiny. Some of the Belt and Road projects between the two countries, including rail and power-transmission connections, were intended to run through the site of the port.

"Rebuilding this infrastructure speaks not only to the flood itself but more broadly stands as something of a test of what BRI membership is actually worth when something goes wrong," said Allen Carlson, an associate professor of government at Cornell University who researches Chinese policy.

China's growing scientific and technological prowess has also created a dilemma after the disaster. Some media outlets in Nepal questioned whether Chinese infrastructure projects triggered the flooding and whether the country could have provided an early warning.

China's embassy in Nepal said on Saturday that the country makes every effort to monitor the Himalayas for

risks, but that the task was immensely complicated.

Scientists believe the disaster was caused by part of a glacier and bedrock breaking free, falling thousands of feet and creating a massive mudslide. Many questions remain, researchers say, including from where such vast amounts of water came. The official death toll from the mudslides and flooding stands at 1,114 in Nepal and 21 in China, authorities said on Wednesday. More than 4,000 are still missing.

Tunnel rescue experts from China, India and Nepal are working with Nepal's army at hydropower projects in hopes of finding survivors.

China says it cleared the road to Gyirong Port on Wednesday. Rescue teams are using excavators to dig through the debris there, but with the border point buried in many feet of mud, hopes of finding anyone alive have dimmed.

The disaster comes as China increasingly casts itself as a leader of the so-called Global South—the developing countries such as Nepal that are home to most of the world's population.

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FROM PAGE ONE

WORLDWATCH



READY FOR TAKEOFF: Performers with tamed golden eagles participated on Wednesday in the World Nomad Games, an international cultural and ethnic sporting event in Kyrgyzstan.

GAZA STRIP
Israeli Raid Seizes Key Hamas Official

Under the cover of air-force fire, special forces from Israel's Shin Bet security service descended on Gaza City's Al-Katiba neighborhood on Tuesday and seized a senior Hamas official near his home in broad daylight, said Israeli and Hamas officials.

Israeli Prime Minister Benjamin Netanyahu said the official, identified by Hamas as Moein Al-Arabid, was the head of the militant group's internal security service and was helping it re-establish its dominance after years of war.

The Israeli operatives loaded Al-Arabid wounded but alive into a van that sped him across the border into Israel for interrogation.

The operation was the latest move by Israel to test the limits of a U.S.-brokered ceasefire in the Gaza Strip that is under strain.

—Feliz Solomon

UKRAINE
Russian Strikes Kill Two Civilians

Russian aerial attacks overnight and during daylight on Wednesday killed two civilians and wounded six in a central Ukraine city, local officials said, while the Kyiv and Odesa regions bore the brunt of Moscow's latest attacks.

The air war between Russia and Ukraine has intensified as the conflict stretches into its fifth year following Moscow's invasion.

Ukrainian President Volodymyr Zelensky warned foreign airlines that the skies over Russia aren't safe because of Ukrainian long-range drone attacks, saying, "Russian airspace will effectively be closing." The military pressure aims to compel Russia to accept peace negotiations, he said.

Russian President Vladimir Putin accused Zelensky of "state terrorism" and said: "We don't negotiate with terrorists."

—Associated Press

HONG KONG
Democracy Activist Pleads Guilty

Prominent pro-democracy activist Joshua Wong pleaded guilty on Wednesday to conspiracy to collude with foreign forces to endanger national security under a Beijing-imposed law that has effectively stifled the city's pro-democracy movement.

It was the second prosecution of Wong, a 29-year-old former student leader, under the national-security law introduced in Hong Kong in 2020 to quell massive antigovernment protests that rocked the city the year before.

Judge William Tam said a sentence would be delivered as soon as possible.

The offense is punishable by a prison term of three to 10 years, or up to life imprisonment if the offense is deemed to be "of a grave nature." Pleading guilty can result in a reduced sentence.

—Associated Press

VW CEO
Battles His Own Board

Continued from Page One
a big U.S. manufacturing base to limit the fallout from Trump's tariffs.

Blume wants to slim down VW and reshape its global footprint, upending a decades-old business model where cars are designed and in some cases made in high-cost Germany for markets overseas. In essence, he wants to make Germany's largest corporation smaller and less German.

"Over the years we have built up structures, capacities and head count," Blume said in a Q&A published on the company intranet last month. "Too many interfaces, too many layers, too many duplicate structures."

Volkswagen is bloated, employing many more workers per car produced than competitors. The company makes around 150 vehicle models, including those of Audi, Porsche and other brands bought over the decades. Much of the office staff working in design, marketing and forecasting are in Germany, where employee protections make it hard to cut workers.

Blume and his team want to halve the number of models—still leaving Volkswagen with many more than peers, they say—and make sure those that survive better match the tastes of consumers in different markets. They also want to cut overhead and a portfolio of some 2,000 investments that include stakes in four German soccer clubs.

But the company's complex governance, with the billionaire Porsche-Piëch family vying for control with politicians and Europe's most powerful union, puts a speed limit on change in an industry that is moving fast.

CEO tour

Friday's supervisory-board meeting comes 10 weeks after the company first said it was working on a new restructuring plan. To sell his plan, Blume fanned out last week to Volkswagen locations on a tour more akin to a political campaign than a corporate roadshow.

In Wolfsburg, the company headquarters, about 10,000 employees packed into a hall to hear the CEO defend his plan in front of Daniela Cavallo, Volkswagen's top union representative.

Trade unionists held placards with slogans such as "Our jobs aren't your balance-sheet adjustment," according to people present. Blume's introductory pleasantries about how much he valued communicating with the staff were greeted with boos.

Cavallo, who leads Volkswagen's group works council—its top union body—acknowledged the company was in a tough spot but said Blume needed a detailed strategy for getting out of it before deciding on job cuts.

"Volkswagen is simply not a corporation that operates solely according to capitalist rules," she said. "Because of its history, Volkswagen also be-

longs to us, the employees."

Another source of power at Volkswagen is campaigning as well. The state of Lower Saxony owns 20% of the carmaker's voting shares. Last week, state Premier Olaf Lies, one of the Volkswagen board members who voted against Blume's plan, embarked on a tour of factories that the CEO has said might not be needed.

"Lower Saxony is automotive country, and this must remain so," Lies said at the Hanover plant, where Volkswagen has for decades built its much-loved campervans.

After Wolfsburg, Blume addressed employees in Emden and Zwickau, towns heavily reliant on their Volkswagen factories. He warned that the plants weren't competitive enough, even after a roughly 20% reduction in costs last year.

"Other plants are still significantly cheaper," he said, while stressing that closing a plant was "always the last and most expensive solution."

When Blume became CEO four years ago, he was welcomed as a peacemaker, a consensus-minded company lifer who would restore relations between bosses and workers.

His combative predecessor Herbert Diess, a former BMW executive, had unsettled the workforce by drawing unfavorable comparisons of Volkswagen's technology and manufacturing with those of Tesla, which at the time was expanding rapidly. Blume had been the CEO of Volkswagen's sports-car business Porsche, where years of profitable growth had kept everyone happy.

VW had grown rapidly over the previous two decades, above all in China, to become the world's second-largest automaker behind Toyota.

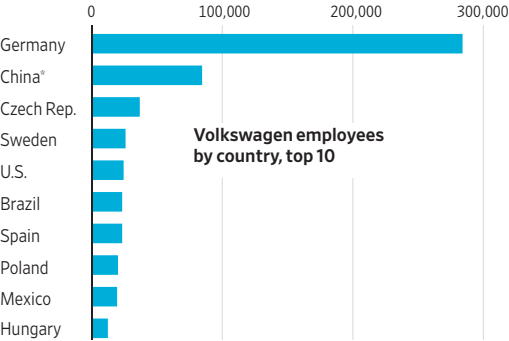
Its core operations, however, stayed in Germany. More than two in five employees worked there—a higher percentage than Japan-based workers at Toyota, which has a more decentralized model of control in its markets around the world.

As part of his drive to transfer power to the regions, Blume pressed ahead with a project to revive sport-utility-vehicle brand Scout Motors as an all-American EV, including with a \$2 billion new factory in Blythwood, S.C.

He also cut the size of a Berlin-based subsidiary called Cariad, his predecessor's project to create a German software giant that would power the computer brains at the heart of modern automobiles. He set up a California-based joint venture with



CEO Oliver Blume wants to slim down Volkswagen and reshape its global footprint, upending a decades-old business model.



U.S. electric-vehicle maker Rivian to take on tasks Cariad had struggled with.

There was a plan, too, to give the wider U.S. business more autonomy. Even after growth spurts at Audi and Porsche, the company's market share in North America for years hadn't moved above 5%.

One problem was that those luxury brands don't make cars in the U.S. The company builds some Volkswagen-branded vehicles at a small factory in Tennessee, but has been criticized for selling tweaked versions of European products designed in Germany—seemingly never with enough cupholders for American families.

In China, Blume pushed a local-for-local strategy by investing billions of dollars in Chinese partners and a Chinese vehicle-development hub.

Volkswagen's works council started to sound the alarm when Blume and his team moved from investing abroad to restructuring core operations at home.

Two years ago, the bosses canceled a sacrosanct German jobs guarantee and argued that Volkswagen needed to take the unprecedented step of closing a German factory. It took almost four months for Blume's team to negotiate a package of job cuts.

Initially outraged, union leaders eventually agreed to capacity and workforce cuts in exchange for a fresh jobs guarantee for the survivors. All the job losses relied on voluntary buyouts and early retirements running over five years.

Similar deals at Audi and Porsche brought German job losses negotiated by Blume's team to 50,000, out of a global workforce of around 680,000 at the end of 2024. Still, that left it with many more employees than its rivals.

Last year, the company's fortunes took another hit when the White House introduced auto tariffs, which Volkswagen has said would cost it almost \$6 billion a year. That revived old talk of a U.S.

Price of Volkswagen's preferred shares†



factory for Audi, which hadn't followed its rivals BMW and Mercedes-Benz in setting up a production base for SUVs in the American South.

The idea never gained traction. In January, Blume poured cold water on hopes of an American Audi factory, cut a longstanding target for growth in the U.S. market and told local media that what was needed instead was a "reduction in costs."

As Blume's cost-cutting plan took shape, one number was bound to rile up the union and local government: Another 50,000 job losses might be necessary to bring Volkswagen's overhead costs into line with competitors, his team calculated.

Company town

The focus on overhead put the emphasis squarely on the company's sprawling headquarters in Wolfsburg.

The original 1930s factory building in town bears marks of shrapnel from World War II, retained as a reminder of Volkswagen's Nazi origins. Much of the money to build the plant came from funds confiscated from unions after they were banned by Hitler—the justification given by successive works council leaders for the argument that the company belongs as much to its workers as its shareholders and should be run accordingly.

These days, four in five of Volkswagen's roughly 60,000 employees in Wolfsburg work behind desks rather than on the production lines. It is those white-collar jobs that Blume now has in his sights.

"The next step will focus in particular on costs outside of direct vehicle production. That means management, group-level positions, central functions, development and sales,"

he told employees at last week's town hall in Wolfsburg, adding that around half the cost reduction would need to come from Germany.

When Blume presented the new plan at the July supervisory-board meeting, the votes fell along predictable lines: Ten members linked to Volkswagen's unions were against, as were two representatives of Lower Saxony. The seven votes cast in favor were by representatives of the Porsche-Piëch family and Qatari sovereign-wealth fund, according to someone familiar with the outcome.

The Porsches and their cousins the Piëchs—the descendants of Ferdinand Porsche, who designed the Beetle for Hitler and founded the Porsche sports-car business—own just over half of Volkswagen's voting shares through their publicly traded holding company, Porsche SE.

While the stake gives them nominal control, the majority of supervisory-board seats held by union and government representatives requires them to regularly bargain with the other stakeholders.

Last month, the holding company's CEO, Hans Dieter Pötsch, who also is chairman of Volkswagen's supervisory board, expressed frustration. "The focus must now be solely on what is necessary from a business and economic perspective. All other considerations must be secondary," he said.

Getting others to agree on that isn't easy at a company that workers regard as a cooperative.

The government of Lower Saxony has sometimes positioned itself as a consensus-builder that can help other Volkswagen shareholders and workers see eye-to-eye.

If no compromise is reached, the two sides could return to negotiations, or Blume and his team could call an extraordinary general meeting of shareholders to vote on the most contentious parts of his agenda.

Under German corporate law, such proposals would normally need the support of 75% of shareholders. But Volkswagen is subject to a special "Volkswagen law" that raises the threshold to 80% for the most important decisions, potentially giving the state of Lower Saxony a blocking minority. Those legal complexities have never been put to the test.



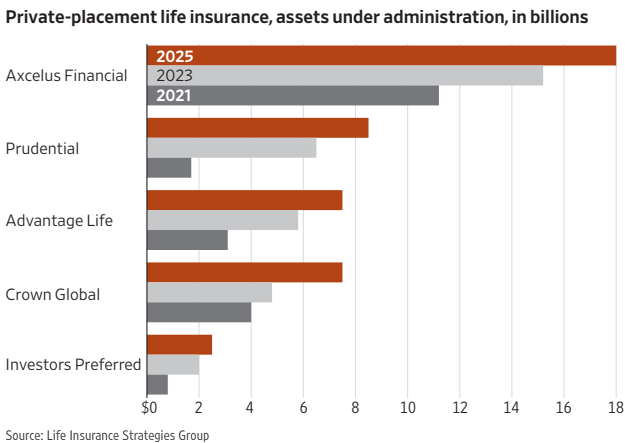
Employees and union members rallied at VW headquarters when its board met on July 9.

Superrich Find An Alternative Tax-Free Way For Investing

Private-placement life insurance policies allow investments to grow with no tax burden

By MIRIAM GOTTFRIED

Ultra-wealthy Americans are pouring billions of dollars into a once-quiet corner of the life-insurance industry in a bid to lower their taxes. Against the backdrop of a yearslong bull market, many high-net-worth individuals have shifted their focus from asset allocation—what to invest in—to asset location—the most advantageous place to put an investment. That can often mean putting investments that generate a regular stream of interest income or short-term capital gains into a tax-free account, such as an IRA. But those limit contributions to only \$7,500 a year. Enter private-placement life insurance, a customizable insurance contract that allows unlimited investments to grow tax-free. “It is a Roth IRA on steroids for people who can afford it and want to leave it to their heirs,” said Jim White, founder of Great Oak Wealth Management. The policies have surged in popularity among wealthy individuals, who use them to invest in alternative assets such as hedge



By DALVIN BROWN

MacKenzie Eddie was reading Belle Burden’s runaway hit “Strangers” when she started glaring at her husband. The memoir recounts the sudden collapse of Burden’s marriage, and how financially blindsided she felt by it. Eddie’s husband had never given her a reason to be suspicious. But Burden had also trusted her ex with their money while they were married. “I’m getting so mad at him, even though he hasn’t done anything wrong,” said Eddie, 38 years old, a marketing consultant and recruiting-firm partner in southeastern Iowa. “Strangers” has become a word-of-mouth must-read in friend circles, with women opining on Burden’s plight in chat groups and urging others to pack a copy for a juicy vacation read. With no signs that the book’s popularity is letting up, lawyers and financial advisers say they are fielding questions from women who have read it and are worried they won’t be protected in a divorce. They say clients are rattled because Burden was caught off guard even though she was a lawyer, had a prenup and entered the marriage with considerable wealth. Here are four questions attorneys and financial advisers say they are getting, and what they are telling clients: **1. I have a prenup. Am I protected?** It depends. The agreement you made when you were married may no longer make sense for your current situation. In the book, for instance, Burden writes that she accepted, against her lawyer’s advice, a revision keeping each spouse’s earnings separate unless jointly titled. That ended up hurting Burden, who later left her job to be a stay-at-home mom, while her husband’s career ad-

vanced and his earnings grew significantly. What’s more, Burden decided to list her husband as a co-owner on deeds to homes bought with money from her trust funds. Lawyers say that what is known as a “motherhood clause” in prenups can protect either spouse who leaves the workforce to raise children. Without a prenup, the rules on how assets are divided can vary depending on the state. In New York, earnings during the marriage and property bought with those earnings are generally marital property, even if one spouse earned the money or only one name appears on a deed, said Natalie Maier, a Manhattan attorney at Chemtob Moss Forman & Beyda. A judge decides how the marital property is divided, depending on the spouses’ situations. A representative for Burden declined to comment. Her ex-husband, who is given a pseudonym in the



insurance Strategies Group. Created in the early 1990s, private-placement life insurance takes advantage of tax-code provisions intended to encourage people to provide for their dependents using life insurance. The policies began gaining traction a little over a decade ago when wealth advisers realized they could manage—and charge fees on—the assets, which are essentially locked up for years. Private-placement life insurance isn’t for everyone. Policyholders must be accredited investors—with at least \$1 million in investible assets—or qualified purchasers—with at least \$5 million.

In practice, they are typically far wealthier. They should generally be funding the account with at least \$5 million in premiums to generate enough tax savings to offset the complexity and fees—as much as 2% to 4% annually, including investment-management fees, in the early years—associated with setting it up, advisers say. Tom Callahan of BFA Family Offices said around a quarter of the ultra-high-net-worth families he advises either have policies in place or are considering them, and he expects that figure to rise. He is working with a private-equity ex-

It creates ‘a tax-efficient wrapper around tax-inefficient investments.’

ecutive who opened a policy almost three years ago. The executive expects to receive \$30 million to \$50 million in distributions from his firm’s funds over the next few years and wants to diversify by investing the cash into hedge funds, private credit and private real estate, managed by other firms. In keeping with insurance rules against front-loading premiums, the executive plans to fund the policy over a five-year period. Funding a policy with too much premium money too quickly could cause it to lose some of its tax advantages. The executive’s investments could one day be worth hundreds of millions of dollars, and he won’t have paid a dime in ordinary-income or capital-gains taxes on their growth. He can take withdrawals or loans against the policy’s cash value but generally doesn’t expect to tap the proceeds. When he dies those will go to beneficiaries income-tax-free in the form of a death benefit. His policy is inside an irrevocable trust set up for his children—a structure often recommended by advisers—meaning it also wouldn’t be subject to estate taxes. “It’s a way to create a tax-efficient wrapper around tax-ineffi-

cient investments,” said Callahan, who heads up BFA’s family wealth planning. Assets within the policy must be diversified, generally with at least five assets. To maintain their tax-free status, policies must undergo quarterly tests for diversification and ongoing tests of investor control. Some in Congress would like to see private-placement life insurance lose its tax-free status. Sen. Ron Wyden (D., Ore.) in April introduced legislation that would separate it from traditional life insurance, making its earnings and losses taxable to the policyholder as they are earned each year. “We cannot have a bunch of ultrarich tax dodgers abusing its special tax treatment to set up tax-free hedge funds and shelter mountains of cash,” Wyden said in a press release announcing the legislation. Offshore insurance carriers tend to be more aggressive. They have allowed people to hold business interests, yachts, artwork and bitcoin in private-placement life insurance policies, according to advisers who work with ultra-wealthy clients abroad. Fontanini of Lion Street says such transactions may not withstand IRS scrutiny. “The juice isn’t worth the squeeze,” he said. “Just because someone says there’s a way you can do it, doesn’t mean it would pass the test.”

Readers of ‘Strangers’ Have Questions

Belle Burden’s divorce memoir is prompting women to look at their own finances and prenups



Belle Burden was caught off guard even though she was a lawyer.

nups with her every year. She said clients who read “Strangers” are now calling with old prenups in hand, saying: “I’m not getting a divorce. I just want to know if this prenup still works today.” But changing a prenup requires both spouses to sign a post-nuptial agreement, said Chinitz, a partner at Blank Rome. That could be a challenge since there is no built-in deadline or pressure to reach a deal, said Morgan Mazor, a New York divorce attorney and partner at Bender & Crane. “When you’re already married, there’s no incentive,” she said. “What are you going to do? Divorce me?” In the memoir, Burden writes that she and her husband discussed scrapping their prenup. But her husband suggested tabling it, and the agreement was in place when the marriage ended. **3. I don’t know where our money is. Where do I start?** Dig up your tax return. Tax forms are a good starting point for locating accounts that generated interest, dividends or other taxable income, said Stephanie Bloom Lucker, a partner at Bloom

Advisors in Michigan. You will also want to find deeds for property, any trust documents and the beneficiaries named on retirement accounts and insurance policies. The names on them won’t necessarily determine how the money is divided in a divorce. Jacqueline Combs, a California divorce attorney at Blank Rome, said clients often tell her they never commingled their finances because they kept separate accounts. “Well, under the law, you did,” she said. In community-property states such as California, for instance, income earned during a marriage is generally split equally regardless of whose name is on various accounts. **4. What signs should I watch for to avoid being financially blindsided?** Secrecy and significant financial decisions made without you. Attorneys point to denied account statements, hidden purchases and an unwillingness to talk about money. Also watch for any proposals to make changes to financial arrangements while a marriage is strained, like shifting assets into a trust. For Eddie her husband’s openness ended up putting her at ease. When she asked about their finances after reading Burden’s book, he reminded her where the passwords to their accounts were. She is also reassured by her separate bank account, which she kept largely out of habit after getting married. Now she sees it as a backup if the marriage ever ends or an emergency leaves her handling the family’s finances. “I never want to be caught off guard,” she said.

RACHEL MENDELSON/WSJ; ISTOCK

CHARMAINE BURDEN

PERSONAL JOURNAL.



How to Be a ‘Cool’ Boss Without Getting Fired

Managers want to be liked but must adapt as workplace norms change

America’s bosses want to be cool. That no longer means being the life of the party. Managers are adjusting to a world where buying the first round and cracking a joke could be seen as keeping the mood light—or blurring boundaries. The price for a failed attempt at levity is steep when executives are routinely shredded on social media and complaints to the Equal Employment Opportunity Commission are at the highest level in nearly a decade.

A startup CEO recently got raked over the internet’s coals for bringing a tattoo artist to a party and offering job interviews to anyone willing to get inked. A former Netflix vice president lost his job after telling colleagues about his use of ketamine to treat depression, and chugging a pint of Guinness while standing on his head at a company retreat. He’s suing for wrongful termination.

The public-transit authority in Boston is paying a nearly \$500,000 settlement stemming from a team-building dinner where the popular general manager poked fun at his own baldness and pulled the hair of an employee.

It’s easy to say these leaders should have known better. But their actions and consequences underscore a common challenge for today’s managers: how to avoid being seen as uptight while also staying out of trouble.

“You just have to have an automatic filter,” says Shannon Leiro, who is part of the wave of millennials moving into leadership roles with evolving standards.

She came up in a work-hard-play-hard culture in New York advertising, where she and co-workers sometimes stayed out past midnight, then rallied for another hard-charging day the next morning.

That doesn’t seem so cool to Gen Zers, who strike Leiro as more reflective and health conscious. She tries to inject fun into bi-weekly team meetings by asking everyone to share recent profes-



sional highs and lows, and vote for the colleague most deserving of special recognition.

It may be cheesy, she says, but it’s safer than going for party vibes. She’s seen others pay a price for being edgy, so for breezy chitchat she sticks to asking about summer travel or new movies on Netflix.

“In case of emergency, talk about these topics,” she says.

Curbing enthusiasm

Whether because of a shaky labor market, tense political climate or something else, many of us are feeling the effects of bosses’ caution. In a survey of U.S. workers by the job-hunting platform Mon-

ster, 32% said their workplaces have gotten more serious in the past year; just 16% said offices have gotten more relaxed and humorous.

Stephen Courtright, director of the Flippen Leadership Institute at Texas A&M, says his executive-education programs are full of managers who worry that good intentions will backfire.

“This is a pretty universal concern,” he says. “What it boils down to is, ‘Are we doing things that employees like?’ But more than that, ‘Are we doing things

The price for an executive’s failed attempt at levity can be steep today.

that could actually offend them?” That’s what so many of the managers I talk to are afraid of. A lot of them feel like they’re walking on eggshells.”

Courtright recommends focusing on employees’ interests instead of trying to project a certain image as a leader. The boss-who-lets-loose act may land well with some, but it can easily go wrong.

What to do if your filter needs calibration? There are consultants for that.

Adam Christing is best known

as the founder of Clean Comedians, a group that includes Nate Bargatze and specializes in stand-up routines that are free of profanity and dirty jokes. Executives also hire him to help write their material for corporate kickoffs and all-hands meetings.

Self-deprecating humor usually works, as do jokes about shared experiences, he says. He preaches a guiding principle: “If in doubt, leave it out. Why take the chance? I’m in a weird position where I’m actively encouraging people to tap in to their sense of humor, but also there’s some areas to avoid.”

Shortage of fun

Of course, you don’t have to play it so safe if you run your own company and can take a little heat.

Jordan Zietz, the startup CEO behind the tattoos-for-job-interviews stunt, posted an apology online but says he doesn’t want to overcorrect. He argues that a shortage of fun is the world’s biggest problem.

“This is not going to dampen our dedication to building an environment where people can have fun,” he says.

Zietz tells me he’d rather endure criticism than be dull, but the calculus is different for other leaders. “Some people do a 180,” he says. “I think that’s out of panic.”

Fun or not, other bosses have decided to channel their energy into practices that don’t draw laughs but can win over employees in different ways.

Alyssa Pagoria says one of her proudest moments as a manager was helping a former member of her customer-success team get off a performance-improvement plan. PIPs often foreshadow inevitable firings, but she refused to give up on someone in her charge.

She also schedules weekly one-on-ones with her direct reports and makes a point of not checking emails or doing anything to divide her attention in those meetings.

Pagoria considers herself a cool boss, not because she’s a laugh-a-minute but because “when I’m one-on-one with one of my direct reports, I’m only with them.”

Sometimes the managers who have your back, more than the ones who are fun to hang out with, are the coolest bosses. They’re the ones who stay out of the headlines, anyway.

The Rise Of the Baby Rave

Continued from Page One

sic nursery rhymes into a global sensation.

Before the pandemic, Pearce was working shifts at a big-box retailer, his “Australia’s Got Talent” win in 2010 with pop-dance group Justice Crew long behind him. He was taking whatever DJ gigs he could get—weddings, birthdays and once a daycare center. And he was producing tracks for other artists, wondering if he would ever get his big break.

In 2022, Pearce and his wife had their first child together. At home, he was primarily listening to an endless loop of children’s songs. His daughter was often in a highchair in his music studio when his wife had to work. What if he gave: “Head, Shoulders, Knees and Toes” a heavy techno beat?

“I wanted to play with her more, in my world.”

Within 24 hours of uploading his version to TikTok, the video had hundreds of thousands of views. Major dance labels that Pearce had spent years pursuing emailed.

His reaction to his wife sitting next to him on their couch: “You’re joking me.” To Spinnin’ Records: “Yes!”

At first, Pearce didn’t see himself as a kids’ entertainer. “There was no existing blueprint for becoming a toddler techno DJ,” he said. He tested his nursery rhyme remixes at a festival for adults in Hong Kong, dropping “If You’re Happy and You Know It” into standard sets to surprisingly raucous response.

But after his 2024 video of himself rocking out to his EDM version of “The Wheels on the Bus” went viral, a promoter pitched him on headlining a series of morning family concerts. Australian dates sold out in days.

“I was like, ‘What is going on here?’” Pearce said. He decided to go all in on an under-5 audience, knowing that



he was really performing for the parents, too.

Testing sound mixes at home with his daughter, he learned to balance the heavy beat with clear vocal tracks and familiar melodies so toddlers could still recognize the song. He capped his sets at around an hour, realizing kids started to get tired.

When he noticed spots that lagged, he added audience interaction like balloon drops and places to “quack like a duck” and “swim like a fish.” He created recurring characters like “Mr. Glow, the inventor of glow sticks.”

The crowds have gotten bigger. The Red Rocks concert was a sellout. Around a third of the 44 shows on Pearce’s upcoming tour in the U.S. and Canada are over 90% sold out, according to Pearce’s manager, who added that about 70,000 out of the roughly 100,000 available tickets were sold.

Parents often come up to Pearce after shows saying that they wish they had thought of the idea. “This is brilliant,” said Joe Sever, 36, a medical sales representative who brought his son and twin daughters. “Why did we not think of this?”

For many of the parents, the concert was worth the price, even if their kids wouldn’t remember it.

“It’s as much for the parents as it is for the kids,” said Breezy Zappia, 35, who

▲ Lenny Pearce performs at the Red Rocks Amphitheatre.

paid \$130 to attend a show with her husband, Giuseppe, and their son, Dominic. The family plans to catch Pearce’s Los Angeles show in the fall, this time with friends who were envious after seeing Zappia’s Instagram posts.

Brooke Olshefski, a 35-year-old insurance account manager, dug a festival crop top out of the back of her closet for the occasion. She drew the line at the matching mini skirt. “My husband was like, ‘Brooke, that might be too much,’” she said.

By noon, the euphoria had faded. As Lenny left the stage, an exodus of crying babies, sugar-crashed toddlers and bleary-eyed parents trickled down the stairs.

In the middle of a crowded stair landing, 3-year-old Shai Yolles sat cross-legged, organizing his spent glow sticks.

“We are officially in the tired glow-stick zone,” said his father, Dan Yolles, a 37-year-old rabbinical student.

The shows are scheduled to end at naptime for Pearce’s family, too. After most of his shows, he returns to a tour bus packed with diapers, bottles and a stroller.

“At the end of the day, I’m just changing nappies, figuring out who has a fever and doing laundry.”

The WSJ Daily Crossword | Edited by Mike Shenk

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- 27 Mayo with a kick
- 28 Vegas noisemakers
- 30 Bulb output, sometimes
- 31 Acid variety
- 32 “The Alienist” author Carr
- 33 Plumber with a green hat
- 34 Under an assumed name, informally
- 36 Teacher’s org.
- 40 Wine cask deposit
- 42 NASA moon program
- 43 Small hill
- 44 Nabokov novel
- 47 Foil
- 49 Some a cappella groups
- 52 Prepare to put away, as groceries
- 53 Stress
- 54 Secluded seating
- 56 “The Americans” org.
- 57 Clark’s co-worker
- 58 Practice for posers
- 60 Fender attachment
- 61 Letter between sigma and epsilon
- 62 Significant stretch
- 64 Promise

SUCCESS STORY | By Mike Shenk

Across	32 Rate of motion	60 Starting squad	7 Bouzouki, e.g.
1 Its business is picking up	35 Mob enforcers	63 Be a major success, and something found five times in this puzzle	8 Fizz ingredient
4 Alienware’s parent company	37 Guernsey greeting		9 Show-off
8 Lose a shadow, say	38 Volunteer sitter, sometimes		10 Crumb carrier
13 Earlier	39 Welcome gift in Waikiki	65 One of New Zealand’s official languages	11 Neckline shape
14 Islander who speaks Unangam Tunuu	40 Bank	66 Sensitivity training target	12 Throw wildly, say
16 Solitude seeker	41 DMV document	67 Took in	15 Wanders in an airport, for short
17 Ones for whom two rites make a wrong	42 Name on “Wicked” posters	68 Patriot plays	18 Curt
19 Wolverine’s kin	45 Yard sale proviso	69 Carpenter’s collection	22 “That’ll do, pig” pig
20 It might be airtight	46 Immodest display	70 Empty talk	24 Really enjoy
21 Anchor position	48 Ethane’s lack	Down	26 Aykroyd and Murray’s “Ghostbusters” co-star
23 Eyed creepily	50 Coastline curves	1 Scheming set	
25 Old gathering places	51 Bona fide	2 Quick-thinking	
	55 Variety, for one	3 Spade player, familiarly	
29 Second, for one	59 Letter between Sierra and Uniform	4 Satanic child in “The Omen”	
31 Adams or Fillmore		5 Country music’s ____ Young Band	
		6 Reduced amount	

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

Previous Puzzle’s Solution

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ELENA SCOTTI/WSJ, GETTY IMAGES

TREY KARSON

ARTS IN REVIEW

ART REVIEW

Remembering a Shimmering Spectacle

An exhibition commemorates the 50th anniversary of ‘Running Fence,’ which stretched across nearly 25 miles of California

By ROBERT L. PINCUS

Santa Rosa, Calif.

It's the improbability of Christo and Jeanne-Claude's public projects that has made them memorable. Surrounding islands in Florida's Biscayne Bay with pink fabric (in 1983) and wrapping an architectural landmark like Berlin's Reichstag in silvery cloth and blue rope (in 1995) were logic-defying acts. But whether you witnessed such sights firsthand or not, it's clear their temporary creations were beautiful and audacious visual spectacles.

One of the most famous was "Running Fence," 24½ miles of shimmering white, 18-foot-tall fabric that stretched across picturesque terrain in Northern California's Sonoma and Marin counties from Sept. 10 to Sept. 24, 1976. For those who saw it, the spectacle was unforgettable. Those who didn't can nonetheless sense, via a variety of visual sources, the seductiveness of this "fence" as it made its way across the landscape from a summit called Meacham Hill near Petaluma and ultimately descended into the ocean at Bodega Bay.

A half-century after the work's completion, the Museum of Sonoma County in Santa Rosa is marking the anniversary with "Christo and Jeanne-Claude: Running Fence at 50 Years," an exhibition that conveys its origin story through an assemblage of text, photographs, a multimedia display that animates still images, and Christo's own mixed-media compositions on paper. The attention "Running Fence" received at the time, during the contentious approval process and its installation, was global. But it seems apt that this modest-size museum would be presenting an exhibition on this monumental work. The eastern end of the piece was only eight miles from Santa Rosa, and local interest in the history of "Running Fence" endures.

Jennifer Bethke, the museum's art curator, has done a fine job of conveying the material scope of the work as well as that of the artists' diplomacy. This necessitates a fair amount of text and documentation on the walls, which can sometimes sink a show—but not in this case. The use of facts and historical context is concise.

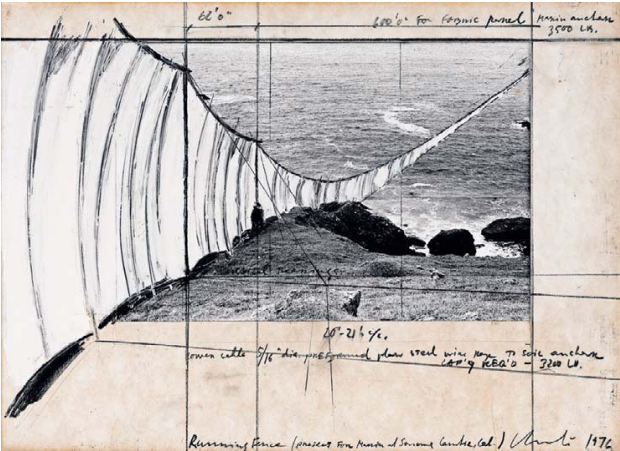
Numbers are part of the drama;



virtuosic draftsmanship and precise use of perspective. They function as seductive drawings more than collages, doing double duty as works of art and vivid envisionings of the larger project. You can imagine the ripples of the cloth and the true expansiveness of the landscape, because Christo employed illusionistic effects with great finesse.

In these studies, Christo made good use of the rigorous training he received at the National Academy of Art in Sofia, Bulgaria, from 1953 to 1956. But he chafed against the strict dictums of the Eastern Bloc state and fled his native country in 1956, making his way to Paris by 1958, where he met Jeanne-Claude Denat de Guillebon. They married in 1962. Two years later, they relocated to New York and stayed.

Visitors' observations posted on the museum's comments



A photograph by Wolfgang Volz of the 1976 artwork, by Christo and Jeanne-Claude, above; one of the mixed-media studies from the project, left.

The show can only suggest the visual and physical dimensions of the original project, of course, but does so deftly. One of the most memorable photographs on view was taken by Jeanne-Claude, printed large and picturing a wide expanse of landscape, with cows grazing near the fence. For all the efforts needed to create this vast work, its presence was gentle and almost pastoral.

The range of proposals that Christo and Jeanne-Claude realized, beginning in the 1960s, was impressive. But underlying the couple's frequent successes was patience—their equanimity while weathering years, sometimes decades, of public and governmental resistance to their proposals, and their ability to master the complex logistics needed to fulfill their epic ambitions.

Central to this effort are the mixed-media studies that Christo would create to envision and help sell the idea of a public piece. The sale of those compositions on paper, small and large, funded their mega-projects. The exhibited examples devoted to "Running Fence" are elegantly rendered, combining

board remind us of the impact artworks like "Running Fence" can have. Rebecca C., who saw it as a young child, writes, "Watching it through the car window I felt awe—it inspired the artist in me and still does." Liza N. remembers an aspect of it that images can't convey: "I will never forget the whooshing sound it made. You could hear it from the east and travel westward. It was magical." Still others remember the raucous meetings at which its fate was debated. "It was 'art'—theater and absurd all at the same time," recalls Susan P.

Christo and Jeanne-Claude made many visits to the area after "Running Fence" came down, for various reunions of the workers and the friends they made there. And if they were alive—she died in 2009 and he passed away in 2020—it seems almost certain they would have returned for this exhibition.

Christo and Jeanne-Claude: Running Fence at 50 Years
Museum of Sonoma County, through Nov. 8

Mr. Pincus is the author of "On a Scale That Competes With the World: The Art of Edward and Nancy Reddin Kienholz." He teaches art history and art writing at the University of San Diego and California State University, Long Beach.

MUSIC REVIEW

Two Views Of Henry Threadgill

By LARRY BLUMENFELD

HOURS BEFORE A concert in Charleston, S.C., in 2023, Henry Threadgill asked the members of his Zooid quintet to put down their instruments. They stood onstage in a circle, clapping out the permutations of shifting meters—7 beats, 6 beats, or 5—that shape the three sections of a then-brand-new piece, "Fluoroscope." He later told me that the work represented "a new door opening" within his system for musical structures that are independent from standard harmonic progressions, and that maintain "a smooth, frictionless groove." Mr. Threadgill, who plays alto saxophone and flute and is a Pulitzer Prize-winning composer, first assembled this band 25 years ago to further a compositional strategy that is singular and yet invites improvised collaboration. As recorded in a Brooklyn studio last year, "Fluoroscope" begins the new album **"Cut You Where You Was"** (Pi), the first Zooid release in five years.

This past June, Mr. Threadgill stood center stage flanked by pianist Vijay Iyer and drummer Dafnis Prieto at Manhattan's Jazz Gallery, where these three first played as a trio 15 years ago. That June performance ended with "On the Way," a Prieto composition. It carried a

searching air before giving way to a drum solo and then to a brief, hard-driving suggestion of an entirely new song. That sense of musical arrival, and of surprise, is equally present in a newly released version of "On the Way"—the final track of **"Fifteen"** (Nonesuch), this trio's long-awaited recorded debut.

Not long ago, Mr. Threadgill began convening repertory ensembles to play material from his earlier groups. If, at 82 years old, he's considering his legacy, he's also still spilling out new ideas at a startling pace, sometimes in new ensembles—the one heard on last year's "Listen Ship" included six guitarists. But within this sea of creativity, Zooid remains Mr. Threadgill's flagship.

Zooid's instrumentation—Mr. Threadgill on alto sax and flutes; Liberty Ellman on acoustic guitar; José Davila on tuba and trombone; Christopher Hoffman on cello; and Elliot Humberto Kavee on drums—would seem strange only to those unfamiliar with Mr. Threadgill's penchant for such combinations. The group's most recent arrival, Mr. Hoffman, joined 16 years ago. These musicians have spoken Mr. Threadgill's musical language for decades.

Such immersion makes a music that requires rigor and mathematical calculations (regarding harmonic



Dafnis Prieto, Mr. Threadgill and Vijay Iyer, who have made their recording debut as a trio with the new album 'Fifteen.'

intervals and rhythmic units) sound relaxed. And such instrumentation lends itself to fascinating timbral combinations, such as the interplay of cello and tuba on "Red Admiral Red Moon Rising." That track, which stretches over more than 12 minutes, begins with a long bowed cello section, and then gathers both steam and definable rhythm; by the end, the five musicians lock in like the gears of a mechanical clock—one that keeps its own inscrutable version of time.

The rest of this album's 10 tracks are uncharacteristically brief (half are under two minutes). Their pleasing juxtapositions suggest a childhood memory Mr. Threadgill shared in his autobiography, "Easily

Slip Into Another World" (written with scholar Brent Hayes Edwards). There he writes about listening to a jukebox on Chicago's South Side: "Sometimes it seemed the spell could be sustained indefinitely. One tune would end, but the beat continued . . . and then the jukebox arm would deliver the next disc into position. So easy to slip into another world."

Zooid's history overlaps that of Mr. Threadgill's trio with Messrs. Iyer and Prieto. Mr. Prieto played on the first Zooid recording, in 2001. That same year, he also recorded an album with another Threadgill group, Make a Move, that included Mr. Threadgill's "Where Coconuts Fall." Back then, the song began with a tangle of electric bass, guitar and vibraphone. Now, on "Fifteen," it arrives through a long, lovely and cleverly harmonized piano introduction by Mr. Iyer.

This trio is a true collective; all three musicians compose. And Messrs. Iyer and Prieto, each roughly 30 years Mr. Threadgill's junior, don't defer. They needn't. Their musical voices were marked by the sound and logic of his, and yet are clearly distinct.

Mr. Threadgill was initially drawn to Mr. Iyer's playing with a different collective trio, Fieldwork. On the new release, Mr. Iyer's "Fire City," which he first recorded with that group, gets distilled into fresh potency through the urgent and sometimes pleading tones of Mr. Threadgill's saxophone. The buoyant drive of Mr. Iyer's "I Wanted a Map" showcases the propulsion suggested by Mr. Threadgill's saxophone technique. Mr. Prieto's ballad "Gently Trapped" highlights the transparent beauty and elegant phrasing of his flute playing.

The album opens with two Threadgill compositions for this ensemble. The staggered statements within "Trio Piece" advance with oddly pleasing grace. "Last Night" shimmies its way toward an eventual crescendo. His bandmates here serve his musical ends well. Mr. Iyer's left hand is more than up to the task of the low-end contrapuntal motion that Mr. Threadgill's music demands, and Mr. Prieto long ago mastered his idea of frictionless grooves.

Zooid's Mr. Davila, an original member of that ensemble, told me Mr. Threadgill's music has established an ever-expanding, modern-day tribe. These two new releases showcase long-standing and different gatherings from its ranks. Each forms an interlocking piece in his still-developing musical puzzle.

Mr. Blumenfeld writes about jazz and Afro-Latin music for the Journal and is the editorial director of Chamber Music America.

OPINION

Regime Change Returns—Again



UNRULY REPUBLIC
By Barton Swaim

Inside the Trump administration, belief in the Islamic Republic of Iran as a permanent feature of geopolitical life seems to have come and gone. Treasury Secretary Scott Bessent, asked Monday about the effects of America’s economic pressure campaign, remarked that Iran’s collapse could happen “within weeks or months.”

No one knows, but the observable facts don’t contradict his guess. A country can’t survive long with a shrinking

Trump might have taken an easy exit and called it a victory. He didn’t do that. Why?

economy, a worthless currency, a disaffected citizenry and a humiliated military. Last week President Masoud Pezeshkian spoke plainly of the country’s moribund economy and earned a rebuke from Supreme Leader Mojtaba Khamenei. The blockade on Iran’s ports has caused a severe fuel shortage, to which the government in Tehran can respond either by doing nothing and further immiserating an already restive population, or by lifting restrictions on gasoline price hikes. The last time gas prices shot upward, seven years ago, protests erupted all over the country and lasted eight months.

But, Mr. Bessent said, “the economy doesn’t have to col-

lapse. We just have to have the regime come to their senses.” A politic thing to say, maybe, but Iran’s rulers won’t come to their senses for the same reason Saddam Hussein in 2003 couldn’t admit he had no weapons of mass destruction. Rational behavior in the West can look more like shame and dishonor in the Middle East. The regime does, in fact, have to collapse if the Treasury secretary and his boss hope to call the war a success without being laughed at. Regime change or failure—pick one.

President Trump knows this. Which is why, despite all his boasts and threats and migraine-inducing equivocations, he hasn’t done what everybody thought he would do: let Iran keep its bogus sovereignty over the Strait of Hormuz and call the whole thing a win because its military and nuclear program lie in ruins. You can credit the regime’s incorrigibility for that outcome, too, but the fact remains: Mr. Trump might have settled for a de facto loss and hasn’t.

For six months the expert class has predicted global catastrophe caused by Mr. Trump’s decision to go to war. The war remains unpopular, and Republicans would rather talk about anything else. Media reports about weapons shortages and grumbling military commanders—some of them hyped and plainly meant to embarrass the administration—make an easy exit look more attractive all the time. Yet Mr. Trump hasn’t taken it.

He has detested Iran’s leadership for decades, but the regime has lately given him another, more potent reason to finish it off. Iran-linked would-be assassins have made at least



Iran’s Masoud Pezeshkian

two attempts on the president’s life. At the weeklong funeral of Ali Khamenei, Iran’s previous supreme leader, regime toadies waved signs offering monetary rewards for Mr. Trump’s life. Last week brought news that Iranian state media broadcast a three-minute video offering \$10 million for the life of his youngest son, Barron, and purporting to divulge his usual whereabouts. Other state-linked media have advocated the targeting of First Lady Melania Trump and the president’s daughter Ivanka.

Mr. Trump will leave office in 2029, but Iran’s calls for violence against him and his family won’t expire then. Thirty-three years passed between Ayatollah Ruhollah Khomeini’s pronouncement of a death sentence on Salman Rushdie for his novel “The Satanic Verses” and an attempt to carry it out by an American-born Islamist. Tehran claimed it had no knowledge of the would-be killer’s doings, but it celebrated Mr. Rushdie’s near-fatal injury all the same.

Hatred of this sort doesn’t mellow. As long as the revolu-

tion begun in 1979 endures, its bloodlust will, too. Barack Obama’s mistake was to believe otherwise.

Apart from military strikes and the blockade, Mr. Trump could use the resource he always has aplenty: words. When the war began, the president spoke directly to Iran’s downtrodden. “The hour of your freedom is at hand,” he said in prepared remarks the day Operation Epic Fury began. “Stay sheltered, don’t leave your home. It’s very dangerous outside. . . . When we are finished, take over your government. It will be yours to take. This will be, probably, your only chance for generations.”

When the government didn’t collapse, the ever-disciplined Mr. Trump indulged his appetite for showmanship and big-shot deal-making. That almost certainly discouraged any attempt to revolt. Anyway all the flirtations and memoranda came to nothing, as foreseen in these pages and elsewhere. Now, with an angry population and a government deprived of money, a bit of Reaganesque rhetoric might have a powerful effect.

And shelve the objection that Iran aggressively censors what its citizens can view online. If Ronald Reagan’s anti-communist speeches found their way into the dark cells of Siberian gulags, Mr. Trump can speak to the Islamic Republic’s domestic foes and know he’ll be heard. “How difficult it is,” wrote the great Polish poet and dissident Czesław Miłosz (1911-2004), “for totalitarian systems to combat the word, which slips over borders more rapidly and more effectively than people on the outside imagine.”

Trump Sticks With a Losing Midterm Plan

By Karl Rove

Reporting last week should give Republicans in toss-up races this fall some sleepless nights.

First, the Atlantic reported on a meeting in early August between President Trump and his political advisers on White House messaging for the midterms. According to people familiar with the gathering, the president’s people told him, in the magazine’s words, that “the voting public still does not know about many of his accomplishments.”

The president’s response was that since Democrats will make November a referendum on him anyway, the smart thing was to run ads touting his record. They’d be easy to create. Just mine Mr. Trump’s own on-camera statements, the president reportedly suggested. “Go look at the clips,” he said. “I cite accomplishments all the time.”

Then last Friday Fox News’s senior White House correspondent, Peter Doocy, reported he was “hearing some whispers of a ton of Trump travel in October, possibly as much as a Trump rally a day” in competitive states and districts. Mr. Doocy admitted you don’t typically see such an active presidential schedule, since midterms “are historically very hard for the president’s party.”

What could go wrong with a rally a day and hundreds of millions of dollars in ads in

battleground states featuring Mr. Trump? A lot.

For starters, if your approval rating is low, making the election even more about you only helps the opposition.

Midterms are almost always a choice for voters between more of the same and change. Mr. Trump has a 39.6% approval in the RealClearPolitics average, with 56.9% disapproval. Plastering his face on every screen in every toss-up race will make the midterms even more about him and tie

He reportedly wants to run ads touting his record, never mind his unpopularity.

those candidates to an intensely unpopular status quo.

A presidential rally a day in the final month of the midterms will have the same effect but with an additional downside: Mr. Trump is never disciplined. He’ll have no script, saying whatever comes to mind. His crazy comments will dominate the news, locally and nationally. Republican candidates will constantly have to fend off questions about whether they agree with his latest insult or half-baked idea. The narrative won’t be on anything positive about them or the GOP.

It would be far more sensi-

ble to put those candidates at the forefront of Republican ads—not Mr. Trump. They should be the ones framing the choice voters face. They could share their views, values, agendas and contrast them with those of their opponents. After all, it’s their fates voters will decide.

Given all this, why is Team Trump talking about giving Democrats what they want and making the president the face of the GOP campaign this fall?

The answer: narcissism. Mr. Trump believes that in 2024 “the beauty” was “that we won by so much.” He thinks “the mandate was massive,” the biggest in “129 years in terms of the overall mandate.”

Not so much. His popular-vote margin was the fourth-smallest in 60 years—and that support has rapidly eroded.

White House politicos may be thinking rallies and ads are a winning ticket because Mr. Trump’s pollster pegs the president’s approval at 48% with 48% disapproving, much cheerier than RealClearPolitics’ average, which last had him at 48% in March 2025. If the president’s pollster is right and the electorate is evenly divided, then energizing Mr. Trump’s followers should be good for a couple of points, even if it juices the opposition a little at the same time.

But could every other poll really be wrong and this one flattering survey correct? That’s quite the bet to take

with control of Congress on the line.

There’s an obvious better path for Mr. Trump to help GOP candidates: Act more presidential and empty his super PACs’ bank accounts.

The former requires taking time to explain what he’s doing in Iran and on the economy. Whoever helps him fling Truth Social messages out into the ether on other subjects should ask if each one helps Republicans. If not, don’t hit send.

The latter is easier. As of July 31, the president had \$403 million in his MAGA Inc. PAC. That could erase the spending advantage Democrats have in critical contests for the Senate and House. Rumor is Mr. Trump wants to save the money for his presidential library. That would really irritate donors. The GOP would be far better off if he started spending that cash. It would be better if he had already begun.

The White House is almost too late. Republican candidates are running out of time to change the dynamics of the midterms. Mr. Trump spending his dollars featuring them, while he focuses on his day job, could still make a difference. Clock’s ticking.

Mr. Rove was senior adviser and deputy chief of staff for President George W. Bush and is author of “The Triumph of William McKinley” (Simon & Schuster, 2015).

Why Send a Child to Public School?

By Brian D. Ray

Why home-school your children? The question should be flipped. Why *not* continue the schooling you started with your children at birth? Is there compelling evidence for sending one’s child to institutional school rather than continuing parent-directed, home-based education?

Podcasters call home schooling “trickle-down stupidity,” and teachers unions warn against it. But home schooling has surged to more than three million students nationwide—roughly twice the national Catholic-school enrollment.

For most of history, home-based education was normal. Parents and other adults took on the tasks of teaching children language, morals, practical skills, religion, reading, trades and habits needed for adult life. Mass institutional

schooling is comparatively recent. Yet today we treat it as the default and ask home-school parents to defend their choice.

Why not reverse the burden of proof? Our May systematic review covers four decades of home-school research. Fifteen of 24 studies of academic achievement—62%—reported positive outcomes for home-school students compared with institutionally schooled students. Sixteen of 25 studies—64%—on social and emotional development found positive outcomes for the home educated. Thirteen of 24 studies—54%—examining later adult outcomes found positive results. Most of the other studies found no differences.

These studies don’t prove home schooling causes every advantage. It is difficult to control for all variables. But the evidence doesn’t support the presumption that children need institutional schooling

for sound academic or social development.

Other evidence should also raise questions. The 2024 National Assessment of Educational Progress found about 7 in 10 eighth-grade public-school students scored below NAEP Proficient in mathematics and reading. Nearly 1 in 5

The common query about home schooling should be flipped.

American 15-year-olds report being bullied at least several times a month, and 13% don’t feel safe in hallways, cafeterias, restrooms or other places at school. Research shows that 11.7% of Americans report experiencing at least one form of school-employee sexual misconduct during K-12.

Consider what a caring, attentive home-education envi-

ronment naturally makes possible: more adult-child conversation; curriculum fitted to a child’s strengths, weaknesses and interests; greater flexibility; more time to read and pursue subjects deeply; stronger family interaction; and more contact with people of different ages.

We shouldn’t be surprised children do well in such an environment. Parents have already spent years teaching preschoolers to speak, ask questions, count and understand the world. Why would we think that at age 5 this process should stop?

If educators and policymakers want children to receive the best education possible, they should treat home education as the default option—not an eccentric one. Why not home-school?

Mr. Ray is president of the National Home Education Research Institute.

BOOKSHELF | By Charles Lane

Defying the Slave Catchers

The Ballad of the Fugitive William Parker

By Cristin O’Keefe Aptowicz

Simon & Schuster, 448 pages, \$31

Four enslaved black men fled Edward Gorsuch’s Maryland farm in November 1849. Over the next 22 months he hunted them like a man possessed. Finally, on Sept. 11, 1851, an informer’s tip brought Gorsuch to a stone house in Christiana, Pa., about 50 miles west of Philadelphia in Lancaster County. Some of the men had taken refuge there, protected by William Parker, who had also fled slavery in Maryland a dozen years earlier and established a new life in Christiana.

Accompanied by a deputy U.S. marshal, Gorsuch sought their arrest under the newly enacted Fugitive Slave Law. He brandished two pistols and declared, “I’ll have my property or go to hell.”

If Gorsuch saw himself as an irresistible force, Parker intended to be an immovable object. Having sworn never to be taken back to slavery alive—or to let that happen to anyone else—he had organized an armed self-defense force of black neighbors to fend off slave catchers. Now, Parker dared Gorsuch to take his “property,” announcing, “I intend to fight.” Meanwhile, Parker’s wife blew a horn to summon supporters from the surrounding countryside; a large group of local residents responded. Some were armed with guns, clubs or scythes.

The ensuing clash left Gorsuch dead, three of his white companions seriously wounded—and both Parker and the escapees from Gorsuch’s farm on the run. (Parker eventually made it to Canada with assistance from Frederick Douglass.)

The Christiana battle has been narrated before, but never more grippingly than in Cristin O’Keefe Aptowicz’s “The Ballad of the Fugitive William Parker.” Ms. Aptowicz, whose book “Dr. Mütter’s Marvels” (2014) explored the life of an innovative Philadelphia physician, situates the showdown in Christiana within the story of southeastern Pennsylvania’s pre-Civil War free black community. Black Pennsylvanians faced mob attacks and the loss of suffrage rights after the state’s 1838 constitutional convention, but, together with white Quakers, kept operating the Underground Railroad. They rallied to the defense of those who would face federal charges over the violence in Christiana.

Word of the bloodshed spread rapidly. Southern politicians and newspapers demanded that the president, Millard Fillmore, punish those responsible. Desperate to avoid secession, Fillmore obliged, sending Marines and federal officers to southeastern Pennsylvania. They rounded up more than two dozen alleged perpetrators (four were white, the rest black) of what became known as the Christiana Riot.

The plan was to try them all for treason—a crime punishable by death. The first defendant to be tried was Isaac Castner Hanway, a white miller who had been at the scene, and who had refused the deputy U.S. marshal’s order to tell Parker’s armed black allies to disperse. “The colored people have a right to defend themselves,” Hanway had replied. Prosecutors believed that if they convicted Hanway they would have an easier time getting juries to find the rest guilty.

In 1851 a Maryland man pursued what he thought to be his human property onto a Pennsylvania farm. It would be his last act.

In 1851, Supreme Court justices still “rode circuit,” traveling the country to preside at federal trials. Justice Robert C. Grier was assigned to the Christiana case, and he initially seemed friendly to the prosecution. Ferocious cross-examination of witnesses by one of Hanway’s defense lawyers, the abolitionist congressman Thaddeus Stevens, exposed the weaknesses in the prosecution’s case. In the end, Grier instructed the jury that the Fugitive Slave Law should be obeyed but that individual resistance did not amount to treason. The jury acquitted Hanway, forcing the government to dismiss charges against the others it had arrested.

The trial generated a national sensation, and Ms. Aptowicz effectively re-creates the courtroom drama, though she errs in implying that Hanway’s lawyers strategically chose not to put him on the stand. Common-law rules at the time forbade defendant testimony on the theory that it was self-interested and thus unreliable. She aptly notes, however, that the fierce defense of the fugitives in Christiana was rooted in “decades of tenacious, ever-evolving anti-slavery and Black rights efforts,” which had “spread out across Philadelphia and rural southeastern Pennsylvania.”

Her account shows that the Fugitive Slave Law was both morally wrong and a strategic error by the South. Estimates by historians suggest that, at most, a few thousand enslaved people fled north every year between 1800 and 1860—a tiny percentage of the total population held in slavery (more than three million by 1850). Yet Southern politicians had insisted there could be no Union-saving Compromise of 1850 without the law, which forced every citizen of the North to cooperate in returning black people to bondage. This suddenly made slavery a personal issue for Northern whites and “thrust the slavery debate back into newspapers and pulpits,” Ms. Aptowicz observes. The resulting revival of antislavery sentiment helped give rise to the Republican Party in 1854.

The Fugitive Slave Law created a crisis for abolitionists such as the Quakers, challenging their conviction that the struggle against slavery must be nonviolent. But Parker was no pacifist, and he was equipped to act accordingly. Tall, powerfully built and eloquent, he quoted scripture as competently as he wielded a firearm. He had been trained as a prizefighter by his erstwhile enslaver, who put Parker in the ring against other enslaved men, then wagered on the outcome. In Lancaster County “Parker became almost mythical,” Ms. Aptowicz writes, “a man who couldn’t be threatened, frightened, or killed.” He became known for fighting white men and leaving them “bleeding on the road while he returned home untroubled to a fat dinner of duck and apple cider.”

Ms. Aptowicz’s sympathetic portrait of the people who stood their ground at Christiana bolsters recent reconsideration of their actions as resistance rather than a riot. Whether such violence may be justified, even in a good cause, is a matter still debated. But if anyone had a right to resort to it, it was William Parker on that September morning in 1851.

Mr. Lane is the author of “Freedom’s Detective” and a non-resident senior fellow at the American Enterprise Institute.

REVIEW & OUTLOOK

The Food Stamp Reform Is Working

Sorry to be the bearer of good news in these ill-tempered times, but fewer Americans are using food stamps. The main reason is that Congress's reforms last year are causing states to police the rolls for abuse as they should have long ago.

Food-stamp enrollment fell to 36.6 million from 42.3 million between May 2025 and May 2026, according to new U.S. Department of Agriculture data. Enrollment has returned to pre-pandemic levels, though it's still higher as a share of the population (10.7%) than it was two decades ago (8.9%).

Nearly half of states registered enrollment declines greater than 10%, including Connecticut (15.7%), Indiana (15.8%), Texas (16.6%), Utah and Illinois (16.7%), Oklahoma (19.6%), Louisiana (21.5%), Florida (22.2%), Nevada (23.1%), Georgia (36.5%) and Arizona (53.8%).

As always, the political left is spinning these declines as a human tragedy. Not so. Republicans have merely ended the literal free lunch for able-bodied beneficiaries and states.

The GOP's 2025 budget expanded food-stamp work requirements for able-bodied adults to ages 55 to 64 and parents with children over age 13, and it eliminated exemptions for veterans and homeless. It also closed a loophole that had let 15 states suspend work requirements owing to "insufficient jobs."

A major reform goal was to encourage work and to stop enabling the homeless with drug addictions who resist treatment. The regrettable reality is that food stamps are fungible, giving addicts more money to spend on drugs.

The reform also generally required states with payment error rates at or above 6%—roughly the average before the pandemic—to pay an increasing share of benefits (between 5% and 15%). Error rates climbed during the pandemic and averaged 10.6% across all states last year. The point of reform is to give states a financial incentive to verify incomes and eligibility.

While the left claims errors are administrative lapses that can't be helped, this doesn't explain why overpayments are seven times larger

Spending is 20% below forecast as states police their rolls for abuse.

than underpayments. When the feds footed the entire bill, the political incentive for states was to expand enrollment and boost payments, even if it meant some people received benefits they shouldn't have.

Now that states have skin in the game, they are doing more due diligence. Food stamps are on track to cost \$85.7 billion this fiscal year, far less than the \$100 billion the Congressional Budget Office projected in its baseline budget in February and the \$107 billion forecasted in January 2025. That's a 20% decline in the program's baseline.

CBO tends to undershoot the cost of entitlement expansions by discounting how financial incentives affect behavior. In this case, CBO appears to have underestimated savings from the GOP reforms for the same reasons. Memo to Republicans in Congress: Ending incentives that turbocharge spending is the easiest way to slim entitlements.

Republicans last summer also imposed work requirements on working-age, able-bodied Medicaid beneficiaries and limited a scheme that states use to launder more federal funds. It was a good start, but states still have little incentive to attack abuse and fraud since they receive more money from the feds the more they spend.

Congress ought to reduce the 90% federal payment match for the ObamaCare expansion population on Medicaid, which encourages states to spend more on healthy working-age adults than on the disabled. How about banning federal waivers that let states cover non-medical benefits that are especially vulnerable to fraud, like housing and in-home chefs?

The feds operate more than a dozen food assistance programs, which provide grocery money for new parents and their toddlers, as well as free school breakfasts and lunches for lower-income children. Some states provide free school meals for all children. If states want to boost food assistance with their own tax dollars, they can.

Washington's welfare buffet is fiscally unsustainable and promotes dependency. The GOP's food stamp results show reform can succeed if lawmakers have the political will.

New York's Climate Law Flops in Court

The progressive government raid on fossil-fuel producers hit a roadblock this week, with a federal judge striking down a New York law that would make companies pay reparations for their worldwide CO2 emissions. Sorry, climate change doesn't let states ignore the Constitution.

Democrats in Albany in 2024 passed a law that required fossil-fuel companies to cough up \$75 billion to compensate for alleged damage from their CO2 emissions. "This landmark legislation shifts the cost of climate adaptation from everyday New Yorkers to the fossil fuel companies most responsible for the pollution," Gov. Kathy Hochul's office said at the time.

Under the law, the state apportions liability among three dozen or so companies that sold fossil fuels in the state based on their estimated contribution to global CO2 emissions dating to 2000. This amounted to a giant tax on the companies—many of which don't operate in New York—their customers and shareholders.

The U.S. Chamber of Commerce, fossil-fuel producers and 22 states sued, arguing that the tax intrudes on federal authority, violates the Constitution's Commerce Clause and is preempted by the federal Clean Air Act. Federal

Albany's raid on fossil-fuel firms is unconstitutional.

Judge Brenda Sannes, a Barack Obama appointee, more or less agreed. New York's Climate Act is "simply beyond the limits of state law," she wrote.

In instances of "interstate and international disputes implicating the conflicting rights of States or our relations with foreign nations . . . our federal system does not permit the

controversy to be resolved under state law," she explained, citing Supreme Court precedents. Climate change is a issue that involves all 50 states and foreign countries.

Her opinion draws on the Second Circuit Court of Appeals ruling in 2021 that dismissed a lawsuit by New York City that sought to hold fossil-fuel producers liable for CO2 emissions. "There is very little daylight left to distinguish the Climate Act from the common-law claims in *City of New York*," she wrote.

The judge's ruling is a welcome rebuke to politicians who are hoping to pillage energy producers. The Supreme Court next month will have an opportunity to shut down these raids when it hears arguments in *Suncor Energy v. County Commissioners of Boulder*, which concerns whether federal law pre-empts state law claims for damages from CO2 emissions. The Justices can't rule soon enough.

Defunding the U.S. Military

Another round of press leaks is warning that the U.S. military arsenal is in dire straits, and the Trump Administration is vowing to prosecute the leakers. But this news wouldn't be so damaging if President Trump and Congress were fighting harder against Democrats to address U.S. shortfalls in naval power and ammunition.

The stories that U.S. military commanders oppose further action in Iran should be viewed warily. They are selectively released with malice aforethought to constrain Mr. Trump's options in Iran, and you can bet the regime in Tehran is reading.

But the costs to U.S. military readiness are compounding in the Middle East, and Washington isn't paying the bills. The U.S. naval blockade of Iran is a long play to squeeze the regime, and it's the best option if the President is reluctant to re-engage militarily. Yet the Navy's top officer told the press recently that the fleet is \$6 billion to \$8 billion short of what it needs to operate this fiscal year owing to the costs of the Iran conflict.

The Trump Administration has asked Congress for \$67 billion in supplemental Pentagon funding, but Democrats are blocking it. Meanwhile, the President's proposed \$1.5 trillion defense budget for next year relies on Republicans passing \$350 billion of it through the reconciliation process with only GOP votes.

That money is supposed to expand underlying U.S. power, instead of refilling gas tanks and operations accounts. For example:

Congress and the White House are making little effort to fund defense.

military planners have warned for years that U.S. forces lack air cover for a long war with China or Russia—a warning borne out as the U.S. fired half of its Patriot interceptors within weeks in Iran.

The Pentagon wants 3,200 advanced Patriot interceptors next year, an increase Joe Biden should have ordered after Vladimir Putin invaded Ukraine. Yet about 2,900 of those 3,200 are earmarked for a reconciliation bill that so far hasn't appeared. Ditto for tens of billions for other munitions.

Also at risk is money for the Pentagon's drone dominance program and homeland missile defense. The President asked for about \$17 billion for his Golden Dome air defense next year, nearly all in reconciliation. "If they don't figure it out," Gen. Michael Guetlein said this summer, "there is no Golden Dome."

These are supposedly presidential priorities, and Republicans still control Congress, or so we've been led to believe. Yet around Washington the word is that the defense money has no chance until the lame-duck session—and maybe not then. Color us skeptical the GOP will rally after an electoral drubbing. The better answer is for Republicans to pass as much of this funding as possible in one budget bill before the elections.

The Ukraine war appears to be entering an ugly new phase, and the U.S. had to divert its forward-deployed Pacific carrier to the Middle East. On present trend Congress is defunding the military, and Republicans should be making Democrats pay a political price for it.

LETTERS TO THE EDITOR

Aluminum Tariffs Harm U.S. Manufacturers

Your editorial "The Metals Lobby's Big Steal" (Aug. 26) gets the diagnosis right and the prescription wrong. You correctly state that tariffs add to the cost of aluminum. The tariff costs are wrapped into the Midwest Premium price, an aluminum market-clearing price for every ton of aluminum sold in the U.S.

The American Aluminum Alliance represents domestic downstream manufacturers. Our U.S. employees turn bare metal into products like aircraft components, fencing, windows, accessibility ramps, truck bodies, solar racking and thousands of other products. We are on the receiving end of the tariff costs, which we can't avoid even if we purchase from a domestic smelter.

Tariffs on primary aluminum won't build a single smelter in the U.S. Electricity in the U.S. costs up to four times more than the rates smelters pay in some other countries, including Canada. Without securing long-term, competitive electricity, building and operating a new smelter in the U.S. isn't economically feasible—a fact the primary tariffs can't fix.

A tariff on derivative aluminum products, on the other hand, is essential to protect domestic manufacturers from foreign competitors who benefit from cheap electricity. Taxing raw aluminum while ignoring derivative products only encourages the downstream fabrication industry to offshore. The U.S. needs affordable electric-

ity to make domestic smelters economically viable, and enforcement on derivative aluminum goods to support the 870,000 U.S. jobs in the downstream aluminum sector.

JOE DONOVAN
Executive director
American Aluminum Alliance
Washington

Your editorial is right that U.S. businesses and manufacturers are paying too much for aluminum. But you overlook an important part of the story: the Midwest Premium.

The Midwest Premium, a surcharge added to the cost of primary aluminum, has increased more than 300% over the past three years and reached an all-time high this year. That is due in part to the imposition of import duties on aluminum sold in the U.S., even when that aluminum is produced or recycled here at home. Buyers pay this premium on aluminum every time it is recycled and reused.

For manufacturers reliant on domestic recycled aluminum, like the beer industry, this effectively requires U.S. businesses to pay a tariff on recycled metal that never crosses a border. This punishes companies for using recycled metal already circulating through our domestic supply chain. It's time to end the recycling penalty.

BRIAN CRAWFORD
President and CEO, Beer Institute
Washington

Medicare's Below Market Reimbursements

It's sad, but not surprising, that many Medicare beneficiaries have to wait longer than those with private insurance to receive cancer treatment ("Dying for Medicare for All," Review & Outlook, Aug. 28).

Medicare reimbursement hasn't kept up with the market, essentially leaving commercial insurers to subsidize Medicare and Medicaid. Medicare's chronic underpayments are akin to arbitrary, socialist-style price controls that lead to care rationing, or in this case seemingly giving priority to those with private health plans.

Relatedly, when adjusted for practice-cost inflation, Medicare physician payments have dropped 33% over the past 25 years, according to the American Medical Association. Compounding Medicare cuts have forced many physicians to opt out of independent practice, sell to larger institutions or retire early. Many physicians have stopped accepting new patients with certain Medicare plans, exacerbating

the healthcare access crisis.

It's little wonder that Americans are frustrated by long wait times and worse health outcomes. Look around the world at failing healthcare systems in Canada, Germany and the United Kingdom, to name a few egregious examples. The U.S. isn't far behind if Congress doesn't right the ship. Failure to link payments to inflation has only hastened the decline of our healthcare system and added fuel to the "Medicare for All" fire that progressives champion, putting our seniors at the back of the line.

Without ensuring Medicare reimbursement that mirrors reality, patients will soon learn the hard way that Medicare for All means healthcare for no one. Take note, Congress: Worse delays in care, longer lines and more access problems lurk ahead if we don't fix the system now.

TERRY WILCOX
CEO, Patients Rising
Vienna, Va.

Hands Off the Free Market, Mr. Vice President

Regarding Andrew Langer's op-ed "What JD Vance Gets Wrong About Hamilton" (Aug. 28): Vice President JD Vance is mistaken: It isn't necessary for the government to provide a framework for functional free markets. Adam Smith's invisible hand does that, along with contractual law and the inherent principle of fair play, whether prompted by religion or ethics.

John Adams warned in 1798 that republican government couldn't survive merely through political institutions; it required moral character. He wrote: "Our Constitution was made only for a moral and religious peo-

ple. It is wholly inadequate to the government of any other."

Hands off the free market, please, Mr. Vice President; you have strayed too far from bedrock conservatism. The religious, moral and ethical principles that you feel need to be mandated have existed for millennia.

MAJ. JOE SIEGEL, USAF (RET.)
Fox Island, Wash.

More Paths to Practice Law

Regarding your editorial "Busting the ABA's Accreditation Monopoly" (Aug. 29): Kudos to the states that are waking up to the protectionist hold the American Bar Association has over attorney-licensing regimes. For myriad reasons, including access-to-justice gaps in rural America, more pathways to the legal profession are needed. If state licensing boards loosen the grip that ABA accreditation has enjoyed for decades, innovative and technologically driven market entrants will create modern curricula that better reflect what the practice of law entails. The time and money it takes to gain a bar-exam-eligible legal education would decrease, and the legal profession would become more accessible to all students, particularly nontraditional students and those of limited financial means. If the ABA deserves a monopoly on accreditation, then it should have no objection to proving it in a competitive market.

DREW THORNLEY, J.D.
Associate professor of legal studies
Stephen F. Austin State University
Nacogdoches, Texas

Pepper ... And Salt

THE WALL STREET JOURNAL



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OPINION

The Navy’s Overstretched Carrier Fleet

By Kate B. Odell

‘We’re an 11-carrier Navy in a 15-carrier world,” Rear Adm. Thomas Moore said in 2013. Since then the conversation has shifted to the power of drones and the vulnerabilities of carriers and other big assets. Meanwhile, factions of both political parties think America should spend less on warships and more on income redistribution.

The U.S. is dangerously short on core naval combat power, yet its undercapitalized carrier fleet remains the envy of its enemies. The exhausting combination of heavy demands and a shrinking fleet is producing longer deployments—and wearing out crews and capital assets. The press blames President Trump and his “war of choice” in Iran for what is a much larger crisis.

Underinvestment has led to long deployments, a pilot shortage and strains on ship maintenance.

The USS Abraham Lincoln spent more than 200 consecutive days at sea without a stop in port. The president’s decision to strike Iran epitomizes the kind of national-security interest that warrants an extended deployment. Reports about food and conditions on ship don’t grapple with the challenges of ferrying fresh lettuce into a combat zone.

The Navy has long struggled to stick to a 180-day deployment standard, which helps a carrier to reach maintenance yards on time and be made ready for its next assignment. Take your pick: The USS Eisenhower left in 2023 for 275 days; the USS Truman departed in 2024 for more than 250 days. Chief of Naval Opera-

tions Adm. Daryl Caudle made news in January when he said he would oppose extending the USS Gerald Ford’s deployment, owing to the cascading consequences for maintenance and crew.

“People want to have some type of certainty that they’re going to do a seven-month deployment,” Adm. Caudle said. But the Trump administration sent the carrier to the Middle East, and the Ford returned home in May after 326 days deployed.

A real worry is that service members return from a grueling and unpredictable deployment and decide to seek other work. Strike-fighter pilots are the scarcest asset in a carrier strike group. It takes years and millions of dollars to train them.

Lt. Cmdr. Brian Hall warned this summer of a retention crisis among midcareer fighter pilots. The Navy in 2025 needed 52 “department heads,” who are 30-something pilots on their way to making commanding officer. But only 31 accepted orders, according to Cmdr. Hall’s internal data, and roughly half of those had transferred from other aircraft and were less experienced. So many pilots are moving on that the Navy has to promote officers it otherwise wouldn’t.

The toll is evident in a bevy of accident reports in recent years. When an arresting wire that catches landing planes snapped aboard the Eisenhower in 2023, the “air department was postured for human error due to the aggregated effects of combat operational tempo, chronic manning shortfalls, and substandard leadership in areas of the air department,” a Navy accident report said.

About 18 months later, when another arresting wire failed on the



The USS Abraham Lincoln during Operation Epic Fury in the Arabian Sea.

Truman, the Navy investigation listed “high operational tempo and inadequate manning” as a “causal factor.” The Truman on the same deployment careened into a civilian ship, generating another report, which mentions issues such as ship watch standers “in a two-section rotation with only 60% manning, leading to excessive fatigue.”

The ships are as tired as the personnel. Longer deployments mean carriers require more maintenance. And as the USS Nimitz floats past its 2025 planned retirement, the fleet could shrink below the 11-carrier floor prescribed by Congress.

Much has been written recently about the silliness of the Trump administration’s attempt to rip electromagnetic aircraft catapults out of new Ford-class carriers, and it’s true the new tech can launch more aircraft than older steam iterations. But the administration is arguing that new Ford carriers are too complex to build and producing an untenable

status quo: The U.S. soon will retire a carrier every few years while struggling to add a single carrier each decade.

There are no cheap solutions for this problem, which remains intractable so long as the U.S. spends only 3% of gross domestic product on national defense, a modern low. Related expenses include expanding the Navy’s fleet so other ships can pick up more missions, recruiting and retaining a much larger force of sailors and pilots, expanding underlying ship maintenance capacity, and extending the life of more Nimitz-class carriers.

Many administrations have tried and failed to deal with this supply-side problem by reducing demand for naval assets, which means compromising on global interests. A carrier fleet looking weary after mere weeks of battle against America’s third-biggest adversary in Iran isn’t prepared for deterring China and Russia.

It is fantasy to imagine new technology can fully compensate for profound deficits in the U.S. fleet, when the organizing threat for the American military is a protracted air and naval war against China in the vast Western Pacific.

The usual rap on carriers is that they’re vulnerable to long-range Chinese missiles. Unmanned assets and longer-range weapons, including hypersonics, are indeed essential to improve the carrier’s reach. But as Adm. Sam Paparo, U.S. Pacific commander, has said, the reason the Chinese are working to strike the carrier’s mobile airfield is because they’ve already figured out how to target everything on land.

The carrier “is not more uniquely vulnerable to the PRC,” as Adm. Paparo told Congress. “It is more uniquely threatening to the PRC, which is why they are working so hard to strike it.” The carrier is not a sitting duck “but a moving duck with the ability to defend itself.”

The USS Abraham Lincoln will soon return from its deployment. Expect many homecoming speeches about an excellent performance in Iran. The crew deserves the valedictory. But behind the celebrations is a warning that a crucial element of U.S. national power is in trouble. President Trump could do worse than attend the homecoming and vow to spend the last two-plus years of his presidency passing and sustaining his \$1.5 trillion defense budget. He has few better legacy causes than making sure the fleet is ready, and today it isn’t.

Mrs. Odell is a member of the Journal’s editorial board.

California’s Pro-Business Wealth Tax Proposition

By Ro Khanna

Californians will vote on Proposition 40 in November. If it passes, it will establish a one-time 5% wealth tax on California’s billionaires, who have accumulated more than \$2 trillion combined. The tax will deliver up to \$100 billion to a 2026 Billionaire Tax Reserve Fund. Ninety percent of the revenue is earmarked for healthcare, the rest for education and food assistance.

The immediate impetus for the billionaire tax is the One Big Beautiful Bill Act of 2025, which gave extravagant tax cuts to wealthy Americans and initiated severe federal Medicaid cuts—expected to exceed \$1 trillion over the next decade. The loss of Medicaid funding will adversely affect millions of Californians, including children.

To put this in perspective: The wealth of California’s billionaires is equivalent to about half the state’s gross domestic product. So Proposition 40 would require California’s wealthiest citizens to devote a small share of their vast holdings to address the urgent needs of their fellow citizens. Basic fairness—indeed, simple decency—recommends support for the tax.

Nvidia CEO Jensen Huang, who could owe roughly \$8 billion, said

when asked about the proposed tax: “We chose to live in Silicon Valley, and whatever taxes I guess they would like to apply, so be it. I’m perfectly fine with it.”

Some critics have observed that a few founders who are paper billionaires will be unable to pay the tax because their wealth is locked up in shares they can’t sell. This is a genuine problem that Proposition 40’s provision on deferred tax payments aims to address.

Louder voices have condemned the initiative completely. They say that Proposition 40 and similar measures, such as the national wealth tax I have sponsored with Sen. Bernie Sanders, are antibusiness. Taxing billionaire wealth, they say, will do serious economic damage by killing the incentives of innovators.

This criticism is fundamentally misguided.

Let’s look back at the 1950s. The U.S. economy was innovating and growing rapidly. The top federal corporate rate in 1955 was 52% and the top individual marginal rate was 91%, compared with 21% and 37% now. Even if the wealthiest Americans didn’t pay those rates, their effective rates were well above current levels.

Critics who think taxes will deter entrepreneurship misunderstand the

motivations of innovators. Dario Amodei, Beyoncé, Tim Cook, Jensen Huang, Sundar Pichai and Steven Spielberg are all billionaires. Would any of them really have worked less or with diminished creativity if they had expected higher taxes and a little less wealth?

By funding healthcare and education, it would invest in the human capital that companies need to thrive.

The wealth tax won’t kneecap those with a burning passion to leave their mark on the world. More than that, it has strong pro-business elements.

Daron Acemoglu, Simon Johnson and James A. Robinson won the 2024 Nobel Prize in economics for their work on why some societies generate sustained innovation while others fail. Their answer contrasts inclusive and extractive institutions. Inclusive institutions work by combining secure property rights and rule of law with broad opportunities for economic participation and limits on elite extraction. Extractive institutions allow powerful groups to

remain in control and hoard resources. Once economic power translates into political power, the creative destruction and new firms that lasting innovation needs get starved and smothered.

In 2008, billionaires accounted for 0.3% of political spending; by 2024, they accounted for 19%. Jeff Bezos owns the Washington Post, Elon Musk owns X, and David Ellison is running CBS News. The dangers that Messrs. Acemoglu, Johnson and Robinson identify are real and growing threats. A wealth tax can help by dispersing economic and political power, protecting both the market economy and democracy.

Even if the tax imposes some efficiency costs, we need to consider the return on what its revenue finances. Spending on health and education is good both for the person who receives care and schooling and for the economy.

Nobel laureate Gary Becker, from whom I learned at the University of Chicago, argued the fundamental point 60 years ago in “Investment in Human Capital: A Theoretical Analysis.” Expenditures on education and healthcare—especially for children—are investments in human capital. These investments have positive returns for the individual and the broader society. In a digital economy,

these investments are more important than ever. Nvidia works in Silicon Valley, Mr. Huang said, “because that’s where the talent pool is.” Investments in human capital help replenish that pool.

The evidence on economic benefits from Medicaid is clear. According to a 2023 report from the Congressional Budget Office, “Medicaid enrollment during childhood has been shown to increase earnings in adulthood. Those higher earnings imply greater tax revenues and lower transfer payments by the federal government in the future.” Under reasonable assumptions, the report estimates that these long-run fiscal gains could offset half or more of the initial cost.

A vote to tax billionaires to fund healthcare and education is a vote for fairness and decency. The moral case is clear. But Proposition 40 is also a pro-business measure: It supports a healthier and better-educated workforce that will deliver economic benefits for all. And like other wealth taxes, it prevents concentration and supports a competitive market economy that can deliver on a promise of shared prosperity.

Mr. Khanna, a Democrat, represents California’s 17th Congressional District.

What Is Canada, Other Than the Un-America?

By James Stranko

It’s a strange time to have a master’s degree in Canadian studies. But with Prime Minister Mark Carney angrily trying to give President Trump a taste of his own medicine, my moment as a Canada observer has come. When I finished my studies, the mere existence of the discipline at a major American university was a punch line for everyone I knew. It’s still a punch line, but it isn’t as funny anymore: Over the past 15 years, Canada has grown poorer, more divided (with two active separatist movements, in Que-

bec and Alberta) and less confident in its own identity.

While it’s easy to pin the blame on Mr. Trump’s adventurism, it’s much harder to hold up a mirror to Canada’s perpetual problem: its weakness for defining itself in contrast to America. Mr. Carney’s smug statesmanship and focus on virtue signaling over substance makes matters worse. Boosters say this new round of tit-for-tat tariffing and flag waving might make Canada feel more united, but united in what?

Like Democrats who are incapable of working with the Trump administration on anything, even if it

benefits their constituents, many Canadians aren’t thinking about what this huffing and puffing means for them and what a true rupture in trade would do to their country.

A range of recent surveys conducted by serious polling firms found that Canadians overall believe America is a greater threat to the world than China or Russia. According to Pew Research, the number of Canadians holding an unfavorable view of the U.S. has gone from 26% in 2015 to 64% in 2025—the same period in which Russia invaded its neighbor and Canada’s Parliament formally accused China of genocide.

The same Pew study showed that unfavorable views toward the U.S. went from 26% to 42% during the George W. Bush presidency, dropping back to 28% after Barack Obama was elected. Then it shot from 26% in 2016 to 62% by 2020, aligning neatly with the years of the first Trump administration. So in 25 years Canadians have gone from being broadly happy with America during Democratic administrations to ready to file for divorce when Republicans are elected.

This unhappy marriage goes back centuries. Between 1800 and 1825, the U.S. clashed with Britain over its northern frontier and famously invaded British Canada during the War of 1812. Canada’s history is a pendulum of violent rejection, reluctant acceptance, begrudging conde-

sension and resigned cohabitation with America. Almost all of Canada’s major moments of national unity were born out of rejection of, or protection from, American power—from its conception by the British as a consolation prize in North America to its “independence” from the crown after Britain ran scared at the

Many of the special things our northern neighbors cherish, we in the U.S. can also count as our own.

end of the American Civil War. Unlike America, which fought and won its independence, in Canada France lost to England, and England lost to itself, making the country in many ways a much less intentional political construction than the U.S.

Its coasts were settled separately, unlike the broad settler-driven western expansion of America’s manifest destiny. As a result, Canada’s economy and society are poorly integrated between provinces, with a majority of Canada’s trade crossing the border north-south, versus east-west across its own national market.

The result is that too many Canadians spend too much energy identifying a diminishing number of ways to differentiate themselves

THE WALL STREET JOURNAL.

PUBLISHED SINCE 1889 BY DOW JONES & COMPANY

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SPORTS

By JARED DIAMOND

The Major League Baseball season was two months old, and Pete Crow-Armstrong was struggling. Actually, his troubles had lasted a lot longer than that. After a blistering start in 2025 that appeared to solidify Crow-Armstrong as a burgeoning superstar, the Chicago Cubs' outfielder fell into a dismal slump that not even a full winter could fix. He came out of Memorial Day week-end hitting just .223, sparking concerns throughout Wrigleyville that the future of the franchise had issues that ran deeper than Chicago pizza pans.

So Crow-Armstrong arrived at a dramatic and wildly risky conclusion. He was going to fundamentally alter how he stood at the plate.

That decision not only repaired his broken swing and elevated the Cubs into legitimate World Series contenders. It also turned Crow-Armstrong into an unlikely favorite to finally dethrone Shohei Ohtani as National League MVP.

It isn't all that unusual for players to fiddle with their mechanics over the course of a summer, with more drastic overhauls left to off-season experimentation. Crow-Armstrong's sudden transformation, however, has been anything but subtle. Comparing one of his at-bats these days to his attempts back in the spring is like watching two completely different hitters.

Crow-Armstrong now stands closer to the plate and deeper in the batter's box. His legs, which had been spread more than 2 1/2 feet apart while he was waiting for the pitch, are a foot closer together. Instead of keeping his hands at shoulder-level with his bat parallel to the ground, he holds his hands at his chest and his bat pointing upward.

The results have been extraordinary. With his reworked stance, the man known as "PCA" has been the best player in the entire sport, treating the Friendly Confiners on Chicago's North Side as his own personal launching pad.

Crow-Armstrong entered Wednesday with a .312 batting average since May 27, when the changes began to take hold. His MLB-best 1.095 on-base-plus-slugging percentage over that span

A Reworked Stance Is a Big Hit

Since changing his batting setup, Pete Crow-Armstrong has been the best player in the game



Pete Crow-Armstrong is having an MVP season for the Chicago Cubs.

outpaces American League Triple Crown hopeful Yordan Alvarez by 67 points. His 32 home runs during that stretch, including a five-homer outburst in the span of two days last weekend, are eight more than any other player.

Despite his slow start, the 24-year-old leads the NL in OPS and ranks second in homers behind only Philadelphia Phillies slugger Kyle Schwarber. He has 9.3 wins above replacement, as calculated by FanGraphs, buoyed by his elite defense in center field. His WAR surpasses Ohtani's total of 6.8 as a hitter and pitcher combined.

"Watching somebody perform like this is something special," Cubs manager Craig Counsell told reporters recently. "There are a lot of things that have changed tre-

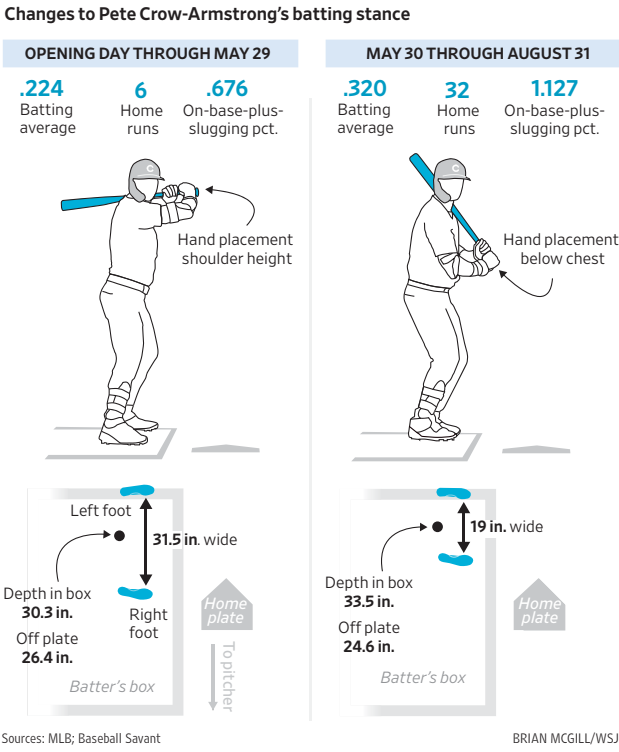
mendously."

When the Cubs acquired Crow-Armstrong from the New York Mets as a low-level prospect at the trade deadline in 2021, they were initially a bit confused. He would frequently adjust his stance, sometimes even from day to day.

"Most hitters are so protective over their swing and their setup," Cubs hitting coach Dustin Kelly said. "They have to do it the same every single time."

But, as Crow-Armstrong put it to Kelly, "When I do something for too long, it stops feeling comfortable, and I feel like I'm being robbed of my athleticism."

The Cubs agreed to work with Crow-Armstrong's unusual approach—within reason, at least. It soon carried him to the big leagues



Clippers Docked Five Draft Picks Over Payments to Kawhi Leonard

By ROBERT O'CONNELL

THE NBA ON WEDNESDAY delivered one of the harshest penalties in league history to the Los Angeles Clippers, owned by Steve Ballmer, for what it called a "flagrant violation" of its salary-cap rules.

After an investigation found that the Clippers had facilitated outside payments to star player Kawhi Leonard—designed to funnel extra money beyond what the league's financial rules allow—the NBA stripped the team of five first-round draft picks, fined the organization \$30 million and suspended Ballmer from all league activities for one year.

The payments to Leonard were facilitated through team sponsors, allowing the team to sidestep league rules about maximum compensation for players, the backbone of the NBA's competitive structure.

"I am deeply disappointed by the flagrant violations of our rules and by the Clippers' institutional and leadership failures that led to this misconduct," NBA commissioner Adam Silver said. "The severity of the penalties reflects the seriousness of the violations."

The NBA tabbed the law firm Wachtell, Lipton, Rosen & Katz to lead a probe into the Clippers following reporting from the podcast "Pablo Torre Finds Out" last September. Torre revealed a curious arrangement between Leonard, the Clippers' superstar forward, and Aspiration, an eco-conscious online bank and a sponsor of the franchise.

Aspiration's records showed that the company had paid Leonard tens of millions of dollars in endorsements, despite Leonard performing no significant work for the company. The investigation named three other companies connected to the Clippers paying Leonard improperly: Boingo Wireless, Daktronics, and



The Clippers violated salary-cap rules with Kawhi Leonard.

Lockton Insurance.

In addition to the Clippers' penalties, Leonard, who had been included in a stalled trade to the Toronto Raptors this offseason, must pay the NBA \$700,000.

"I accept full responsibility for lapses in judgment by people within my inner circle and regret the distraction this situation has caused the fans and my family," Leonard said.

The NBA's punishment of the Clippers also includes suspensions of the organization's presidents of business operations and basketball operations. But the most shocking development is the culpability laid squarely at the feet of Ballmer, the former CEO of Microsoft and—with a net worth of of more than \$150 billion, according to Forbes—by far the wealthiest member of the 30 millionaires and billionaires comprising the NBA's governor class.

A league announcement specifically cited Ballmer, one of the richest men in the world, "for approving a business deal that he knew was a prearranged deal for Aspiration to enter into an endorsement agreement with Mr. Leonard, and for his failure to create conditions under which his organization abided by the NBA's circumvention rules."

The Clippers said in a statement they intend to "vigorously challenge" the

outcome. "We vehemently reject the NBA's findings, which are the result of a heavily biased investigation," the statement read.

When the report of Leonard's arrangement with Aspiration and the Clippers first emerged, Ballmer denied any wrongdoing, saying he was "conned" by Aspiration—a company whose founder was sentenced to 14 years in prison in June for defrauding the company's investors. "I have no ability to predict why they might have done anything they did," Ballmer told ESPN, "let alone the specific contract with Kawhi."

The notion that the Clippers could have paid Leonard via a team sponsor struck at the very heart of the NBA's most important financial rules. The league institutes certain "max" salaries—collectively bargained with the players' union—ensuring that teams are on a roughly level playing field as they court players and build rosters.

When the Clippers originally acquired Leonard, in 2019, he was one of the best players on the planet. He had just led the Toronto Raptors to their only championship in his only season with the team. The Clippers, on the other hand, had been arguably the most star-crossed franchise in NBA history, without a single championship title.

NOVAK DJOKOVIC

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Debate Brews on Nonalcoholic Beer



Athletic, the largest dedicated nonalcoholic brewer in the U.S. by sales, displays its sub-0.5% alcohol by volume on its cans.

By JENNIFER WILLIAMS

In the fast-growing nonalcoholic beer business, “zero” doesn’t always mean “none.” The proliferation of sober-friendly brews—many of which still contain trace amounts of alcohol—has industry officials and consumers pushing for clarity over labels like “nonalcoholic,” “alcohol-free” and “zero-proof.” The debate has prompted lawsuits from consumers alleging misleading advertising, while an industry group is

urging brands to abandon alcohol-free claims if they can’t back them up. “When you’re assuming there are zero traces of alcohol in it and then you find out that there are some, even though they’re very minute, it catches some consumers by surprise,” said Marcos Salazar, chief executive of the Adult Non-Alcoholic Beverage Association, a trade group. Consumers are split on where to draw the line. “Are you guys drinking NA beers?” one Reddit poster

asked in a forum for expectant mothers and hopeful parents. Some replies cited absolute bans from doctors or prioritizing their child’s health, while others said they drank the beverages with their physicians’ blessings. A similar debate is playing out among organ donors and recipients. Tim Savoy said he began drinking nonalcoholic beverages around a year after his 2022 liver transplant for alcohol-related cirrhosis. He sticks to mostly beer alternatives. *Please turn to page B2*

Chevron’s \$7 Billion To Boost Venezuela Production

By COLLIN EATON

Chevron, Italian oil giant **ENI** and other energy companies inked deals Wednesday in Caracas to plow billions of dollars into Venezuela’s oil fields following months of tense negotiations. The agreements mark the first big win for the Trump administration’s push to revitalize the Latin American country’s dilapidated oil industry. Since ousting strongman Nicolás Maduro in early January, President Trump has said he intends to secure Western crude supply lines and cut fuel prices for Americans. “We were trying to work at what I call Trump speed,” Energy Secretary Chris Wright said at a signing ceremony at the Miraflores Palace. “President Trump didn’t want a nudge or a slow drift in a positive direction. He wanted to see as fast as possible a transformation in Venezuela.”

Chevron, currently the only big U.S. company active in the country, plans to invest more than \$7 billion there through its three joint ventures over the next five years. Wednesday’s deal would double the company’s production in the country and add two new heavy oil fields to its Petroindependencia joint venture with state-run Petróleos de Venezuela. The fields are in the Carabobo region in Venezuela’s Orinoco belt. The Wall Street Journal reported last week that Chevron was nearing a deal to make a big investment there. At the ceremony in Caracas, executives from other energy companies including ENI, American power-equipment firm GE Vernova and smaller U.S. players Primavera and Aspect Holdings signed deals largely aimed at boosting the country’s anemic oil-and-gas production. Trump has been urging oil companies to boost Venezuela’s output with \$100 billion in investments. Before now, those talks had produced little in the way of major new commitments. Venezuela’s oil output has barely budged since the U.S. ousted Maduro, with the country pumping about 1.2 million barrels a day, roughly in line with last year.

The oil fields in Venezuela, which is home to some of the world’s largest proven oil reserves, have fallen into disarray after years of mismanagement. *Please turn to page B6*

◆ **Oil deal is no quick fix for gas prices**..... **B6**

Inside Hedge Fund Boss’s Messy Divorce

By MIRIAM GOTTFRIED AND JASMINE LI

John and Laura Overdeck’s divorce is giving the world a peek into the lives of the ultrarich and the breadth of the onetime couple’s enormous wealth at stake in a New Jersey courthouse. A Wall Street Journal article this week laid out the staggering sums being cited in the divorce trial, which could also influence a power struggle atop **Two Sigma**, the quant trading powerhouse John Overdeck co-founded in 2001. Lawyers for Laura Overdeck are pushing the judge overseeing the trial to make more details public, including those from the couple’s tax returns and their various trusts. The judge has repeatedly reprimanded Laura Overdeck’s lawyer for citing nonpublic figures in court. Laura Overdeck on Wednesday sat by her legal team in the light-wood-paneled courtroom in Newark, N.J. wearing a gray-and-white striped jacket, white slacks and chunky blue heels. She has been barred from testifying or introducing witnesses because of violations during discovery. John Overdeck, clad in a navy-blue suit, light blue shirt and no tie, has been questioned on the witness stand this week by his estranged wife’s attorney. He sipped from a bottle of organic green tea during the cross-examination. The biggest asset at the center of the fight is John Overdeck’s stake in Two Sigma. Laura Overdeck’s lawyer estimates the value of that stake at \$6.2 billion, and says her client wants 35% of that. *Please turn to page B2*

Data Centers Spur Novel Building

AI document review

Construction company Clayco uses ChatGPT to review contracts and vendor submittals to be sure everything has been delivered at the correct specifications.

Time savings: **Five hours**

Custom concrete

Cement manufacturer Amrize uses predictive modeling to design custom concrete mixes, a process traditionally done through lengthy trial and error.

Time savings: **Several weeks**

Steel coating

Paint maker PPG has introduced a fire-resistant coating called Steelguard 951 that can be applied in a fabrication shop before the steel is erected.

Time savings: **Several weeks**

Modular construction

Clayco and Turner subsidiary xPL Offsite make modular electrical and mechanical rooms at off-site factories, then truck them to data centers for installation.

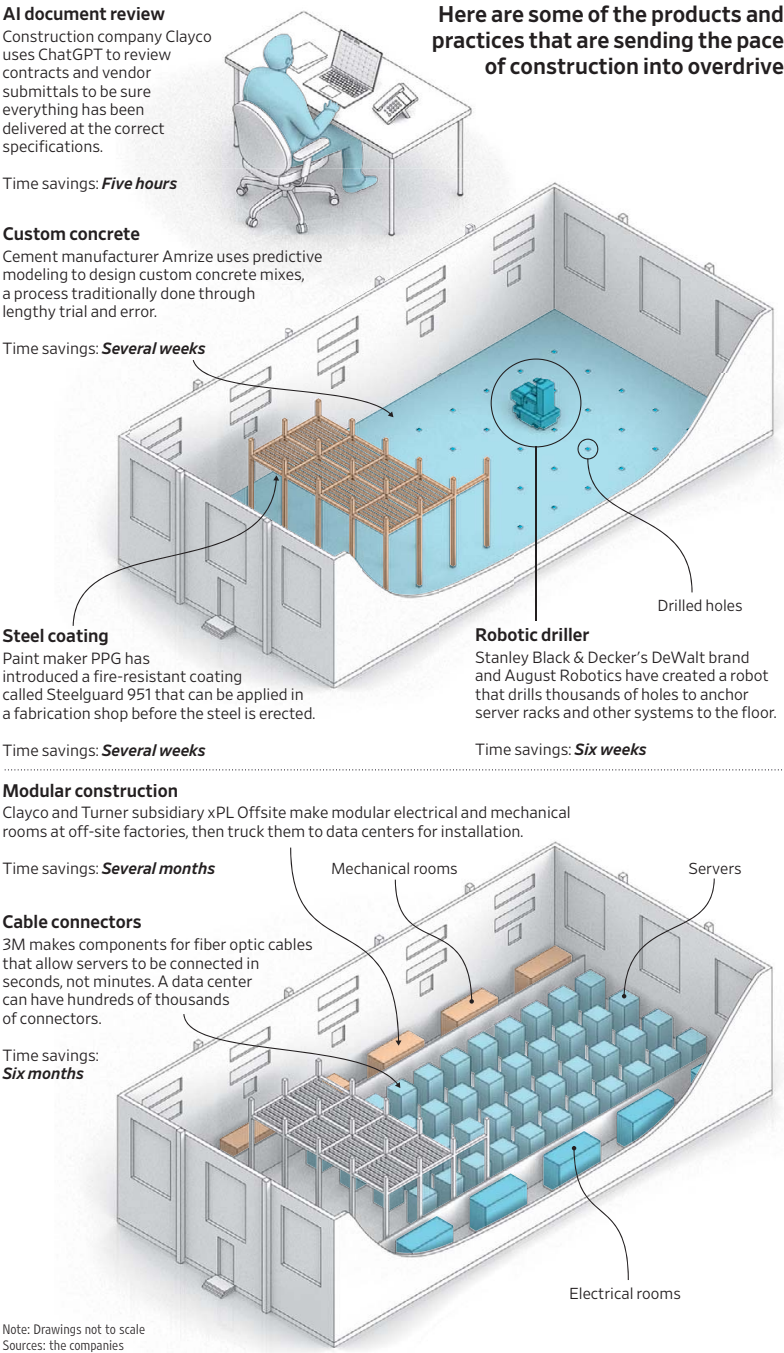
Time savings: **Several months**

Cable connectors

3M makes components for fiber optic cables that allow servers to be connected in seconds, not minutes. A data center can have hundreds of thousands of connectors.

Time savings: **Six months**

Here are some of the products and practices that are sending the pace of construction into overdrive



OpenAI Suits Mount Over School Shooting

By GEORGIA WELLS

Victims from the Tumbler Ridge massacre filed 30 lawsuits against **OpenAI** over its failure to alert police about ChatGPT interactions with the suspect months before the February mass shooting in Canada. The new batch of lawsuits builds upon seven filed in April by families of victims from the shooting. They allege the AI company acted in negligence, violated product-liability standards and aided and abetted the massacre. The cases add to a wave of more than three dozen lawsuits that allege chatbots including ChatGPT have led to harm for their users or encouraged their users to commit acts of harm against others. The Tumbler Ridge attack, which killed eight people and injured more than 25 in the British Columbia mining town, marked one of the worst mass shootings in Canada in years. The new suits were filed by

people who witnessed the shooting at the town’s secondary school, including Deidre Rushlow, a seventh-grade teacher who sheltered students under her desk. Plaintiffs also include A.C., a 13-year-old boy who played dead among his classmates and D.I., a student who had to step over the body of a classmate to evacuate the school. They also include Paige Hoekstra, an adult who survived a shot to the chest during the shooting, and Desirae Pisarski, the mother of a 12-year-old girl who was killed. “My colleagues and I are haunted by the memory of shielding children with our own bodies as our ears rang from the sound of continual gunshots and high-pitched screams,” Rushlow, the teacher, said in a statement provided by her lawyer, Jay Edelson. OpenAI Chief Strategy Officer Jason Kwon said that the company works hard to look *Please turn to page B2*

INSIDE



AIRLINES Southwest will offer airport lounges as it tries to lure fliers to a new credit card. **B3**



TECHNOLOGY Investors cast a wary eye on struggling Snap for its bet on smartglasses. **B4**

With \$499 Toothbrush, Dyson Wants AI to Get in Your Face

By KATIE DEIGHTON

The inventor James Dyson has a winery, a knighthood, an English country pile and an estimated net worth of more than \$15 billion. He also has a sense of dread when it comes to trips to the dentist office. “Although I’m quite a religious flosser, she always gets out the pickax and starts hacking away bits of hardened plaque,” he said on a video call from his superyacht, Nahlin. “I’ve had to undergo the pickax every time I go to the hygienist, and get ticked off.” The common man just grins and bears the scraping. But Dyson, 79 years old, spent six years inventing an artificial-intelligence-powered toothbrush that promises to floss teeth as it brushes them. The Dyson CameraJet toothbrush, unveiled Tuesday, is the first foray into oral care for Dyson’s company that is known for harnessing the power of air, be it in a vacuum cleaner, hair dryer or



The brush has a camera that analyzes 28 images a second.

purifier. Dyson and his team of engineers this time had to manipulate liquid. They developed a pump mechanism and gravity-free tank that works no matter the angle the brush is held at to control the flow. The brush head features a camera that analyzes 28 live images a second to identify gaps in the teeth, triggering a conical burst of mouth rinse that

flosses in between. Dyson hadn’t worked with water since he co-designed a high-speed landing craft, the Rotork Sea Truck, as a student at London’s Royal College of Art. “This is something completely new. But why not?” he said. Arriving in pink and blue colors, the toothbrush will be available in Sephora and Best *Please turn to page B5*

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At issue is OpenAI's alleged failure to alert police months before a mass shooting in Canada last February.

Magnate In Messy Divorce

Continued from page B1

or \$2.17 billion. His side says his stake is worth \$4.9 billion. Laura Overdeck's lawyer clarified this week that her client isn't angling for influence over Two Sigma but rather wants a cash payout. John

head in response to John's answers on the stand. Laura Overdeck is barred from testifying or introducing witnesses after the court found she obtained confidential emails from her husband's laptop, among other violations. The judge has also barred Laura Overdeck's legal team from presenting its own evidence to support her claims. John Overdeck's previous testimony has alluded to happier times. He has said on the witness stand that Laura Overdeck came to the firm's holiday parties for much of the



Hedge-fund magnate John Overdeck and his estranged wife, Laura Overdeck, in a photograph taken at an event in 2016.

Overdeck said his primary concern with regard to the firm was maintaining voting parity with his co-founder, David Siegel, with whom he is locked in a bitter feud. "But if there were an award in this case that caused me to liquidate that interest, the value that the firm would give me would not be anywhere near the fair value of that interest," Overdeck said Tuesday. John Overdeck is offering to give his estranged wife \$723 million to settle their split.

'A decent husband'

The acrimony between the two sides is apparent in the courtroom. The Overdecks rarely look at each other during the proceedings. John Overdeck once appeared to smile when the judge reprimanded Laura's lawyer. Laura Overdeck at times shook her

marriage, and that he gave away books from her Bedtime Math nonprofit to people at the firm. "It showed me to be a decent husband," he said. An \$8 billion trust? Laura Overdeck's lawyer, Theresa Lyons, appears to be trying to strategically maneuver around the court's restrictions on her client by pushing to make certain confidential documents public and slipping mentions of other nonpublic details into her questioning. There were also signs that Lyons might have been responding forcefully to the judge to lay the groundwork for an eventual appeal. At one point Tuesday, Lyons was rebuked when discussing the couple's finances. John Overdeck testified that he owned his stake in Two Sigma directly until transfer-

ring it to a revocable trust in 2007. He said he "didn't know off the top of my head" whether his wife would remain a beneficiary in the event of a divorce. Lyons then questioned how John Overdeck could be unaware of the terms of a trust that "holds \$8 billion." That figure apparently wasn't supposed to be public, and prompted an objection from John Overdeck's lawyer. The judge called both lawyers to the bench. "I just told counsel to be exceedingly careful about revealing confidential financial information," Judge Bruce Buechler said after they returned to their seats. Lawyers on Wednesday discussed when John Overdeck could retrieve belongings from the couple's Short Hills, N.J., home, where Laura Overdeck still lives. Lyons said the children shouldn't be present when that happened. The judge noted the three children are now in college. Later in the morning, questions about the family's charitable giving led to a testy and awkward exchange. Lyons asked John Overdeck whether the couple's giving improved the image of "the Overdeck family empire." He responded that he didn't think they had "an empire." Lyons: "You control billions of dollars, right, sir?" John Overdeck: "I control billions of dollars?" Lyons: "You own billions of dollars." John Overdeck: "I guess so, yes."

No-Alcohol Beer Brews Big Debate

Continued from page B1 tives and has one or two nearly every day. Doctors have cautioned Savoy, 36 years old, about trace alcohol, and that volume matters. Savoy, a Washington, D.C., resident who works in philanthropy, knows others in the transplant community consider any alcohol consumption wrong. He sees it as a much better alternative than regular beer, and said routine blood work shows his liver functioning normally. "The minute that is not the case, I will completely re-evaluate," Savoy said. The process to make zero-proof and nonalcoholic drinks varies. Some brands opt to skip fermentation, which naturally produces alcohol, and instead mix ingredients such as herbs and spices in hot water before distilling the mixture. Others control the fermentation, dilute the original formulation to reduce alcohol content, or remove alcohol through methods including vacuum distillation or filtration. Lyons: "You control billions of dollars, right, sir?" John Overdeck: "I control billions of dollars?" Lyons: "You own billions of dollars." John Overdeck: "I guess so, yes."

The lunch break

The judge gives a one-hour break for lunch. John Overdeck's legal team has been collecting lunch orders each morning and having food delivered to the courthouse from Hobby's Delicatessen, a legendary eatery near the courthouse. A convenience store in the courthouse lobby has limited hot-food options, with offerings in recent weeks including a buffalo-chicken wrap and tilapia oreganata.

BUSINESS & FINANCE



The carrier expects its fiscal 2027 profit will be lower than the previous year's €217 billion.

Ryanair Cuts Traffic Target

By MICHAEL HENNESSEY

Ryanair cut its traffic target for fiscal 2027 to reduce its exposure to unhedged jet fuel during the winter season. The Dublin-based budget airline said Wednesday that it is now targeting traffic of 214 million passengers in the fiscal year to the end of March 2027, down from 216 million passengers previously. It reported 208.4 million passengers in fiscal 2026. The company said it is sensible to reduce its exposure to unhedged—or not previously

guaranteed—jet fuel prices during the “unprofitable” winter schedule between November and March. It expects traffic in the winter period to be flat on year. Ryanair said the winter capacity cut will reduce its losses for the winter period by between 70 million euros, equivalent to \$81.2 million, and €100 million. Ryanair said it is on track to grow its traffic by over 5% to 145 million in summer 2026. The company said 80% of fiscal 2027 jet fuel is hedged

at around \$67 per barrel. As a result, the company said it is well placed to record another profitable year, albeit below fiscal 2026's profit of €2.17 billion. It remains too early to provide meaningful profit guidance, Ryanair added. The airline said if higher oil prices continue through to the 2027 season, it expects short-haul airfares in Europe to rise materially. Ryanair said it expects “some less well-hedged competitors” to struggle to “maintain capacity or even survive” during the coming winter season.

OpenAI Lawsuits Mount

Continued from page B1

for warning signs of serious violence, while protecting the privacy of users. OpenAI also partners with mental health, behavioral and law-enforcement experts to help refine its criteria for when a conversation crosses the line into an imminent and credible risk, he said. “That judgment is not infallible, but it is always rooted

in looking out for this balance for people,” Kwon said. “There isn't a day that goes by that I don't think about what happened at Tumbler Ridge, or the victims of this devastating tragedy and their families.” Months before Jesse Van Rootselaar became the suspect in the Tumbler Ridge massacre, OpenAI considered alerting law enforcement about her interactions with ChatGPT, The Wall Street Journal previously reported. While using ChatGPT, Van Rootselaar had described scenarios involving gun violence over the course of several days. OpenAI leaders ultimately decided not to contact authorities until after the shooting. In February, police identi-

fied Van Rootselaar, an 18-year-old transgender woman, as the suspect in the Tumbler Ridge mass shooting. Van Rootselaar was found dead at the scene of the shooting. OpenAI has said that the company banned the shooting suspect's account months before the attack. The company has said it discovered a second ChatGPT account the suspect was using after her name was released publicly. OpenAI has also said that it bolstered safety protocols since the shooting and said under its enhanced law-enforcement referral rules, it would have referred Van Rootselaar's account to law enforcement if the activity were discovered today.

AIG's Chairman Steps Down For Position At Palantir

By COLIN KELLAHER

American International Group's executive chairman, Peter Zaffino, is stepping down from the insurer's board and will join data-analytics company Palantir Technologies as global head of financial services.

AIG on Wednesday said Zaffino will leave the board on Sept. 15, and that John Rice, a board member since March 2022 who currently serves as the New York company's lead independent director, will succeed him as chairman. Zaffino, who earlier this year retired as AIG's chief executive, will become a senior adviser, the company said.

Palantir said Zaffino will join the Aventura, Fla., company in January, and that it expects the executive will drive growth across its financial-services business, including insurance companies, banks, asset managers, private-equity firms and other financial institutions. Palantir earlier this month raised its full-year outlook after reporting that its revenue nearly doubled in the second quarter.

Zaffino, who joined AIG in 2017, has been chairman since 2022 and had been CEO since 2021 before handing the reins to Eric Andersen on June 1.



Peter Zaffino will leave the insurer's board on Sept. 15.

for it, and if they are, they don't care enough about it to switch off of their brands,” Shufelt said. Industry executives said buyers of nonalcoholic brews often buy traditional alcoholic drinks, too, showing that many aren't strict abstainers. They argue that some foods, such as bread and ripe bananas, have the same or more trace alcohol than nonalcoholic drinks. Dollar sales of nonalcoholic beer, spirits and wine in the U.S. grew more than 14% in the 52 weeks ended July 18, compared with the previous 52-week period, according to NielsenIQ. The beverages have surged while traditional alcohol sales have stalled, with sales of nonalcoholic beer climbing to nearly \$235 million for the three months ended June 27. Regulators draw a strict line: “alcohol-free” beverages must contain no trace. Those with less than 0.5% alcohol by volume are “nonalcoholic.” Some brands use terms such as 0% alcohol or zero-proof interchangeably with nonalcoholic, leaving it to the fine print to detail any trace amounts of booze. At the Adult Non-Alcoholic Beverage Association, Salazar said some marketing strategies are built around that loose terminology, a practice he wants to end. The group, which repre-

sents companies including Athletic, Diageo North America and Ritual Zero Proof, is advising members to ditch zero and alcohol-free claims on any beverage containing trace booze. “We recommend ‘nonalcoholic’ because we don't want anybody to be confused,” Salazar said. Some major brands say they have hit absolute zero, including Budweiser Zero and Michelob Ultra Zero. CleanCo, which sells alcohol-free cocktails and spirits, said it dropped its beverages to 0.0% ABV from 0.4% after market testing showed shoppers were confused by trace amounts. Public-health experts warn that hard data remains scarce on the effects of nonalcoholic beverages. The American College of Obstetricians and Gynecologists has warned that no amount of alcohol is safe during pregnancy. The American Association for the Study of Liver Diseases has issued similar warnings for people with compromised livers and recommends that those with liver disease avoid nonalcoholic beverages. “It really does leave it as an open question for people who are purchasing these beverages,” said Stanford University School of Medicine instructor Molly Bowdring.

Watch a Video: How Aperol Built \$900 Million Brand Around the Spritz

Scan this code for a video: How did a once-regional Italian liquor become a global phenomenon? WSJ breaks down the strategy behind Aperol's rise—and the growing competition challenging its dominance.

BUSINESS NEWS

Ford Sets Lofty Goal for EV Trucks

Target of 100,000 vehicles in a year has only been met in the U.S. by Tesla

By RYAN FELTON

Ford Motor is setting an ambitious target for its new electric truck that has only been seen by **Tesla** in the U.S. The automaker aims to sell more than 100,000 of the trucks in its first year of production, according to people familiar with the matter. The truck, called the Ford Fathom, starts around \$30,000 and will go on sale next year. Ford is seeking mainstream sales not seen by its earlier, more expensive electric vehicles. The Fathom will be made on a built-from-scratch assembly line in Louisville, Ky. Executives have said the truck will feature technology designed to compete with Tesla and upstart Chinese automakers, with a price tag similar to mainstream sedans and SUVs. Ford will begin taking customer orders early next year. If it meets Ford’s targets, Fathom would instantly become one of the top-selling



The Fathom starts at \$30,000 and will go on sale next year. Ford seeks mainstream sales.

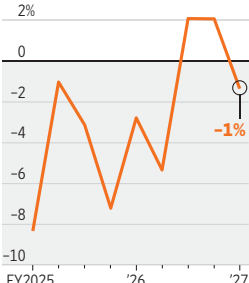
EVs in the U.S. in the first year of its production. Besides EV leader Tesla, no other automaker has sold 100,000 units of a single EV model in the U.S. in a year. Tesla sold about 357,000 Model Y SUVs last year and more than 190,000 Model 3 sedans. Behind Tesla, **General Motors** sold nearly 170,000 all-electric vehicles in 2025 but across

three different brands. Production and sales of Ford’s pickup are expected to increase in the future. Expectations are high. Ford’s earlier EVs, including an electric version of its F-150 pickup, often sold well in their respective segments but never achieved the high volumes of its gas and hybrid cars. Behind the scenes, they racked up bil-

lions of dollars in losses. Ford halted production of the electric F-150 Lightning late last year. Ford says it has learned many lessons since then. Chief Executive Jim Farley has said those vehicles had more parts and costs than are necessary for EVs. The Fathom is designed with fewer components and will be assembled through

a manufacturing process that has been overhauled to keep costs in check. He has called the truck Ford’s new “Model T moment.” The projected sales target for 2027 illustrates the big bet Ford is making on an all-electric vehicle in a country where EV enthusiasm has waned, following policy changes by the Trump administration and Congress. A Ford spokesman declined to comment on volume projections for the truck. The company has said the Fathom’s platform—a structural foundation on which different models can be built—will also support a range of vehicle types and high volumes. Wall Street analysts and some Ford dealers have questioned whether the Fathom will be a hit. Electric sales have declined after a \$7,500 federal tax credit was phased out. In August, EVs represented 5.7% of all sales in the U.S., down from 10.3% a year prior, when the tax credit was due to expire, according to data from Motor Intelligence, an industry-research firm. Overall EV sales in August were down 48% year over year, the firm said.

Brown-Forman quarterly net sales, change from a year earlier



Note: Latest fiscal quarter ended July 31
Source: S&P Capital IQ

Brown-Forman Sales Slip

By LAURA COOPER

Brown-Forman said its quarterly sales slipped on slower tequila sales and the end of a wine deal, though the company’s earnings beat analysts’ expectations. The Jack Daniel’s maker said net sales fell 1% in the most recent quarter, driven by the end of its Korbel California Champagne relationship, a drop in tequila sales and declines in used barrel sales. Its tequila products—including Herradura and el Jimador—saw net sales drop 12%, because of lower sales in the U.S. and lower pricing. Brown-Forman reported earnings of 38 cents a share for the quarter, above analysts’ expectations for 37 cents a share, according to FactSet. The company continued to project little change in its organic net sales for its 2027 fiscal year, along with a 3% to 5% decline in organic operating income. Shares gained 3.4% in New York trading Wednesday. The U.S. alcohol industry has been struggling through a yearslong slump. Consumers’ budgets are tighter and many are forgoing beer, wine and spirits.

Southwest Airlines to Offer Airport Lounges

By ALISON SIDER

Southwest Airlines is jumping into the airport lounge fray. The airline will open swanky lounges in Austin, Texas; Baltimore; Nashville, Tenn.; and Honolulu, hoping to lure fliers to a new high-end credit card it plans to launch next year. **JP-Morgan Chase** is partnering with Southwest on the lounges and will issue the new card. Construction is under way, with plans to open the first of the enclaves in late 2027. Eventually the Dallas-based airline is planning a network of at least 11

lounges. The lounges will primarily be available to travelers with the new Southwest premium credit card. The airline hasn’t yet said what the annual fee for the card will be, but other high-end airline and travel cards can cost hundreds of dollars a year. “We definitely believe that from a competitive standpoint, this makes us even more competitive because it’s been a request from our customer base for so long,” Southwest Chief Executive Bob Jordan said. Southwest is the biggest carrier of domestic passengers, but

it is coming late to the lounge game. Exclusive spaces didn’t fit with the airline’s egalitarian ethos. But that is changing, and lately the company’s lounge ambitions have been one of the worst-kept secrets in aviation. Executives have teased plans for months. Local media and industry publications have tracked Southwest’s moves as it snapped up space at airports around the country. The airline believes it can match—or exceed—the level of luxury its rivals offer, with signature bars and chef-inspired

meals. JPMorgan brings expertise from its own network of upscale Chase Sapphire airport lounges, and Southwest executives said the experience in its lounges will be comparable, with some Southwest flair. “It will be more elevated than what they’re traditionally used to seeing from Southwest. That’s actually our strategy here,” said Tony Roach, Southwest’s chief customer and brand officer. Once a budget pioneer that stripped out frills and offered only one type of seating, Southwest has been trying to bring in

more revenue by matching some practices of other airlines and catering to customers’ appetite for premium travel experiences. Over the past few years, Southwest ditched hallmark features like open seating and started charging for checked bags. And it has added rows of extra-legroom seating to its planes in an effort to win over fliers willing to shell out for added comforts. The first four lounges will range from 13,000 square feet in Honolulu to roughly 30,000 square feet in Nashville and Baltimore.

CALL OF THE THINGS I JUST FOUND TOO HARD TO SAY

LAUREN JAUREGUI // TRACK 03

WHEN YOUR KID CAN'T FIND THE LANGUAGE, FIND THE LYRICS. USE THEM TO START A CONVERSATION WITH YOUR KIDS ABOUT EMOTIONAL WELLBEING. LISTEN TO THE ALBUM, FIND TOOLS AND GET TIPS FROM PROFESSIONALS AT [SOUNDITOUTTOGETHER.ORG](https://sounditouttogether.org)

SOUND IT OUT

ad COUNCIL | pivotal VENTURES

Bitcoin continues to outlive its own obituary.

Declared dead more times than anyone's bothered to count.

Still running strong.

Still worth revisiting.

GETTINGBITCOIN.ORG

Orlando Bravo.

The firm filed for bankruptcy protection last year.

WORLD^{decr}

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COMMODITIES

Oil Deal Is No Quick Fix for Gas Prices

Trump’s unorthodox maneuver in Venezuela comes with uncertainties

By **BENOÎT MORENNE**

Last year, Energy Secretary Chris Wright complained that the GOP-led Congress wouldn’t give the Trump administration the billions of dollars needed to fill up the U.S.’s oil reserves. President Trump is trying to find a way around reluctant lawmakers.

Trump said Sunday that he plans to use Venezuelan oil that the U.S. will control through a deal with a private company to refill the Strategic Petroleum Reserve. The agreement would give Washington access to oil fields said to contain one-fifth of the country’s crude reserves.

The federal oil stocks are in dire need of new supplies. The Trump administration has repeatedly blamed former President Joe Biden for draining the reserves, but it has depleted the stocks further despite Trump’s pledge that he would replenish them “right to the top.”

Trump’s plan comes with uncertainties—and it’s unclear it would provide relief to Americans pinched by high gasoline prices in the near term. It could take months before the deal yields new barrels, and the administration hasn’t explained exactly how the procurement would work. Plus, future elections in both countries could jeopardize the enterprise, analysts say.

The U.S. has released more than 128 million barrels from strategic salt caverns on the



The U.S. administration’s plan could take months to yield new barrels. A tanker is anchored in Lake Maracaibo in Venezuela

crude. The White House said North American Blue Energy Partners, the privately held oil company with which it signed a deal, granted the State Department the right to purchase a guaranteed 20% of oil from current and future fields, at production cost. But it isn’t clear what funding the department might use, said analysts at energy-research firm ClearView Energy Partners.

The Trump administration is betting future leaders in Washington and Venezuela will regard the deal as important for economic stability in Venezuela and energy security in the U.S., said Kevin Book, who heads research at ClearView.

But if Democrats retake the White House in 2028, they might withdraw support for the deal. In Venezuela, a future government could reject previous agreements with the U.S. Either scenario would likely imperil the administration’s plan to use the oil bounty to reload the strategic stocks.

Even if the plan is successfully implemented, it would take years to restore the reserve—currently sitting at about 286 million barrels—to its authorized capacity of 714 million barrels. Frequent drawdowns, wear-and-tear and a lack of investment have strained the reserve. The 60 Gulf Coast salt caverns that make up the stocks can’t be drawn from or refilled at the rate at which they were designed, federal researchers have found.

“The emergency releases of the last five years, the two energy crises, have brought us not to tank bottom, but quite low,” Majkut said.

Chevron Sets Deal In Venezuela

Continued from page B1 under the regimes of Hugo Chávez and Maduro.

Mike Wirth, Chevron’s chief executive, said in a television interview that investing in Venezuela has become more economic under its new regime led by Delcy Rodríguez. The U.S. capture of Maduro and lifting of sanctions cleared the way for active negotiations between oil companies and the country’s interim government.

“Under the prior rules, it was very difficult to get a competitive return on investment here in Venezuela,” Wirth told Bloomberg TV in Caracas. The Venezuelan government’s changes to contract terms will help “encourage economic development in this country and



U.S. Energy Secretary Chris Wright and interim Venezuelan President Delcy Rodríguez.

energy supply,” he added.

The terms of Chevron’s new joint-venture contracts with PdVSA are expected to be highly advantageous, which the company sees as reducing risk for

further investments in the country, people close to the company said.

Chevron’s deal will see its output in Venezuela rise to 600,000 barrels a day. It is cur-

rently producing nearly 300,000 barrels, up some 15% this year. Output costs are expected to come in at \$20 a barrel, the company said.

The two new fields are

“greenfields,” a term for underdeveloped fields that typically lack infrastructure or electricity. Elsewhere, ENI signed a deal with PdVSA to help develop a heavy oil field in the Orinoco belt. GE Vernova reached a pact with state-run power company Corporación Eléctrica Nacional to help improve the country’s power grid.

Primavera, a Texas-based energy-investment firm, reached a production-sharing agreement for the Budare oil block in eastern Venezuela. The company was co-founded by billionaire Coinbase co-founder Fred Ehrsam, a Trump ally.

Aspect Holdings, based in Denver, signed a contract with PdVSA to take part in technical studies. Aspect is a private-energy investment and exploration company founded by billionaire Alex Cranberg, a prominent Republican donor. The deals unveiled Wednesday are separate from the surprise agreement Trump announced last week to secure control of a big chunk of the country’s oil reserves. The U.S.

has taken a 35% passive stake in North American Blue Energy Partners, a company controlled by controversial Venezuelan businessman Alejandro Betancourt. NABEP would have the opportunity to develop 17 oil fields said to contain 65 billion barrels of oil, or one-fifth of Venezuela’s reserves. The Pentagon, in a striking expansion of its remit, would help finance the oil venture and reap the rewards of its future output. The U.S. would also get preferential rights to purchase 20% of NABEP’s oil production at cost.

Chevron’s two closest rivals, **ExxonMobil** and **ConocoPhillips**, have remained on the sidelines for now. Chávez nationalized Exxon and Conoco’s assets in 2007—and they are still seeking billions of dollars in restitution almost two decades later. The companies have suggested they would need security guarantees and sweeping changes to Venezuela’s legal and commercial framework before committing significant capital.

Europe Risks Gas Shortfall In Winter by Delaying Buys

By **MATTHEW DALTON**

Europe has put off buying natural gas for the winter in a big, potentially risky bet that the Iran war will be over soon and prices will drop.

The European Union’s gas-storage facilities are only 65% full, their lowest level toward the end of summer in at least 15 years. Companies have been reluctant to buy gas for storage because they anticipated that Qatar, the world’s second-largest exporter of liquefied natural gas, would be able to resume normal shipments through the Strait of Hormuz this year once the conflict dies down.

Now, prospects for a clear end to the war before winter are fading, driving up LNG prices to a 3½-year high this week. European buyers are being forced to accept more expensive natural gas as the Continent’s winter heating season approaches, when gas demand peaks. They are bidding against each other and Asian buyers who are now aggressively locking up supplies.

“Europe is heading into winter with its gas tank at a record low, and the market is priced as if that’s fine,” said Simone Turri, head of the Western Eu-

rope gas desk at MET Group, an energy trading firm based in Switzerland. “Something has to give.”

The low storage levels reflect a sharp deviation from Europe’s energy security strategy, which was drafted four years ago when Russia’s invasion of Ukraine slashed Europe’s fuel supplies and sparked an energy crisis. The EU passed rules requiring countries to fill their storage facilities to at least 90% full by Nov. 1, protecting the Continent from attempts by the Kremlin or other adversaries to use gas as a weapon.

But this spring, the European Commission, the EU’s executive arm, said member states should aim to fill storage up to 80% rather than 90%, giving them the flexibility to put off some gas purchases with prices surging. At the time, officials were counting on the war to end soon, as President Trump repeatedly said the two sides were close to a deal.

The conflict wore on, however, and navigating the Strait of Hormuz remains fraught. The U.S. and Iran fired on each other this week for the first time in more than a month, while tankers and other commercial vessels passing

through the strait continue to be attacked.

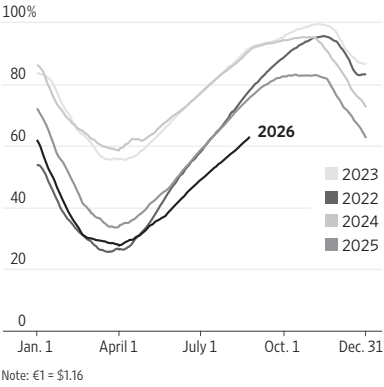
Crude-oil shipments have been able to slip through, but only a handful of LNG tankers have exited the strait, according to ship-tracking service Kpler. The Qatari facilities that liquefy the fuel, located in the industrial city of Ras Laffan, are difficult to ramp up and down with every exchange of fire.

Qatar Energy had started to ramp up production during a lull in fighting in June but backtracked after the two sides exchanged fire again, said Wael Sawan, the chief executive of **Shell**, which owns 30% of one of the LNG production lines in Ras Laffan.

Both Ras Laffan and the United Arab Emirates’ LNG plant on Das Island have been operating for most of the war but at much reduced rates, said JP Lacouture, a natural-gas analyst at Kpler. Thermal imaging shows that six of Ras Laffan’s 14 production lines are online, he said.

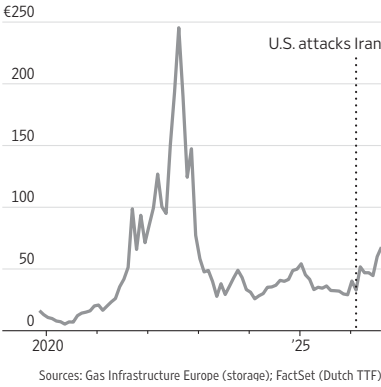
European gas-storage facilities are spread across the Continent, from tank farms to massive underground caverns. The EU imports almost all of its gas, and the facilities allow countries to build up a buffer

European natural gas in storage as percentage of total capacity



Note: €1 = \$1.16

Dutch TTF gas monthly continuous contract



Sources: Gas Infrastructure Europe (storage); FactSet (Dutch TTF)

for the winter during the spring and summer when gas is usually cheaper. This year, however, gas was more expensive during the summer, creating a disincentive for storage.

Europe is less vulnerable to gas-market disruptions than it was four years ago when Russia launched its full-scale invasion of Ukraine. The Continent’s gas consumption has dropped around 20% since then. A major build-out of renewables has lowered gas burned for power generation; factories have either closed or become more gas-efficient; and households have turned down their thermostats.

“The 90% target was made for 2021,” said Ben McWilliams, an energy analyst at the Bruegel think tank in Brussels. “It doesn’t make sense anymore to fill storage where it

used to be.”

Gas traders are also anticipating new LNG supply coming online from the U.S., the world’s largest exporter of LNG. Golden Pass LNG in Texas is ramping up production and **Cheniere Energy** is expected to increase production from its terminal in Corpus Christi, Texas.

“Higher prices, Europe’s slower storage rebuild and continued geopolitical uncertainty all point to a market that remains precariously balanced,” Cheniere Executive Vice President Anatol Feygin told investors in August. “Even if Middle East LNG flows normalize soon, we currently expect Europe to struggle to reach the 80% storage target before the start of winter.”

Prices of Dutch TTF gas futures, a benchmark for the re-

gion, topped 71 euros per megawatt hour this week, the equivalent of roughly \$82, more than doubling this year. Prices are still far below the war in Ukraine crisis levels of 2022.

One big factor working in Europe’s favor may be the weather. Meteorologists say Super El Niño—a weather pattern characterized by extremely warm temperatures in the tropical Pacific—has arrived and will stretch into next year. The pattern is expected to result in unusually warm winter temperatures in Europe, which would curb the Continent’s gas demand.

Last month’s temperature outlook from the World Meteorological Organization “predicts an overwhelming likelihood of above average temperatures across most land areas.”

MARKETS DIGEST

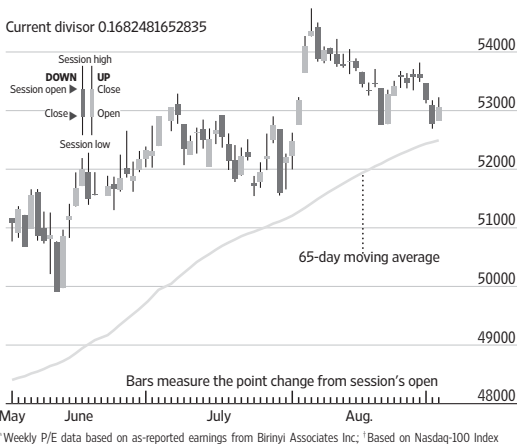
EQUITIES

Dow Jones Industrial Average

53061.95▲295.07, or 0.56%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio21.6024.83
P/E estimate *20.3621.75
Dividend yield1.511.63
All-time high54349.12, 08/05/26

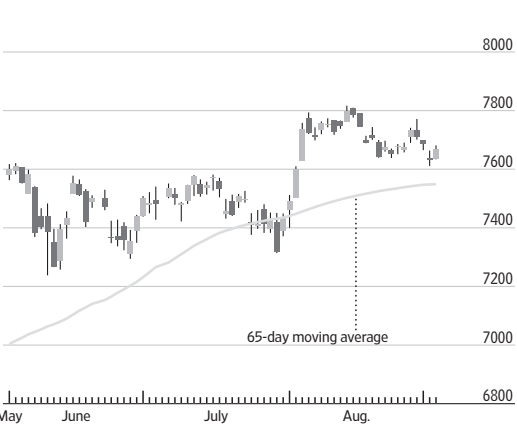


S&P 500 Index

7666.60▲35.13, or 0.46%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio *24.5025.15
P/E estimate *21.1223.99
Dividend yield *1.071.21
All-time high7798.99, 08/13/26

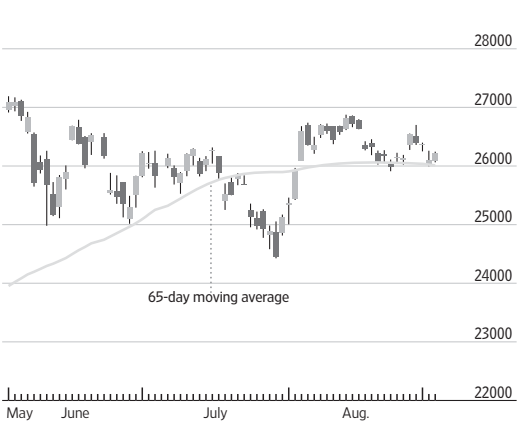


Nasdaq Composite Index

26217.83▲118.05, or 0.45%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio **34.3732.97
P/E estimate **24.1729.25
Dividend yield **0.540.68
All-time high: 27093.90, 06/02/26



Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	High	Low	% chg	YTD	% chg 3-yr. ann.
Dow Jones										
Industrial Average	53227.50	52829.58	53061.95	295.07	0.56	54349.12	45166.64	17.2	10.4	15.1
Transportation Avg	20932.69	20629.09	20713.48	-53.88	-0.26	23933.14	15067.87	31.8	19.3	9.4
Utility Average	1076.62	1059.52	1075.48	2.97	0.28	1190.23	1048.33	-0.4	0.7	7.5
Total Stock Market	75910.51	75446.64	75770.49	356.32	0.47	77313.23	62750.36	18.7	12.3	18.9
Barron's 400	1635.64	1623.76	1633.01	10.72	0.66	1685.46	1318.70	19.2	15.6	17.1

Nasdaq Stock Market										
Nasdaq Composite	26245.04	26062.68	26217.83	118.05	0.45	27093.90	20794.64	22.0	12.8	23.2
Nasdaq-100	29165.62	28971.90	29143.33	66.11	0.23	30660.60	22953.38	24.5	15.4	23.4

S&P										
500 Index	7681.19	7633.62	7666.60	35.13	0.46	7798.99	6343.72	18.9	12.0	19.3
MidCap 400	3752.56	3724.26	3746.44	25.65	0.69	3926.98	3109.89	15.9	13.4	12.0
SmallCap 600	1756.87	1736.28	1751.50	16.85	0.97	1828.54	1364.94	23.0	19.3	12.2

Other Indexes										
Russell 2000	2959.52	2926.51	2953.17	33.03	1.13	3068.42	2305.11	25.7	19.0	15.4
NYSE Composite	24543.70	24349.28	24495.55	146.28	0.60	24821.68	20912.89	16.6	11.3	15.0
Value Line	679.46	673.19	677.86	4.670	0.69	702.60	590.50	8.6	7.9	5.7
NYSE Arca Biotech	9547.40	9326.35	9517.27	190.92	2.05	9539.76	6043.49	56.7	33.1	21.2
NYSE Arca Pharma	1293.99	1267.99	1277.78	9.78	0.77	1315.38	925.18	33.4	13.5	11.9
KBW Bank	189.05	184.83	186.77	2.91	1.58	193.91	143.23	25.4	13.8	31.4
PHLX® Gold/Silver	408.39	397.99	403.57	11.76	3.00	470.37	254.66	57.0	17.9	50.9
PHLX® Oil Service	109.60	105.59	109.05	2.52	2.37	109.24	60.27	72.3	48.7	4.5
PHLX® Semiconductor	11388.99	11154.67	11339.25	50.64	0.45	14634.72	5592.82	102.7	60.1	45.5
Choe Volatility	16.82	15.12	15.20	-1.14	6.98	31.05	13.47	-7.0	1.7	5.1

§Nasdaq PHLX Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
bioAffinity Technologies	BIAF	9.75	3.16	47.95	202.50	4.56	-90.8
Scorpio Gold ADR	SGLD	7.23	2.15	42.32	14.15	4.71	...
Focus Universal	FCUV	15.16	3.81	33.57	210.00	1.79	-80.4
SwwI Holdings	SWVL	5.08	1.25	32.64	5.50	1.30	45.6
GrShr 2x Long DELL Daily	DLLL	28.33	6.80	31.58	32.11	2.17	879.0
Lianne Sowell Intl	LHSW	3.71	0.83	28.82	47.52	1.12	-89.7
Euroholdings	EHLH	11.90	2.30	23.96	12.34	6.11	68.8
ENDRA Life Sciences	NDRA	6.46	1.19	22.58	9.85	2.96	5.0
Horizon Quantum Holdings	HQ	17.50	2.91	19.95	45.00	8.29	42.3
Cable One	CABO	28.51	4.64	19.44	180.74	21.98	-82.0
RenovoRx	RNXT	2.52	0.41	19.43	2.59	0.70	133.3
Currenc Group	CURR	4.01	0.65	19.35	4.73	1.31	135.9
Eos Energy Enterprises	EOSE	3.61	0.57	18.75	19.86	3.01	-51.9
Picard Medical	PMI	4.58	0.72	18.65	684.00	2.65	-98.2
SL Science Holding	SLBT	3.31	0.52	18.64	15.00	2.51	...

Volume Movers

Ranked by change from 65-day average*

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Angel Oak Mtg-Backed Secs	MBS	4,497	6459	8.48	-0.18	9.16	8.44
Innov Intl Dev Pwr Jan	IAJN	660	5862	39.01	0.30	39.26	34.40
Stellar V Capital CI A	SVCC	302	4862	10.67	...	10.70	10.21
Maywood Acqn 2	MYX	451	4854	9.99	0.50	10.03	9.95
bioAffinity Technologies	BIAF	45,532	4804	9.75	47.95	202.50	4.56
Innov Intl Dev Pwr Aug	IAUG	836	4763	30.77	0.20	31.20	27.30
Andretti Acqn II CI A	POLE	1,002	4593	10.79	-0.09	10.90	10.42
BNY Mellon Core Bond ETF	BKAG	6,279	3386	41.05	0.10	43.07	40.99
Muzero Acquisition	MUZE	253	3268	9.98	-0.30	10.04	9.78
Amplify Travel Tech ETF	AWAY	540	2907	19.21	0.55	23.24	15.50

* Common stocks priced at \$2 a share or more with an average volume over 65 trading days of at least 5,000 shares *Has traded fewer than 65 days

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	1142.87	0.14	0.01	12.6
	MSCI ACWI ex-USA	480.28	-3.43	-0.71	14.1
	MSCI World	4944.06	11.12	0.23	11.6
	MSCI Emerging Markets	1700.62	-26.73	-1.55	21.1
Americas	MSCI AC Americas	2903.30	13.902	0.48	11.9
	Canada S&P/TSX Comp	36091.61	265.88	0.74	13.8
	Latin Amer. MSCI EM Latin America	3163.94	84.84	2.76	16.8
	Brazil Bovespa	185205.09	5482.61	3.05	14.9
	Chile S&P IPSA	5819.29	85.60	1.49	7.3
	Mexico S&P/BMV IPC	64884.28	370.03	0.57	0.9
EMEA	STOXX Europe 600	645.91	-1.55	-0.24	9.1
	Eurozone Euro STOXX	669.00	-1.29	-0.19	9.3
	Bel-20	5825.71	-4.58	-0.08	14.7
	Denmark OMX Copenhagen 20	1637.83	18.16	1.12	1.8
	France CAC 40	8280.63	-21.22	-0.26	1.6
	Germany DAX	25839.33	-130.78	-0.50	5.5
	Israel Tel Aviv	4201.89	54.08	1.30	15.7
	Italy FTSE MIB	51792.10	-123.08	-0.24	15.2
	Netherlands AEX	1103.67	1.75	0.16	16.0
	Norway Oslo Bors All-Share	2508.41	-5.92	-0.24	29.2
	South Africa FTSE/JSE All-Share	115082.06	-773.44	-0.67	-0.6
	Spain IBEX 35	19779.00	-45.00	-0.23	14.3
	Sweden OMX Stockholm	1125.83	-7.56	-0.67	7.7
	Switzerland Swiss Market	14362.97	28.18	0.20	8.3
	Turkey BIST 100	14050.56	-178.45	-1.25	24.8
U.K.	FTSE 100	10756.45	-32.83	-0.30	8.3
	FTSE 250	24324.06	-197.23	-0.80	8.2
Asia-Pacific	MSCI AC Asia Pacific	274.47	-4.58	-1.64	20.6
	Australia S&P/ASX 200	8978.40	-88.30	-0.97	3.0
	China Shanghai Composite	3941.39	-38.50	-0.97	-0.7
	Hong Kong Hang Seng	25311.21	-18.52	-0.07	-1.2
	India BSE Sensex	76570.35	-373.93	-0.49	-10.2
	Japan NIKKEI 225	64325.64	-1889.70	-2.85	27.8
	Singapore Straits Times	5744.11	33.74	0.59	23.6
	South Korea KOSPI	6562.72	-273.08	-3.99	55.7
	Taiwan TAIEX	46164.72	-784.00	-1.67	59.4
	Thailand SET	1575.07	-13.61	-0.86	25.0

Sources: FactSet; Dow Jones Market Data

Percentage Losers

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Advava Holdings	ADBT	1.72	-1.96	-53.26	13.20	1.47	...
Wetour Robotics	WETO	3.93	-2.01	-33.84	251.00	2.70	-98.3
Can-Fite Biopharma ADR	CANF	2.36	-0.93	-28.27	13.40	2.32	-82.2
Apimeds Pharma US	APUS	2.63	-0.91	-25.71	59.70	2.51	-85.4
Lakewood-Amedex Biotherap	LABT	2.07	-0.69	-25.00	98.20	1.66	...
Alpha Modus Holdings CI A	AMOD	2.08	-0.69	-24.91	55.46	2.00	-95.0
IMC Rare Earths	IMC	6.51	-2.07	-24.13	11.84	4.51	...
Paqsal Holding	PSQL	12.19	-3.37	-21.66	24.69	9.17	...
Credo Tech Group	CRDO	165.22	-41.41	-20.04	308.67	86.49	33.0
Direxion PANW Bull 2X	PALU	44.21	-10.01	-18.46	67.86	9.85	99.9
Leverage 2X Lg PANW Dly	PANG	27.18	-6.15	-18.44	41.59	6.05	94.1
Robo.ai	AIO	1.70	-0.35	-17.07	56.30	0.54	-95.4
Nocera	NCRA	1.93	-0.38	-16.45	72.00	1.30	-95.7
Reading Int'l B	RDOB	14.87	-2.83	-15.99	24.00	8.00	17.5
FuelCell Energy	FCEL	14.40	-2.68	-15.69	37.88	3.81	258.2

CURRENCIES & COMMODITIES

Currencies

U.S.-dollar foreign-exchange rates at 5 p.m. ET

Country/currency	US\$			Country/currency	US\$		
	— Wed in US\$	— Wed per US\$	YTD (%)		— Wed in US\$	— Wed per US\$	YTD (%)
Americas							
Argentina peso	.00071510	.6899	4.1	Vietnam dong	.000038835	26073	-0.9
Brazil real	.1964	5.0914	-7.7	Europe			
Canada dollar	.7224	1.3844	0.9	Czech Rep. koruna	.04791	20.872	1.4
Chile peso	.001066	937.88	4.2	Denmark krone	.1550	6.4503	1.4
Colombia peso	.000316	3163.59	-16.1	Euro area euro	1.1589	8629	1.4
Ecuador US dollar	1	1	unch	Hungary forint	.003151	317.31	-3.1
Mexico peso	.0589	16.9730	-5.7	Iceland krona	.008242	121.33	-3.2
Uruguay peso	.02484	40.2526	3.1	Norway krona	.1073	9.3179	-7.6
Asia-Pacific							
Australia dollar	.7168	1.3951	-6.9	Poland zloty	.2676	3.7364	4.0
China yuan	.1488	6.7194	-3.9	Sweden krona	.1039	9.6251	4.5
Hong Kong dollar	.1275	7.8419	0.8	Switzerland franc	1.2302	.8129	2.6
India rupee	.01059	94.463	5.1	Turkey lira	.0207	48.2855	12.4
Indonesia rupiah	.0000564	17715	6.1	Ukraine hryvnia	.0223	44.7500	5.7
Japan yen	.006301	158.71	1.3	UK pound	1.3485	.7416	-0.1
Kazakhstan tenge	.002197	455.25	-10.3	Middle East/Africa			
Malaysia ringgit	.2472	4.0448	-0.3	Bahrain dinar	2.6542	.3768	-0.1
New Zealand dollar	.5850	1.7094	-1.6	Egypt pound	.0196	51.0485	7.0
Pakistan rupee	.00361	277.300	-1.0	Israel shekel	.3307	3.0240	-5.1
Philippines peso	.0160	62.516	6.1	Kuwait dinar	3.2351	.3091	0.4
Singapore dollar	.7867	1.2711	-1.1	Oman sul rial	2.5994	.3847	-0.2
South Korea won	.0007362	1358.31	-1.0	Qatar riyal	.2743	3.645	-0.3
Sri Lanka rupee	.003043	32.57	6.0	Saudi Arabia riyal	.2665	3.7529	0.1
Taiwan dollar	.03149	31.75	1.3	South Africa rand	.0623	16.0546	-3.1
Thailand baht	.03012	33.200	5.4				
Close NetChg %Chg YTD%Chg							
WSJ Dollar Index 95.70 -0.21 -0.21 -0.23							
Sources: Tullett Prebon Dow Jones Market Data							

Futures Contracts

Metal & Petroleum Futures						
	Contract				Open interest	
	Open	High	hi lo	Low	Settle	Chg
Copper-High (CMX)-25,000 lbs.; \$ per lb.						
Sept	6.4390	6.5420		6.4150	6.5010	-0.0055
Dec	6.5400	6.6410		6.5070	6.5930	-0.0075
Gold (CMX)-100 troy oz.; \$ per troy oz.						
Sept	4328.00	4390.20		4292.20	4366.30	18.30
Oct	4344.10	4410.00		4297.20	4380.70	17.90
Nov	4355.20	4425.10		4324.20	4398.50	18.10
Dec	4377.20	4444.40		4329.20	4414.60	18.20
Jan/27	4387.00	4398.70		4357.50	4434.10	18.40
Feb	4413.80	4480.00		4364.90	4450.10	18.40
Palladium (NYM) - 50 troy oz.; \$ per troy oz.						
Sept	1348.00	1350.50		1331.00	1346.60	29.40
Dec	1321.00	1369.50		1294.50	1360.50	29.90
Platinum (NYM)-50 troy oz.; \$ per troy oz.						
Sept	1853.00	1887.90		1853.00	1759.80	-1.70
Oct	1748.40	1782.40		1717.90	1764.60	-1.80
Silver (CMX)-5,000 troy oz.; \$ per troy oz.						
Sept	63.360	65.050		63.360	64.723	0.105
Dec	64.695	66.175		63.880	65.643	0.094
Crude Oil, Light Sweet (NYM)-1,000 bbls.; \$ per bbl.						
Oct	90.65	92.29	▲	88.97	91.01	0.79
Nov	87.98	89.51	▲	86.63	88.28	0.53
Dec	85.10	86.35	▲	83.98	85.25	0.28
Jan/27	82.44	83.48	▲	81.50	82.50	0.10
Dec	74.92	75.25		74.12	74.36	-0.46
Oct	71.63	71.88		70.84	71.06	-0.51
NY Harbor ULSD (NYM)-42,000 gal.; \$ per gal.						
Oct	4.7045	4.7661	▲	4.5718	4.6822	.0049
Nov	4.5324	4.5766	▲	4.4122	4.4951	-.0103
Gasoline-NY RBOB (NYM)-42,000 gal.; \$ per gal.						
Oct	3.1625	3.1924	▲	3.0895	3.1038	-.0313
Nov	2.9940	3.0173	▲	2.9258	2.9382	-.0279
Natural Gas (NYM)-10,000 MMBtu.; \$ per MMBtu.						
Oct	2.946	3.002		2.910	2.956	.052

Cash Prices

| wsj.com/market-data/commodities

Wednesday, September 2, 2026

These prices reflect buying and selling of a variety of actual or "physical" commodities in the marketplace—separate from the futures price on an exchange, which reflects what the commodity might be worth in future months.

Wednesday		Wednesday		Wednesday	
Energy		Metals		Food	
Coal,C.Aplc.,12500Btu,l1.25O2-r,w	81.000	BMi Lithium Carbonate, EXW China, ~95%+v-w	23150	Beef,carcass equiv. index	
Coal,Pwdr,RvBsn,8800Btu,0.85O2-r,w	14.500	BMi Lithium Hydroxide, EXW China, ~55%+v-w	21050	choice 1-3,600-900 lbs.-u	347.13
Metals		BMi Cobalt sulphate, EXW China, ~20%+v-w	10132	select 1-3,600-900 lbs.-u	324.31
Gold, per troy oz		BMi Nickel Sulphate, EXW China, >2%+v-k	4281	Broilers, National comp wtd. avg.-u,w	1.1641
Engelhard industrial	4350.00	BMi Faie Graphite, FOB China, 100% Meht, 94-95%+v-m	435	Butter,AA Chicago-d	1.4075
Krugerrand,wholesale-e	4551.56	Fibers and Textiles		Cheddar cheese,bbl,Chicago-d	153.25
Maple Leaf-e	4595.33	Burlap,10-oz,40-inch NY yd-r,w	1.2800	Cheddar cheese,bkl,Chicago-d	147.50
American Eagle-e	4595.33	Cortlook 'A' Index-t	0.8263	Milk,Nonfat dry,Chicago-lb.-d	188.00
Mexican peso-e	5284.75	Cotlook 'A' Index-t	*102.30	Coffee,Brazilian,Comp-y	3.1548
Austria crown-e	4292.85	Hides,hvy native steers piece fob-u	n.a.	Coffee,Columbian, NY-y	3.8060
Austria phil-e	4595.33	Wool,64s, staple, Terr del-u-w	n.a.	Eggs,large white,Chicago-u,w	0.6850
Silver, troy oz.		Grains and Feeds		Flour,hard winter K-C-p	20.80
Engelhard industrial	65.0000	Bran,wheat middlings, KC-u,w	138	Hams,17-20 lbs,Mid-US fob-u	0.99
Handy & Harman base	65.0970	Com, No. 2 yellow, Cent ll-bp-u	5.0500	Hogs,low-a: So. Minnesota-u	88.65
Handy & Harman fabricated	81.3710	Cottonseed meal-u,w	320	Pork bellies,12-14 lb MidUS-u	1.8765
Coins,wholesale \$1,000 face-a	46536	Hominy feed,Cent ll-u,w	120	Pork loins,13-19 lb MidUS-u	1.0780
Other metals		Meat-bonemeal,50% pro Mnpls-u,w	443	Steers,Tex.-Okla. Choice-u	n.a.
Platinum,Engelhard industrial	1758.0	Oats,No.2 milling,Mnpls-u	3.7925	Steers,feeder,Okla. City-u,w	374.25
Palladium,Engelhard industrial	1335.0	Rice,Long Grain Milled, No. 2 AR-u,w	30.13	Fats and Oils	
Aluminum, LME, \$ per metric ton	*3261.0	SoybeanMeal,Cent ll,rail,ton48%-u,w	n.a.	Degummed corn oil, crude wtd. avg.-u	n.a.
Copper,Comex spot	6.5010	Soybeans,No.1 yllw ll-bp-u	13.0000	Grease,choice white,Chicago-h	n.a.
Iron Ore, 62% Fe CFR China-s	*99.6	Wheat,Spring14%-pro Mnpls-u	9.0200	Lard,Chicago-u	n.a.
Steel,HRC USA, FOB Midwest Mill-s	*1205.0	Wheat,No.2 soft red,St.Louis-u	7.2150	Soybean oil,crude,Cent ll-u,w	0.7309
Battery/EV metals		Wheat - Hard - KC (USDA) \$ per bu-u	8.0025	Tallow,bleach,Chicago-h	n.a.
		Wheat,No.1soft white,Portld,OR-u	6.9500	Tallow,edible,Chicago-u	n.a.

KEY TO CODES: A=ask; B=bid; BP=country elevator bids to producers; C=corrected; D-CME; E=Manfra,Tordella & Brookes; H=American Commodities Brokerage Co; K=bi-weekly; M=monthly; N=nominal; n.a.=not quoted or not available; R=Sasland Publishing; R-S&L Energy; S=Platts-TSI; T=Cotlook Limited; U=USDA; V=Benchmark Mineral Intelligence; W=weekly; Y=International Coffee Organization; Z=not quoted. **Data as of 9/1

Source: Dow Jones Market Data

Borrowing Benchmarks

| wsj.com/market-data/bonds/benchmarks

Money Rates

September 2, 2026

Key annual interest rates paid to borrow or lend money in U.S. and international markets. Rates below are a guide to general levels but don't always represent actual transactions.

Inflation					Overnight repurchase				
July index level	Chg From (%)	July 26	July 25		Latest	Week ago	—52-WEEK— High Low	Latest	Week ago
Britain		3.75	3.75	4.00	3.75			3.75	3.75
Australia		4.35	4.35	4.35	3.60			3.60	3.49
U.S. consumer price index					U.S. government rates				
All items		333.918	-0.01	3.4	Discount				
Core		337.133	0.07	2.5					
International rates					Federal funds				
					Effective rate	3.6400	3.6400	4.3300	3.6300
U.S.		6.75	6.75	7.50	High	3.7000	3.7000	4.5500	3.7000
Canada		4.45	4.45	4.95	Low	3.5500	3.5500	4.3200	3.5500
Japan		2.375	2.375	2.375	1875	Bid	3.6300	3.6300	4.3200
Policy Rates					Offer	3.6400	3.6400	4.3300	3.6300
Euro zone		2.40	2.40	2.40	2.15	Treasury bill auction			
Switzerland		0.25	0.25	0.50	0.25	4 weeks	3.650	3.640	4.245
Notes on data:									
U.S. prime rate					DTCC GCF Repo Index				
is the base rate on corporate loans posted by at least 70% of the 10 largest U.S. banks, and is effective December 11, 2025. Other prime rates aren't directly comparable; lending practices vary widely by location. Discount rate is effective December 11, 2025. Secured Overnight Financing Rate is as of September 1, 2026. DTCC GCF Repo Index is Depository Trust & Clearing Corp.'s weighted average for overnight trades in applicable CUSIPs. Value traded is in billions of U.S. dollars. Federal funds rates are Tullett Prebon rates as of 3:30 p.m. ET.					Treasury	3.680	40.104	4.492	3.504
Sources: Federal Reserve; Bureau of Labor Statistics; DTCC; FactSet; Tullett Prebon Information, Ltd.					MBS	3.694	94.436	4.623	3.517
Weekly survey					Freddie Mac				
					30-year fixed	6.66	6.65	6.56	
					15-year fixed	5.98	5.95	5.69	

Macro & Market Economics

Watching the Gauges: U.S. Supply and Demand

Inventories, imports and demand for the week ended August 28. Current figures are in thousands of barrels or thousands of gallons per day, except natural-gas figures, which are in billions of cubic feet. Natural-gas import and demand data are available monthly only.

Inventories, 000s barrels						Imports, 000s barrels per day					
	Current	Expected change	Previous week	Year ago	4-week avg	5-year avg	Current	Expected change	Previous week	Year ago	4-week avg
Crude oil and petroleum prod	1,242,342	...	1,245	1,266	1,242	1,256	7,819	...	7,802	8,288	8,137
Crude oil excluding SPR	424,460	-300	429	421	427	422	6,770	...	6,158	6,742	6,715
Gasoline	205,669	...	207	219	208	219	370	...	565	582	471
Finished gasoline	15,313	-1,700	15	15	15	17	83	...	53	178	94
Reformulated	19	...	0	0	0	0	0	...	0	0	0
Conventional	15,294	...	15	15	15	17	83	...	53	178	94
Blend components	190,355	...	192	203	193	202	288	...	511	404	377
Natural gas (bcf)	...	...	3	3	3	3	...	...	...	...	...
Kerosene-type						jet fuel					
jet fuel	45,874	...	46	43	46	43	81	...	28	45	83
Distillates	104,187	-1,900	103	116	105	123	113	...	176	96	127
Heating oil	5,875	...	6	7	6	8	0	...	0	0	1
Diesel	98,312	...	97	109	99	58	113	...	176	96	127
Residual fuel oil	22,845	...	22	20	22	26	85	...	166	105	127
Other oils	306,861	...	304	329	303	312	334	...	626	641	526
Net crude, petroleum products, incl. SPR											
	1,528,946	...	1,535	1,671	1,534	1,694	-4,077	...	-3,785	-2,320	-3,751

Weekly Demand, 000s barrels per day					
	Current	Expected change	Previous week	Year ago	4-week avg
Finished motor gasoline	8,922	...	9,043	9,117	8,905
Kerosene-type					
jet fuel	1,754	...	1,772	1,704	1,780
Distillates	3,390	...	3,839	3,768	3,660
Residual fuel oil	199	...	230	451	277
Propane/propylene	1,125	...	631	706	797
Other oils	5,285	...	5,432	4,907	5,031

Note: Expected changes are provided by Dow Jones Newsires' survey of analysts. Previous and average inventory data are in millions.

Sources: FactSet; Dow Jones Market Data; U.S. Energy Information Administration; Dow Jones Newsires

COMMODITIES

	Open	High	Low	Settle	Chg	Open interest
Dec	74,350	75,100	73,950	74,325	.325	76,237
Lumber (CME)-27,500 bd. ft., \$ per 1,000 bd. ft.						
Sept	557.50	564.50	▼ 555.00	563.50	.50	1,318
Nov	556.00	556.50	▼ 548.50	555.50	-4.00	8,515
Milk (CME)-200,000 lbs., cents per lb.						
Sept	16.35	16.41	▲ 16.24	16.33	-.01	6,158
Oct	16.87	16.87	▼ 16.52	16.59	-.20	6,745
Cocoa (ICE-US)-10 metric tons; \$ per ton.						
Sept	6,501	6,501	6,347	6,254	-.298	171
Dec	6,520	6,564	6,142	6,273	-.298	79,074
Coffee (ICE-US)-37,500 lbs.; cents per lb.						
Sept	333.00	334.00	328.00	328.40	-13.85	93
Dec	307.05	308.35	295.35	298.10	-11.35	87,474
Sugar-World (ICE-US)-112,000 lbs.; cents per lb.						
Oct	18.30	18.77	▲ 18.07	18.70	.34	444,713
March/27	19.31	19.71	▲ 19.02	19.64	.31	403,983
Sugar-Domestic (ICE-US)-112,000 lbs.; cents per lb.						
Nov	39.00	39.00	39.00	39.00	...	599
Jan/27	40.00	40.00	40.00	40.00	.25	1,266
Cotton (ICE-US)-50,000 lbs.; cents per lb.						
Oct	87.30	87.73	86.25	86.38	-3.63	193
Dec	91.55	91.55	87.56	88.93	-2.62	197,209
Orange Juice (ICE-US)-15,000 lbs.; cents per lb.						
Sept	131.40	131.40	131.40	131.40	4.25	95
Nov	145.25	149.90	143.75	149.40	4.25	8,810

MARKETS

There Are Four Forces Pressuring Bonds

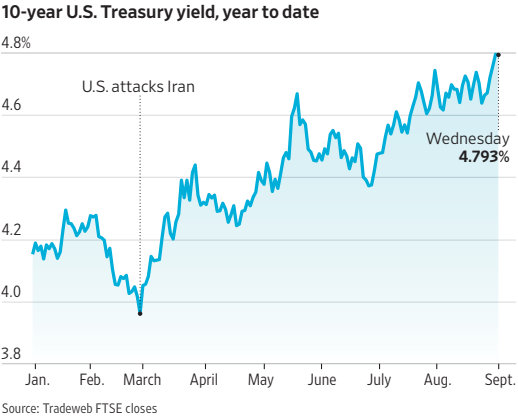
Many forces are pushing Treasury yields higher, including worries about government spending, a new Federal Reserve chairman and the huge surge in bond issuance to fund the artificial-intelligence build-out. But inflation is the main driver of the recent run-up.

*By Jack Pitcher,
Shradha Dinesh
and Ryan Dezember*

While a confluence of factors have powered the global bond slide that carried yields to multiyear highs around the world, a look inside market

CREDIT MARKETS

"The sharp rise in global bond yields reflects investors reassessing inflation," said Mike Goosay, chief investment officer and global head of fixed income at Principal Asset Management.



Here is a look at the key factors:

Fuel prices

Diesel prices have surged this summer since the U.S.-Iran ceasefire fizzled and Ukraine began a campaign to knock out refineries in Russia, which is a major exporter of the fuel. Rising diesel prices

tend to be more inflationary than those for gasoline since it is burned by trucks, trains, construction equipment and farming implements, lifting the cost of producing and shipping all manner of goods.

U.S. national average retail prices for diesel exceeded \$5.68 a gallon on Wednesday, about \$2 higher than a year ago, according to Dow Jones Energy.

The price is less than a penny shy of the high hit this spring after fighting began in the Persian Gulf and hindered transit through the Strait of Hormuz and within 13 cents of the record set in 2022 after Russia invaded Ukraine. Futures trading points to higher prices at the pump down the road. Diesel futures for October delivery have risen roughly 13% over the past week.

Deficits

It isn't just inflation driving yields higher. Some investors cited concerns over out-of-control government spending.

Gross U.S. debt surpassed \$40 trillion for the first time in August, a milestone that amplified the chorus of economists warning that the U.S. is on an unsustainable fiscal trajectory. Publicly held U.S. debt as a share of gross domestic product is fast approaching levels not seen since World War II.

Overseas, soaring government-bond yields in the U.K. have forced the government to

Term premium

One place investors' worries about fiscal policy or the growing supply of bonds would be evident is the term premium, typically defined as the component of Treasury yields that reflects everything other than investors' expectations for short-term rates set by the Fed. That has climbed recently. But the biggest change has come since the start of the Iran war, and some investors and economists note that term premiums are higher in Europe and Japan, signaling more worry about the fiscal situation overseas.

Interest-rate bets

Fed Chairman Kevin Warsh's Jackson Hole speech alleviated some worries the Fed was insufficiently committed to fight-

inflation, helping spark the climb in yields. Still, Warsh eschewed offering forward guidance like his predecessors, and the increased uncertainty is likely getting baked into longer-term borrowing costs in the U.S. and around the world, said David Kelly, chief global strategist at J.P. Morgan Asset Management.

"If you have to identify one thing that's distinctly different from a few months ago, I do think it's the behavior of the Federal Reserve since Kevin Warsh took over," Kelly said. "I think there has been a Fed risk premium, even if it's a small one, added to markets."

Meanwhile, the effects of Treasury Secretary Scott Brown's plan to buy back more longer-term bonds were short-lived. "If the government says it's going to raise taxes and cut spending to bring the deficit down, that's one thing," Kelly added. "Saying you found another credit card that you haven't maxed out in your stack of 20 doesn't actually inspire confidence."

Mutual Funds

Top 250 mutual-funds listings for Nasdaq-published share classes by net assets.

e-X-distribution. **f**-Previous day's quotation. **g**-Footnotes x and s apply. **f**-Footnotes e and s apply. **k**-Recalculated by LSEG, using updated data. **p**-Distribution costs apply. **12b-1**-Redemption charge may apply. **s**-Stock split or dividend. **t**-Footnotes p and r apply. **v**-Footnotes x and e apply. **x**-X-distribution. **z**-Footnote x, e and s apply. **NA**-Not available due to incomplete price, performance or cost data. **NE**-Not released by LSEG data under review. **NN**-Fund not tracked. **NS**-Fund didn't exist at start of period.

Wednesday, September 2, 2026															
Fund	Net YTD			Fund	Net YTD			Fund	Net YTD			Fund	Net YTD		
	NAV	Chg	%Ret		NAV	Chg	%Ret		NAV	Chg	%Ret		NAV	Chg	%Ret
AB Funds	IntVal Inst			61.13	-0.06	14.6	EumgMktVa	45.85	+0.10	24.2	CapdApdm	26.64	-0.28	2.8	
	Balrd Funds						EmkMktCorEg	34.79	+0.09	20.6	RbrBdFidClInst	NA	NA	NA	
	AggBdInst			9.64	...	-0.4	IntValBnd	23.00	+0.06	14.8	Income	NA	NA	NA	
American Century Inv	CorBdInst			10.01	+0.01	-0.2	IntValVla	33.54	+0.18	18.9	EqInAdmCl	10.04	+0.26	13.8	
	IntBdInst			10.30	+0.01	0.0	IntSmCo	28.40	+0.01	12.3	ExpAdmPlr	12.24	+0.49	14.7	
	Ultra			98.12	+0.42	4.3	IntSmCo	28.40	+0.01	12.3	WdrAdmPlr	84.87	+0.55	15.5	
American Funds CI A	StBdInst			9.44	...	1.3	IntSmVla	55.92	+0.05	17.6	GtrndAdmCl	181.59	+1.54	15.1	
	AMFutIA			64.55	+0.14	9.8	LgCo	30.91	+0.23	12.8	BchPnc	212.59	+1.80	1.1	
	BondA			40.87	+0.14	9.8	HtVbI	7.10	...	2.7	GwCapGowI	88.52	-0.70	4.2	
CapBIA	BondA			11.05	+0.01	-0.8	US CoreEq2	56.42	+0.35	14.4	HtVbAdmCl	5.45	...	2.1	
	CapBIA			84.16	+0.14	10.7	US CoreEq2	50.38	+0.34	14.5	IntPrAdp	22.71	+0.01	2.6	
	GwCapWRA			82.18	-0.01	15.7	US Small	61.28	+0.61	17.8	IntFtchd	48.71	+0.10	26.7	
EupaCA	FdlInvA			62.14	-0.48	12.1	US SmlCap	62.80	+0.87	23.2	IntGrAdmCl	125.96	+0.67	10.5	
	FdlInvA			10.20	+0.35	14.0	US TgdVla	46.34	+0.57	20.9	IntBdAdmCl	10.15	...	...	
	GwRthA			87.90	+0.47	9.1	StratOpPhlyS	9.64	...	1.9	IntGrAdmCl	8.57	+0.01	-0.7	
ICA	Calams Funds						USdVgA	68.48	+0.51	22.6	LarCapAd	17.90	-0.76	12.6	
	ICA			68.48	+0.26	10.6	MktNtNeI	16.30	+0.01		MidCapAdl	10.40	-0.5	...	
	ICA			28.40	+0.05	10.5	CausewayInst	25.52	-0.11	8.2	MidCapAdl	10.40	-0.5	...	
NecoA	BondA			75.29	+0.04	6.6	CausewayInst	25.52	-0.11	8.2	MidCapAdl	10.40	-0.5	...	
	NecoA			87.63	+0.13	17.9	Columbia Class A	18.00	-0.30	13.8	TSP Scl	19.79	+0.09	12.8	
	NwrWldA			17.39	-0.84	15.1	SelpComCust237.60	+0.90	51.6	MetropolInst	NA	NA	NA		
SmpCA	Columbia Class I			82.06	+0.02	12.0	Stok	18.25	+0.11	11.0	MFS Funds				
	SmpCA			82.06	+0.26	12.0	IntS	18.25	+0.11	11.0	IFA	44.01	-0.05	8.5	
	WshA			66.06	+0.26	10.0	DoubleLine Inst	Intd2040SlnsPre	31.98	+0.12	11.3	MFS Funds Class I			
Artisan Funds	DivlnCom I			40.77	+0.08	13.3	Intd2040SlnsPre	31.98	+0.12	11.3	Value	59.19	+0.09	10.6	
	Dimensional Fds						Intd2040SlnsPre	34.93	+0.14	13.1	Natixis Funds				
							Fidelity	8.59	+0.01	-0.6					



Anticipate geopolitical and macroeconomic risks before they turn into crises

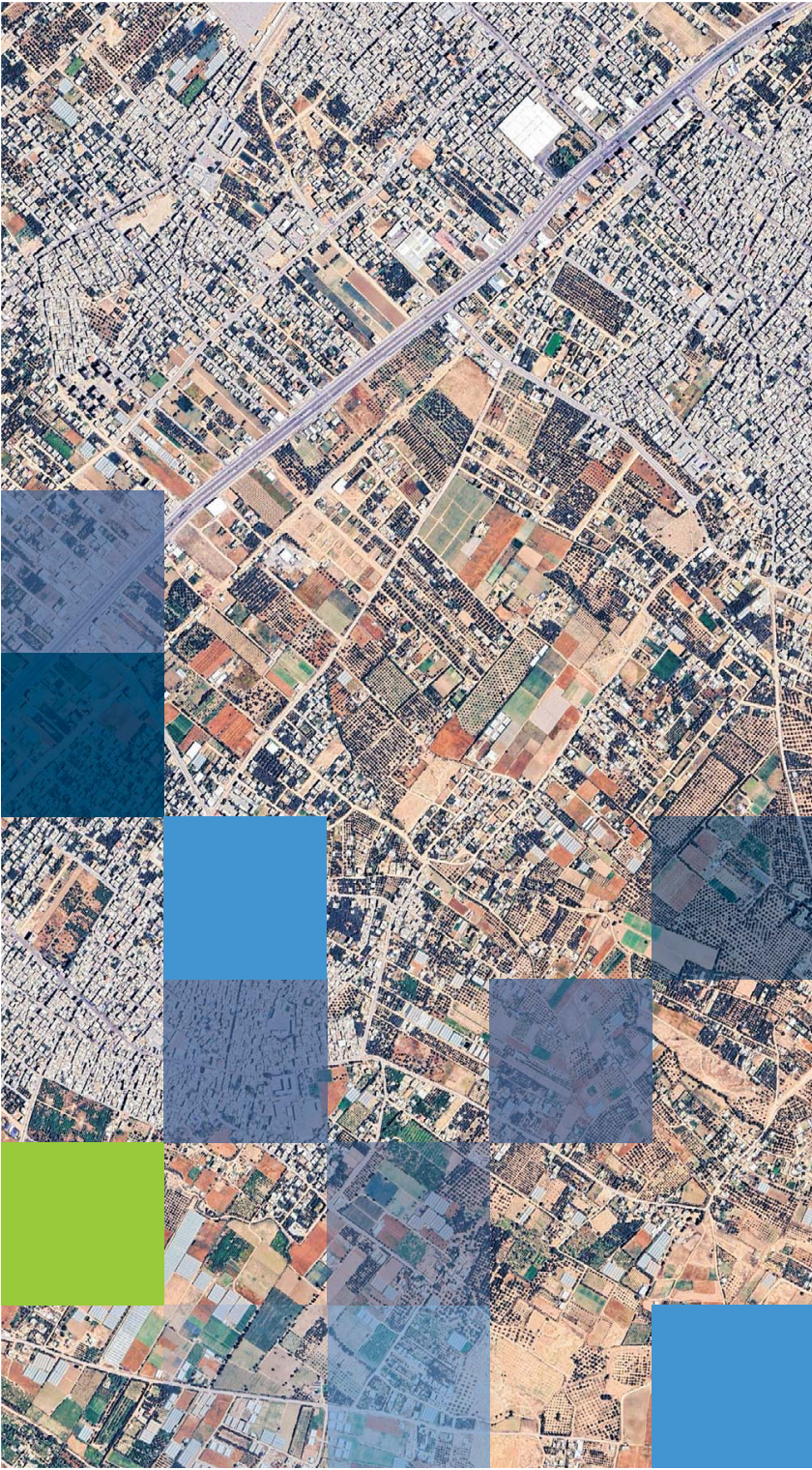
The most disruptive risks rarely surface with clear warning. They begin as faint signals — embedded in policy drafts, committee discussions or shifting social and economic undercurrents.

The **Oxford Analytica Daily Brief** surfaces these signals early and analyzes what is likely to happen next. It delivers timely, unbiased, and actionable insight on emerging trends in geopolitics and the global political economy—helping you understand their implications for strategies, operations, policies, and investments.

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HEARD_{THE}ON_{STREET}

FINANCIAL ANALYSIS & COMMENTARY

Musk Meets His Match in Turbine Parts

Stocks of blade-and-vane makers fell in response to SpaceX’s planned foundry, but the threat to them is still remote

Only a few companies make the crucial components for power turbines that artificial-intelligence data centers are so desperate to get. Elon Musk wants to go ahead and make his own. That unnerved investors in this prized oligopoly.

Over the weekend, Musk confirmed on X that **SpaceX** will start making the blades and vanes that go into natural-gas-fired power turbines. “By doing in-house casting at SpaceX, we can accelerate nat gas turbines coming online by up to 18 months, which is a profound game-changer,” he wrote in his post, responding to a report from the Information.

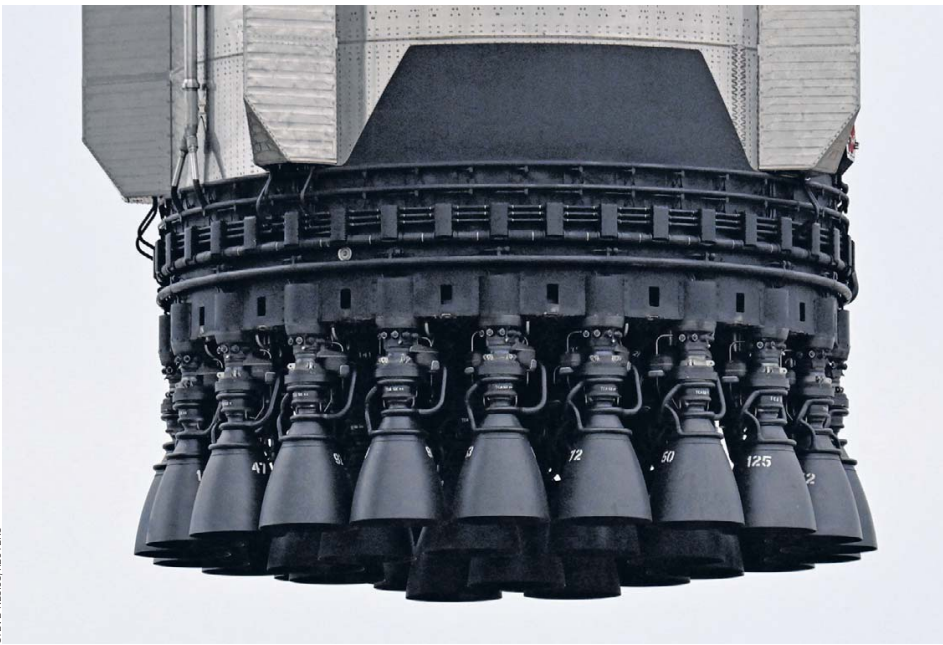
In mid-August, Morgan Stanley published a report saying SpaceX was planning such a foundry in Bastrop, Texas, based on the company’s job postings.

Shares of **Howmet Aerospace** fell more than 7% on Monday, before partially rebounding on Tuesday. Howmet and **Berkshire Hathaway’s** Precision Castparts are the two biggest players in the market for these parts, which include blades and vanes for the aerospace and defense sectors. Smaller player **DPC**’s shares were also hit.

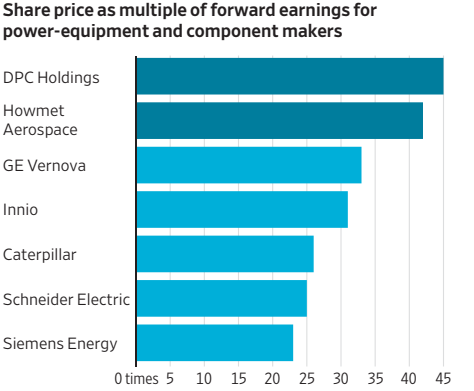
It is premature to count SpaceX as a threat. But shares of Howmet Aerospace and DPC might have been due for a breather: They are among the priciest AI picks-and-shovels plays at 42 times and 45 times forward earnings, respectively. Turbine makers **GE Vernova** and **Caterpillar** fetch 33 times and 26 times earnings.

DPC is the most vulnerable to disruption in this space. It is small and about 40% of revenue comes from natural-gas-fired turbines. While Howmet holds about half the global market share of components used in natural-gas turbines, it is diversified across aerospace and defense, with only 11% of revenue coming from gas turbines.

SpaceX will face barriers to entry. One reason there are so few companies in this sector is that it is technically challenging to make the blades, which must withstand extreme temperatures and rapid



SpaceX’s foundry would make nickel superalloy parts for the turbopumps in its Raptor rocket engines.



Sources: FactSet (share price as multiple of forward earnings); Visible Alpha (revenue)

rotations. The casting process involves making a new wax mold from scratch each time. Making these parts requires the blade to be “grown” in a vacuum furnace as

a single crystal of nickel superalloy, said Nigel Chiang, an analyst at SemiAnalysis. Even a stray grain or hairline defect means the part has to be scrapped, he added. A

new manufacturing line could scrap over half its production for a long period.

It is also a highly secretive process. Once the parts are produced,

the ceramic cores and wax used to make them are destroyed, Howmet Chief Executive John Plant said at an investor meeting this year. That prevents rivals from reverse-engineering them.

A high scrap rate might matter less if SpaceX is making parts for its own use. Morgan Stanley’s report noted that “we would not expect SpaceX to be a material supplier of blades and vanes for supply outside of SpaceX use.” Given the enormous stresses that shifting AI power loads can have on power turbines, it might be handy for xAI’s data centers to have an internal supply of replacement parts.

SpaceX is no stranger to engine technology; it designs and manufactures a “significant portion” of its components in-house. These include rocket engines and avionics, according to its initial public offering filing. SpaceX’s planned foundry would make single-crystal nickel superalloy parts for the turbopumps in its Raptor rocket engines and the power turbines, according to the Morgan Stanley report. It is unclear if SpaceX casts blades for the Raptor turbopumps, according to the report.

Even so, sector analysts estimate a new factory would take four years at a minimum, which is a long time in the AI world. Specialized vacuum furnaces required to make these parts have lead times of more than two years, according to Chiang.

Hiring and training people will take time, too. Critical positions require six months to a year of training, according to DPC, where the average tenure of technical workers—such as engineers and metallurgists—is 9.5 years.

If anything, Musk’s foundry plan highlights just how critical these blades and vanes are to the AI build-out. The recent share-price pullback is a chance for investors to think about what they are willing to pay for this market power. But it doesn’t dim the investment case for Howmet Aerospace and DPC.

—Jinjo Lee

Outrage Won’t Slow AI Machine. Cold, Hard Cash Might.

Concerns about AI’s social impact have been growing since the boom began. As real as those are, physical and financial limits are more likely to slow AI’s march.

Warnings against job losses and other social ills have intensified lately. **Anthropic** in June suggested AI labs consider slowing down development efforts over social-impact concerns. Old-guard tech billionaire Bill Gates wrote in a long essay last week that AI was moving faster than society could adjust to job displacement and other problems it creates.

“I believe we need time to prepare for the period of social, political, and economic upheaval we are about to enter,” he wrote, proposing a tax on robots and AI tokens.

Yet the leading AI labs and Big Tech AI spenders have big incentives keep pushing forward.

Sure, they are concerned enough about cybersecurity threats posed by some of their most advanced models to slow down and adjust. But Anthropic and **OpenAI** are racing toward IPOs. They are gambling billions of dollars of investors’ money on the notion that AI isn’t only socially transformative, but is a viable, profitable business. Big-tech companies like **Alphabet** and **Meta Platforms** also have too much staked on AI to step back.

There is some chance that political forces could slow AI’s development. Anti-AI sentiment is becoming increasingly serious, and moratoria on data-center de-

velopment in the U.S. are growing.

At the Federal level, a bill introduced in Congress in July would give the government the power to shut down rogue AI models. Other bills have proposed studying AI’s impact on jobs.

Even so, the prospect of political action that actually holds back the development of leading AI models seems distant at best. President Trump this week took to social media to blast people who resist data centers, placing his administration firmly on the pro-development side. That is significant given the largest data-center project in the world is set to be built on Federal land.

China acts as another deterrent for any AI slowdown. China wouldn’t take its foot off the gas

if the U.S. held its companies back. As long as AI continues to be a crux of geopolitical competition, giving Chinese companies time to catch up in the AI race isn’t a palatable option for the U.S.

Circumstances, of course, could change in ways that raise the urgency of a forced slowdown. If AI-linked job losses start to sweep through the global workforce, for example, there may be more to be gained politically from a pause.

The more likely scenario is that the natural forces of the boom slow it down anyway. AI is already putting major strains on the U.S. power grid and is raising electricity prices, which is one reason why pauses on data-center projects have legs politically.

AI spending is also encountering more resistance. Some of the big tech companies that have fueled the boom are free-cash-flow negative because of their AI outlays. Prices of corporate bonds linked to AI are falling as tech companies gear up to raise more debt to grow their computing infrastructure.

And returns on AI spending are still murky nearly four years into the boom. It may take time, but development will have to slow if it becomes clearer that companies can’t make back what they are spending.

The social impact of AI is real. For AI developers and investors, though, dollars and cents are what ultimately will matter.

—Asa Fitch

MONEY & INVESTING

Stock Spotlight

GitLab

Shares of the maker of software-development tools soared 10% after its second-quarter results topped expectations on both revenue and earnings.

Palo Alto Networks

The cybersecurity company’s stock fell 9.3% after results released late Tuesday showed a quarterly loss. Other cybersecurity stocks such as Okta, Zscaler, Fortinet and CrowdStrike also fell, pushing an exchange-traded fund tied to the industry 2.4% lower.

Varonis Systems

Thoma Bravo-backed Proofpoint is in advanced talks to buy the cybersecurity firm, The Wall Street Journal reported. Varonis shares rose 10%.

Dell Technologies

Shares rose 16% after the company reported a big earnings and revenue beat thanks to demand for its servers.

BP

The U.K. oil company said its interim chairman Ian Tyler would take on the role permanently, succeeding Albert Manifold, who was removed in May. Shares edged 0.2% higher.

Volvo Car

The Swedish automaker posted lower global car sales in the three months through August compared with the previous quarter. Shares declined about 4% in Stockholm.

Brown-Forman

Shares were up 3.4% after quarterly results beat analysts’ expectations, amid a struggling alcohol market in the U.S.

THURSDAY’S EVENTS:

◆ Federal Reserve speakers: Fed governor Christopher Waller, Cleveland Fed President Beth Hammack and Chicago Fed President Austan Goolsbee.

◆ Economic data due out: U.S. trade balance for the month of July; revised productivity and cost data for the second quarter; Services PMI reports; jobless claims; EIA weekly report on natural-gas storage

EARNINGS EXPECTED:

Ciena
Zscaler
Lululemon Athletica
Smith & Wesson
Victoria’s Secret
Campbell’s



Odds of Fed Rate Rise In September Hit Close to 70%

Investors are now pricing in a nearly 70% chance that the Federal Reserve raises interest rates at its Sept. 15-16 meeting. That is up from 37% a week ago, according to CME Group data. The jump in rate expectations is a major driver behind the rise in U.S.

Treasury yields.

Investors increasingly believe central banks like the Fed that have been waiting to see if inflation spurred by war with Iran eases will be pressed to act to contain price pressures. Tensions in the Middle East have been escalating in recent days, pushing oil prices higher. A majority of investors now believe the Fed will raise rates again after this month and before the end of the year.

—Chelsey Dulaney

Berkshire CEO Sees Opportunity in AI’s Power Needs

Berkshire Hathaway CEO Greg Abel said he sees significant opportunities in providing power to America’s power-hungry data centers. “I’ve sort of always had a strong view that energy would be the constraint,” Abel said in a CNBC interview, speaking about the data-center build-out across the U.S. Last year, Berkshire Hathaway Energy, the conglomerate’s wholly owned energy subsidiary with 13 million customers and end-users globally, counted about 8% of its electrical load from data centers, Abel said. He added that the energy subsidiary is interested in serving artificial-intelligence hyperscalers, but only if there’s no impact to the rates of its other customers.

—Rebecca Feng

ZEGNA

